



SYMBIOSIS INSTITUT



DEBUT

CONSULTING CASE BOOK

2021-22

This casebook documents the interview experiences of students across consulting firms to assist the students of SIBM Pune in their preparation for case interviews during placements. The aim of sharing these experiences is to inform students about the case interview experiences of the past batches and to help them prepare for their placements accordingly.

This casebook aims to start the legacy of compiling consulting case interviews experiences into a book to further the cause of academic excellence in the institute. The makers of the casebook take deep pride in having created this book facing all the challenges and roadblocks that first-timers always do while keeping quality as our central tenet.

The experiences listed below are not necessarily the best way to handle case interviews. They only serve to give students an idea as to what to expect when they walk into a case interview. Every individual could have his / her unique way of tackling consulting interviews, each of which could be correct.

This casebook envisages starting a legacy of compiling consulting case interview experiences into a book to promote the cause of academic excellence in the institute.

FROM THE DIRECTOR'S DESK

It gives me immense pleasure to welcome you to the inaugural edition of the Consulting Casebook of SIBM Pune.

For the past few years, SIBM Pune has endeavoured to establish a foothold in the domain of consulting. The curriculum has been appropriately reoriented to inculcate structured thinking and problem-solving capabilities among the students. In accordance with our student-driven culture, the Consulting and Strategy Club was formed to create an ecosystem for consulting in the institute.

This casebook includes pertinent frameworks, relevant guesstimates, and case interviews conducted by consulting firms visiting our campus for placements. This casebook is one of our numerous efforts to equip students with industry-relevant skills and part of our relentless march towards academic excellence.

I congratulate the team of the Consulting and Strategy Club for creating this casebook in their inception year itself and wish them luck for the future. I express my sincere gratitude to our illustrious alumni for their continued support in this journey. I am sure that great strides in the consulting domain are on the horizon for SIBM Pune.



Dr. Ramakrishnan Raman

ACKNOWLEDGEMENTS

We would like to thank the entire MBA 20-22 and MBA 21-23, for sharing their valuable experiences that enabled us to put together this compendium. We would also like to express our gratitude to our esteemed director Dr Ramakrishnan Raman for inspiring us to create this casebook and for his guidance and support throughout this journey.

We are also grateful to the administration and support staff for providing their support in this endeavour.

The club is highly indebted to everyone who has provided their valuable input towards the creation and enhancement of this casebook.

Regards,
Consulting & Strategy Club, SIBM Pune (2021-2022)

COMPANIES AT A GLANCE

This casebook's content is inspired by experiences of the students of SIBM Pune interviewing for these companies:

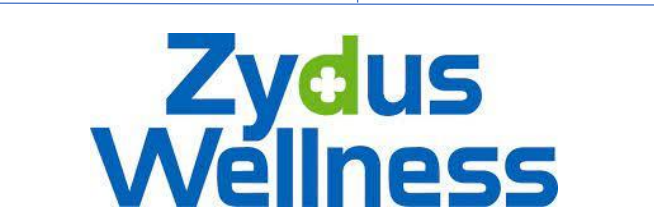
				
				
				
				

TABLE OF CONTENTS

S.No	Particulars	Page No.
1.	<u>Consulting Primer</u>	8
2.	<u>Business Concepts</u>	
2.1	BCG Matrix	9
2.2	PESTEL	10
2.3	Porter's Value Chain	11
2.4	7P's of Marketing	12
2.5	Porter's 5 Forces	13
3.	<u>Frameworks</u>	
3.1	Clarifying Questions	14
3.2	Profitability – Revenue Side Analysis	15
3.3	Profitability – Cost Side Analysis	16
3.3	Market Entry	17
3.4	Pricing	19
3.5	Growth Strategy	20

S.No	Particulars	Page No.
4.	<u>Cases: Profitability</u>	
4.1	Automotive Company	21
4.2	Organic Fertilizer	23
4.3	Pharmaceutical Company	26
4.4	Electricity Generation	28
4.5	Oil and Gas Company	30
4.6	Ice Cream Manufacturing	32
4.7	College Café	34
4.8	Hospital Industry	36
4.9	Indian Sweets Manufacturer	38
4.10	Dating Services App	40
4.11	IT Services Firm	42
4.12	Power Components Manufacturer	44
4.13	Electronics Company	46

TABLE OF CONTENTS

S.No	Particulars	Page No.
4.	Cases: Profitability	
4.14	FMCG Company	49
5.	Cases: Market Entry	
5.1	Netflix Gaming	52
5.2	Automobile Manufacturer	55
5.3	Airline: Go Green	58
5.4	Kids International Channel	61
5.5	Cosmetics App	64
6.	Cases: Pricing	
6.1	American Fertilizer	66
6.2	Ropeway	68
6.3	Fitness Studio	70
6.4	Arthritis Drug	72
6.5	Fertilizer Manufacturing	74

S.No	Particulars	Page No.
7.	Cases: Growth Strategy	
7.1	Private Retail Company	76
7.2	Supply Chain Company	79
8.	Cases: Unconventional	
8.1	Distribution Fleet	81
8.2	Shopping Mall Construction	83
9.	<u>Guesstimates</u>	86

 [Link to Table of Contents](#)



CONSULTING PRIMER

WHAT IS CONSULTING?

Consulting is an engagement to provide clients with the required expertise to achieve business goals. Some of the key consulting services include strategy, operations, technology, human resources and financial advisory. Consultants among other things are facilitators of change that companies wish for while maneuvering through complex business challenges. These services guide companies to stay relevant and provide sustainable growth.

CONSULTING – WORK OVERVIEW

Consultants advise their clients on various aspects of running a business starting from identifying and solving the challenges their clients are facing. By involving in diligent primary and secondary research, they prepare recommendations and help clients in planning a solution roadmap. Consultants also generate impact by working with clients to guide them in their implementation journey. A consultant is required to have a gamut of skills and qualities in order to help their clients.

PREPARATION AND SELECTION PROCESS

Understanding
Consulting

Resume Building
and Behavioural
Preparation

Practising
Guesstimate and
Case through
Mock Interviews

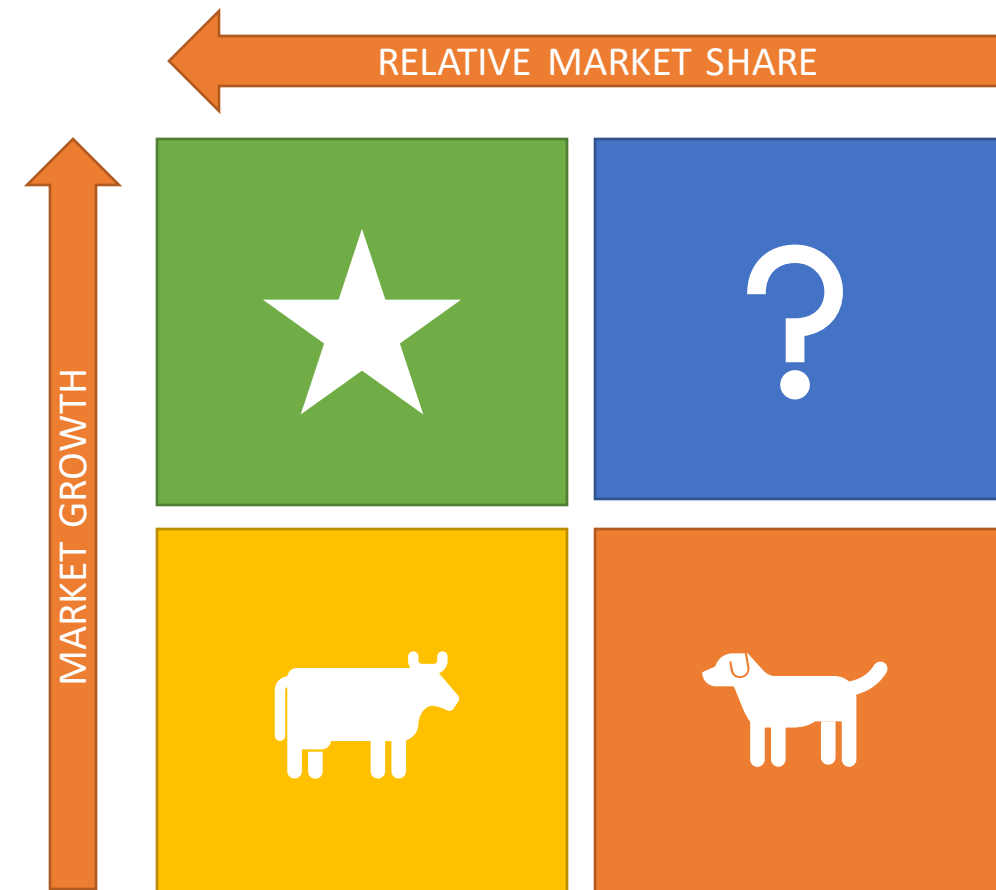
Understanding
Key Industry
Trends and
Business Drivers

SKILLS AND QUALITIES REQUIRED

- Good Communication
- Tactical Skills
- Problem Solving
- Structured Thinking
- Domain knowledge
- Adaptability



Useful in new business setup and while analysing costs related problems.



1. Dog Products:

Low market share and **Low** growth rate. (Flop products.)

Solution – Trying different variations in order to reduce the causes of failures of such products.

2. Question Mark products:

Low Market Share and **High** market growth rate. (New Products)

Solutions – 1. Invest/ Disinvest, decide on their chances of becoming a cash cow 2. Increase Marketing expenditure

3. Cash Cows:

High market share in a **low**-growth market.

Solution – Milk these for cash and 'reinvest'

4. Star Products:

Exist in a **high** growing market as they require high investments to retain their market position.

Solution – Highly promoted star product could become a cash cow in future if that product is extremely innovative



PESTEL ANALYSIS

Useful in categorizing external and macro-economic factors to compare different potential markets.



POLITICAL

- Tax Policy
- Trade Restrictions
- Tariffs
- Bureaucracy

ECONOMIC

- Growth Rate
- Interest Rate
- Exchange Rate
- Inflation
- Unemployment Rate

SOCIAL

- Cultural Aspects & Perceptions
- Career Attitudes
- Health Consciousness

TECHNOLOGY

- R&D Activity
- Automation
- Technological Aspects
- Rate of Change in Tech

ENVIRONMENTAL

- Weather Conditions
- Temperature
- Culture Changes
- Pollution
- Natural Disasters

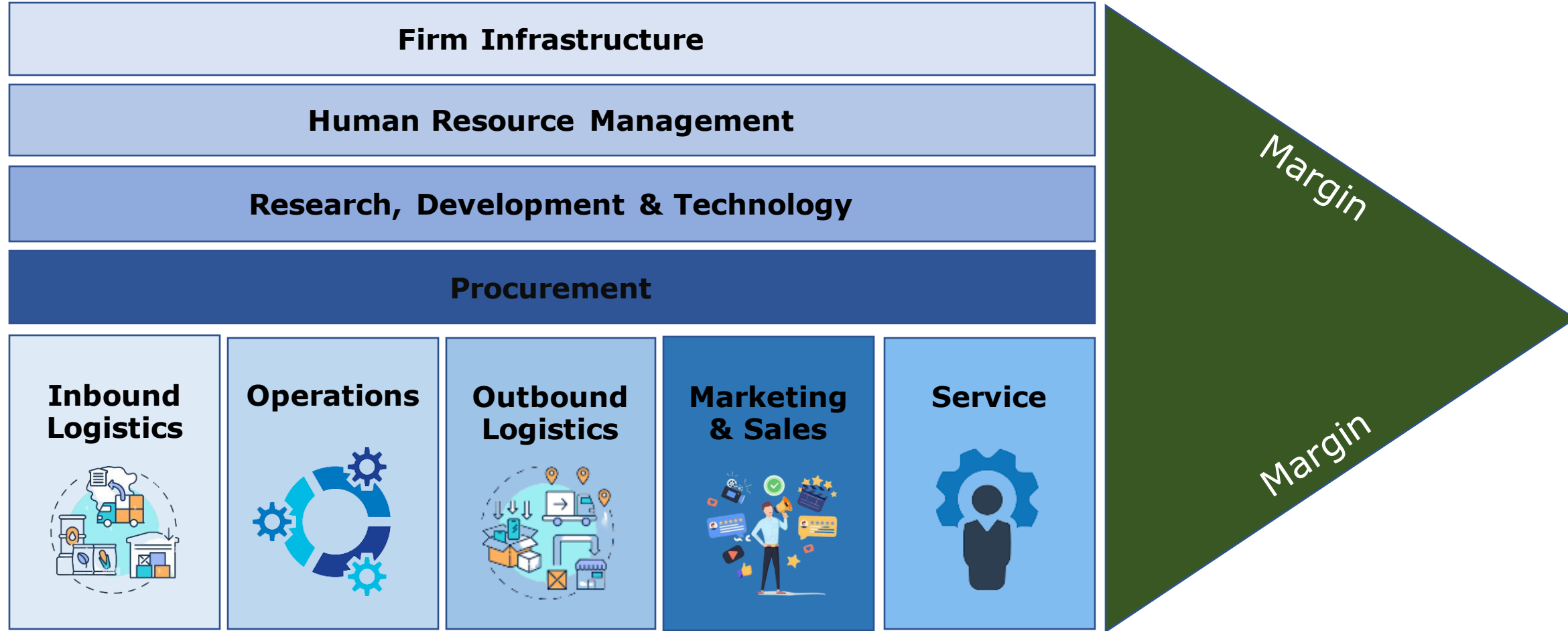
LEGAL

- Industry Regulations
- Licences
- Intellectual Property
- Labour Laws



PORTER'S VALUE CHAIN

Useful in improving efficiency and identifying cost reduction opportunities





7Ps OF MARKETING

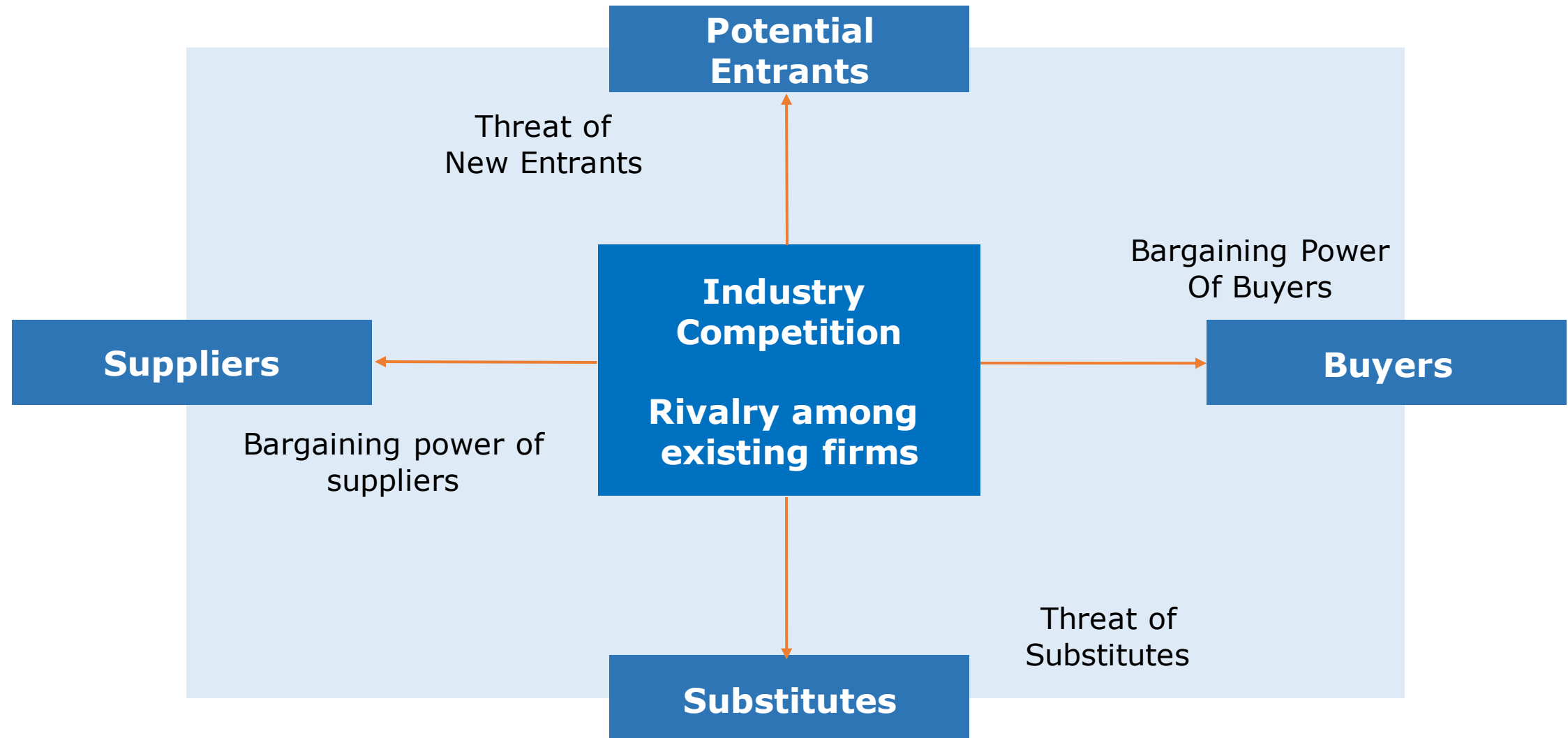
This concept is used for formulating Go To Marketing (GTM) strategy





PORTER'S 5 FORCES

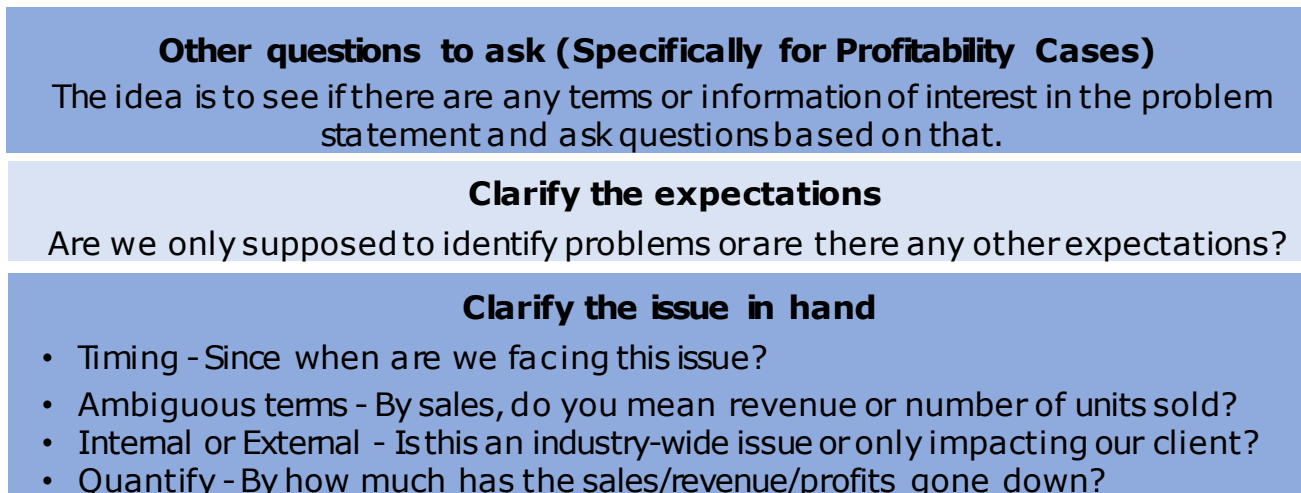
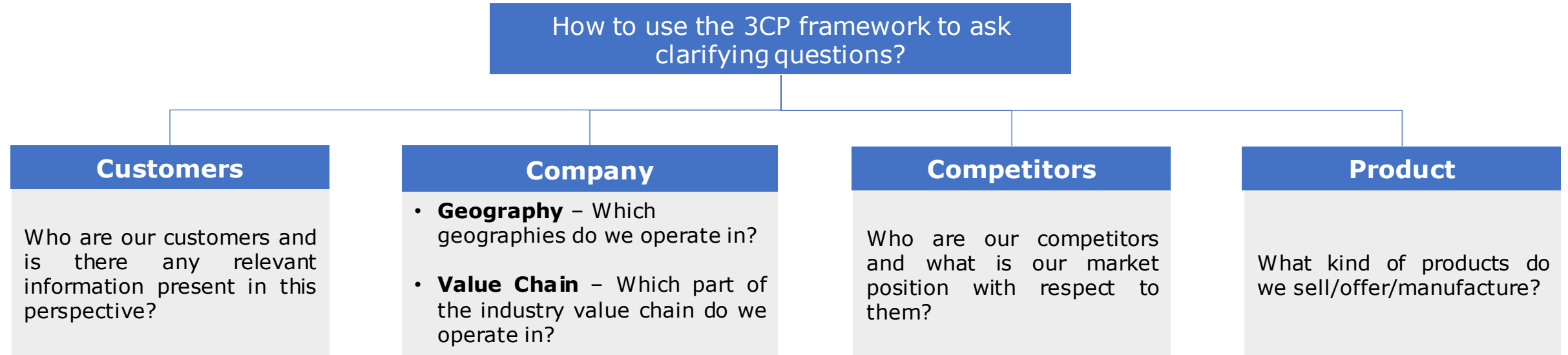
Useful in analyzing and understanding the level of competition for a business





CLARIFYING QUESTIONS – 3CP, Time and External factors

Asking relevant clarifying questions is the first step towards framing your proposed solution strategy



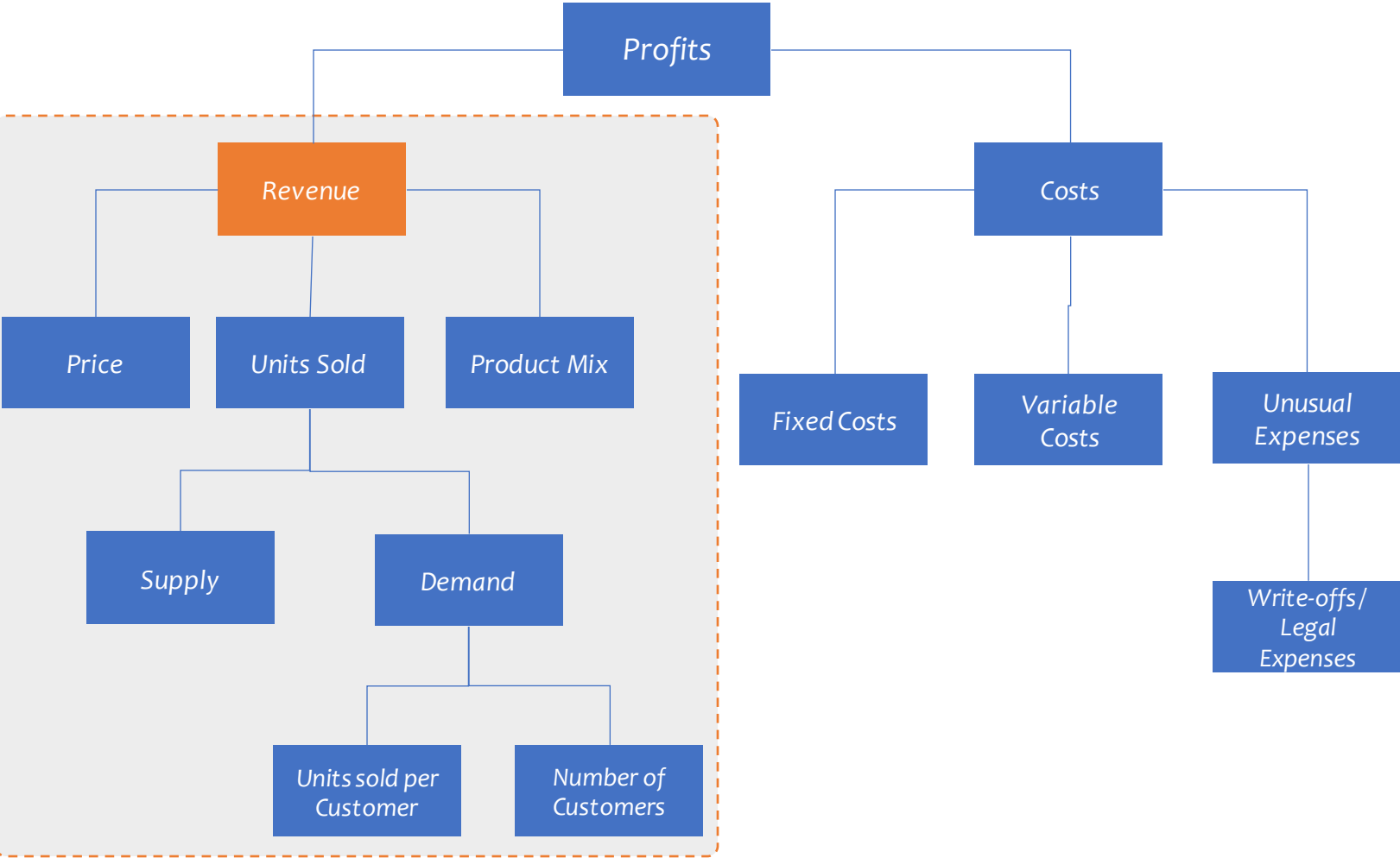
Once you have gathered all this information, **summarize** what you have got to make sure you did not miss anything, and you and the interviewer are on the same page.

After that you can begin thinking about identifying the problem.



PROFITABILITY FRAMEWORK

Profit = Revenue – Cost
So, profitability can be impacted by revenue decline or cost increase or both things happening together



Revenue side problem

Demand side:

Customer Pull	Use the 4As - 4As – Acceptability, Accessibility , Affordability and Awareness (Ask if anything has changed w.r.t any of these elements)
Marketing	Use the 4Ps – Product, Place, Price and Promotion (Ask if there has been a change in any of these aspects of our product)

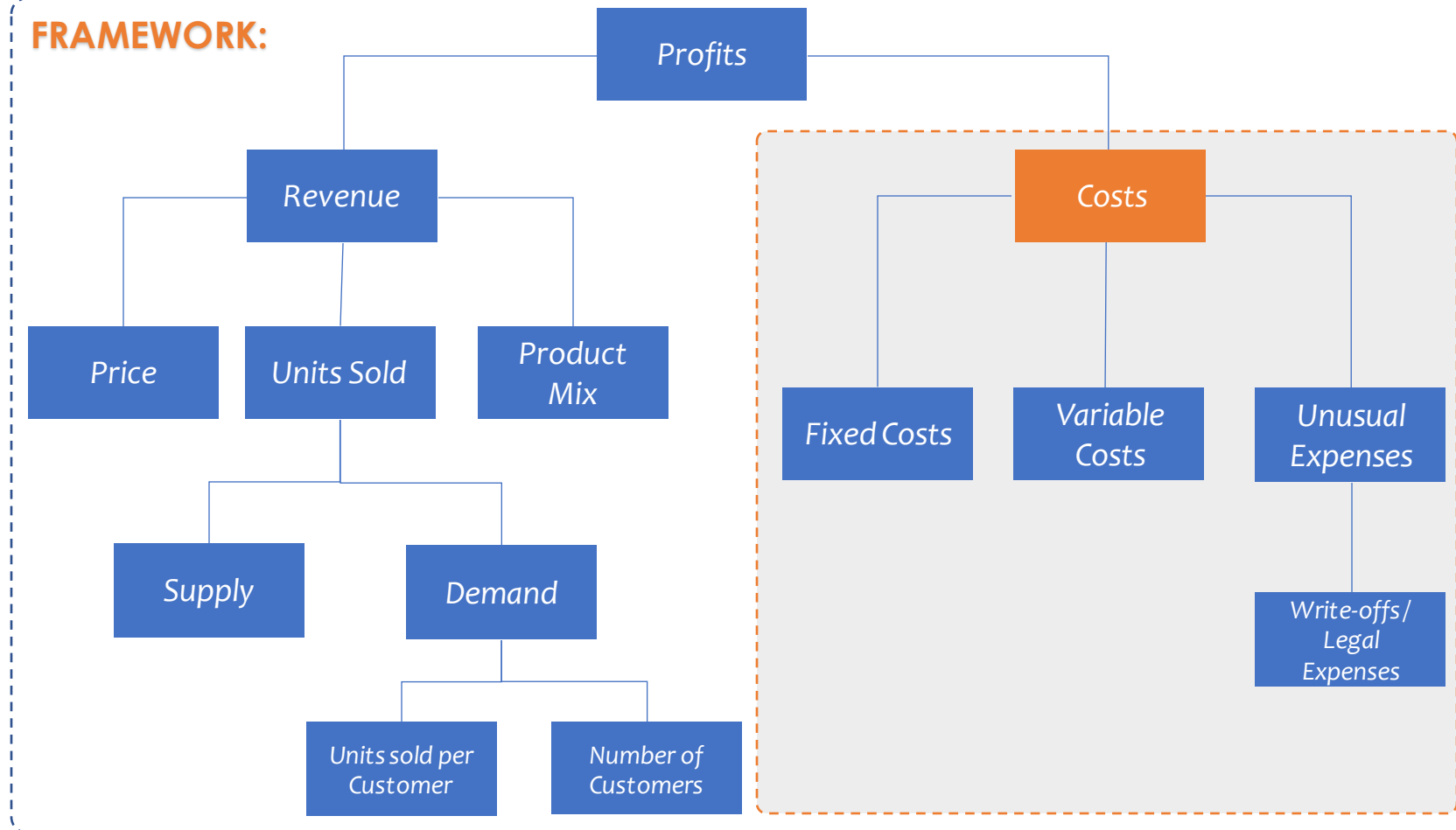
Supply side:

Describe the **value chain** of the industry in brief and ask the interviewer if there has been a change in any of the elements of the value chain and whether **our costs are higher, lower or equal to the industry standards.**



PROFITABILITY FRAMEWORK

FRAMEWORK:



Cost side problem

Option 1

1. Divide the cost components in fixed, Variable and cost
2. Unusual costs based on the problem statement

Option 2

Value chain can also be referred to understand components in each portion of the value chain

Problem Isolation and Recommendation

- **Drill down into components** based on provided answers
- Analyze the most important factors (**Pareto principle**)
- **Competitor Benchmarking** – “Are we incurring the same cost in procurement as of our competitors?”
- **Business Insights** (Optional but recommended) - The Interviewee can also apply current trends in the industry to formulate recommendations to the identified problem

Value Chain:

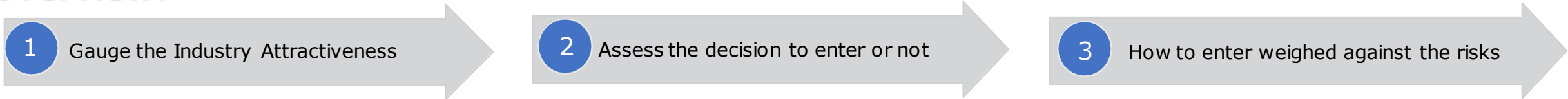




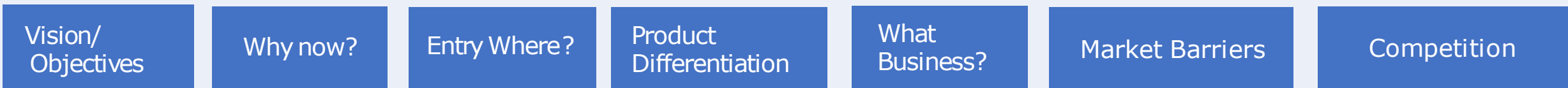
MARKET ENTRY FRAMEWORK

A market entry case will be based on either a product launch or entering new geography, generally including a market size guesstimate.

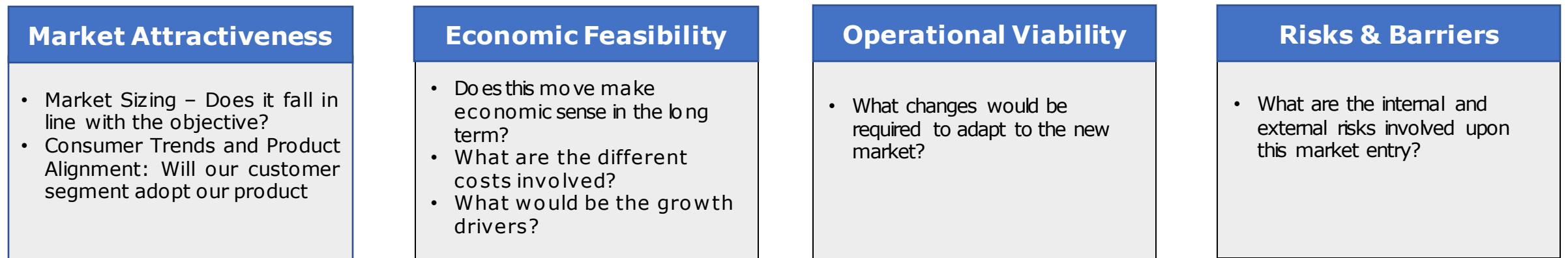
Overview:



Clarifying Questions:



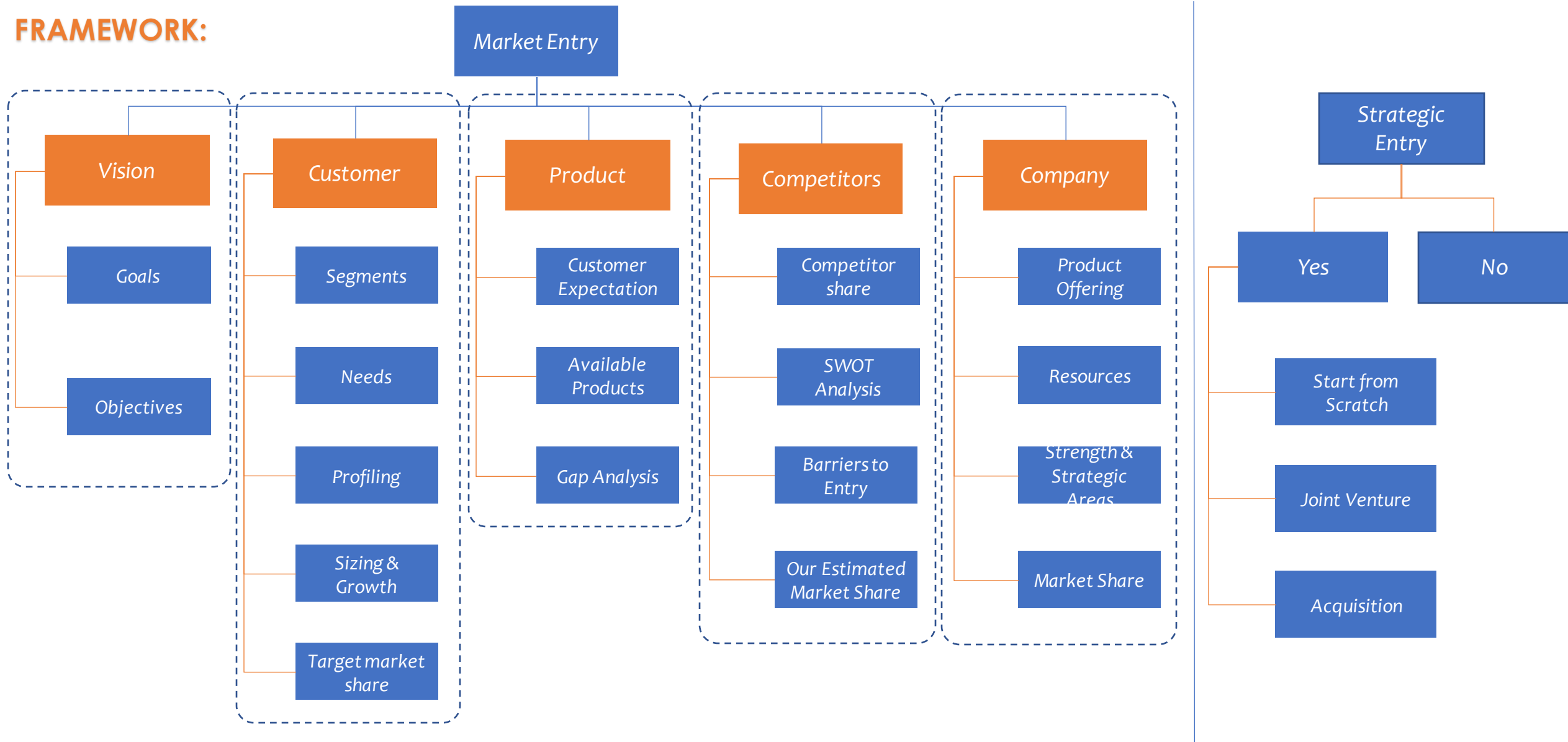
Factors to decide for entering into a market or not?





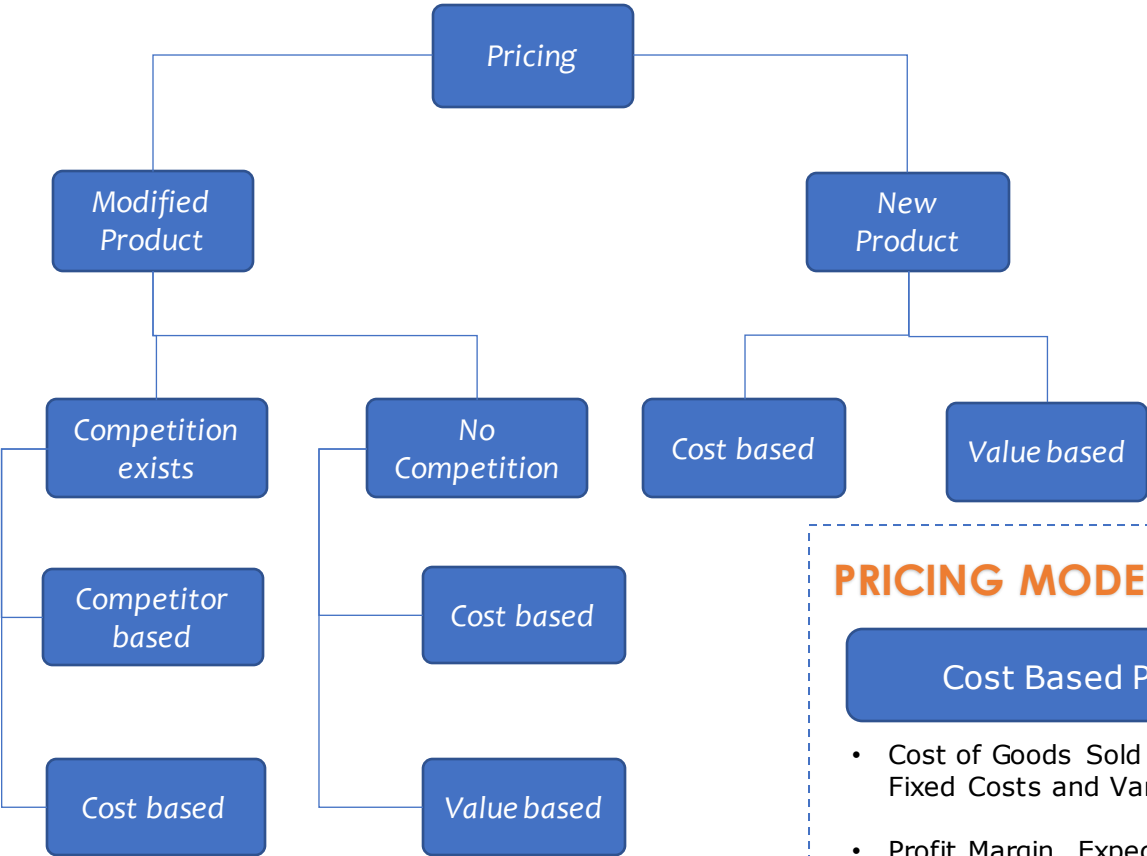
MARKET ENTRY FRAMEWORK

FRAMEWORK:



PRICING STRATEGY FRAMEWORK

FRAMEWORK:



GUIDE TO USE THE FRAMEWORK:

Key questions to ask			
1	Understand the Objective	- Why now? - Any external or internal factors driving this exercise?	
2	Frame 3CP questions	Company	- Current Capabilities - Major cost component in the value chain
		Competitors	- Competitive products - Available substitutes
		Customers	- Buying characteristics - Perceived value
		Product	- Advantages / Disadvantages - Uses & Characteristics
3	Expected margin? / Capital Investment required? / Expected payback period ?		

PRICING MODELS:

Cost Based Pricing

- Cost of Goods Sold (COGS) = Fixed Costs and Variable Costs
- Profit Margin, Expected Break Even
- Any R&D Expense?
- Price = COGS + Profit Margin**

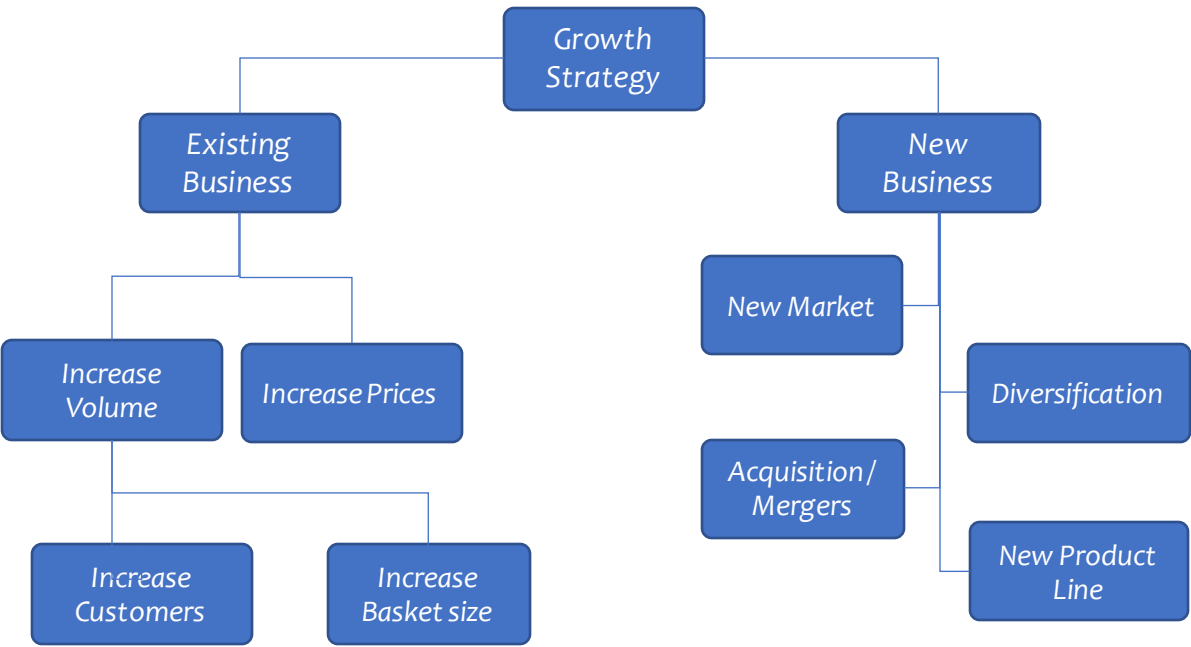
Competition Based Pricing

- Availability of Substitutes
- Competitors Price Points
- What is Company's vision? Profit Margins vs. Gaining market share
- Price is in accordance with Company's vision**

Value Based Pricing

- Value proposition of the Product
- How much does the customer spend on a similar utility?
- Will a higher value be achieved through marketing strategies?
- Price = Value Appropriate to the Product**

FRAMEWORK:



CLARIFYING QUESTIONS

1	Understand the Objective	- Why now? - Any external or internal opportunity behind this exercise?	
2	Frame 3CP questions	Company	- Current Capabilities - Major cost component in the value chain
		Competitors	- Competitive products - Available substitutes
		Customers	- Buying characteristics - Perceived value
		Product	- Advantages / Disadvantages - Uses & Characteristics
3	Get the targeted growth rate defined as well as the time period in which the target has to be achieved		
4	Ask about the expected growth rate of the industry to judge whether the targeted growth rate is at par or above it		
5	Ask about the price elasticity of the product to understand whether increasing prices is an option or not		

Difference between a profitability case and a growth strategy case:

- Profitability cases:** These cases will have a clear DECLINE in profits caused by either declining revenues, increasing costs or both.
- Growth Strategy cases:** There will be cases where the company is doing good but wants to grow at a faster pace, or the company is growing but at a slower rate or is unable to meet its growth targets

A case in which profit is declining cannot be characterised as a growth strategy case

Similarities with Profitability and Market Entry cases:

- A company can grow in two basic ways, either expand the existing business units or add newer business units
- When you have to expand the existing business units, the case may closely resemble a profitability case as frameworks like 4As or 4AN serve the purpose of increasing customers, which is also an objective of a revenue decline (type under profitability) case
- When you are trying to add new business units, the case may closely resemble a market entry case as we're essentially trying to see how we can enter a new business, penetrate new markets, launch new product lines, or do an M&A activity



Your client is an automotive company which has been recently set up. The company has found their profits to be less than expected. Please find the problem areas and recommend solutions.

To summarize the problem statement, our client is a newly set up automotive company which is experiencing profits less than expected. I need to find problem areas and recommend solutions. Is there any other objective I need to keep in mind?

No, you can proceed.

Can I go ahead and ask a few questions to get some clarity?

Sure.

By how much are we missing the profits forecast? Are we facing this issue right from inception?

We have been facing low profits since inception. You can ignore the quantitative aspect and proceed with finding problems.

Can you tell me more about the company's business? Who are our customers, where are we operating from and where does our company lie in its value chain?

Our client has a manufacturing plant at MIDC Pune where they manufacture steering wheels and conduct businesses with OEMs and dealership owners.

Is there any data available about our competitors? Are they also facing a similar issue? Also, what is our market share in this space?

We do have two to three competitors in this space but they are not facing this issue. We have a market share of 8%.

Okay, thank you for providing the above information. So profit is given by Revenue - Costs. Revenue can be analyzed through categorizing into operating and non-operating revenues while cost can be analyzed through its value chain. Hence to analyze profits, which component do you want me to discuss further?

I would like you to analyze the cost component for now

Okay. So, for our client's industry, the cost components would be Raw material costs, R&D Costs, Processing & Assembly, Storage costs, Distribution costs, and Sales costs. Now in which part of the chain would you like me to analyze the costs?

You can go ahead and analyze the Processing and Assembly component for now.

Great, so in this component, I would like to broadly consider 5 factors. They are: if the quality of material being used is subpar, if staff is rightly managed at all levels, if the machines established are working at the expected efficiency, if the correct procedures are in place as well as if industry standards are followed in them. The final factor would be if the right tools for quality checks are being incorporated or not. Do you want me to focus on any particular factor?

Please explore the staff aspect.

One of the cost drivers in this segment can be inadequate manpower. Inadequate manpower would lead to delays and overprocessing, leading to increased costs. The other cost driver would be an excess amount of labour. Unused labor would increase overhead costs while also leading to underemployment and dissatisfaction. Since our plant is located in an industrial area, I assume there is ample labor availability. Is my assumption right? And if yes, can I have more information on the job allocation process?

Yes, your assumption is correct. Also, all the workers are employed on a permanent roll and put on active jobs purely based on their availability.

Okay. Our problem seems to be suboptimal job allocation leading to overspending. Since manufacturing involves both specialized as well as non-specialized workers, the work allotment should also be done in line with their skillset.

What will you recommend to our client to tackle this problem?

I believe first and foremost; the line managers need to perform competency mapping in their department. Also, short and long term projects related to labor optimization and training can be initiated. This can include implementing technological solutions for better managing employee information and as well as guide the management in identifying training requirements. With the future requirement of labor known through competency mapping, the avoidable labor force can be checked and then be provided with part-time contracts or laid off completely to decrease costs.

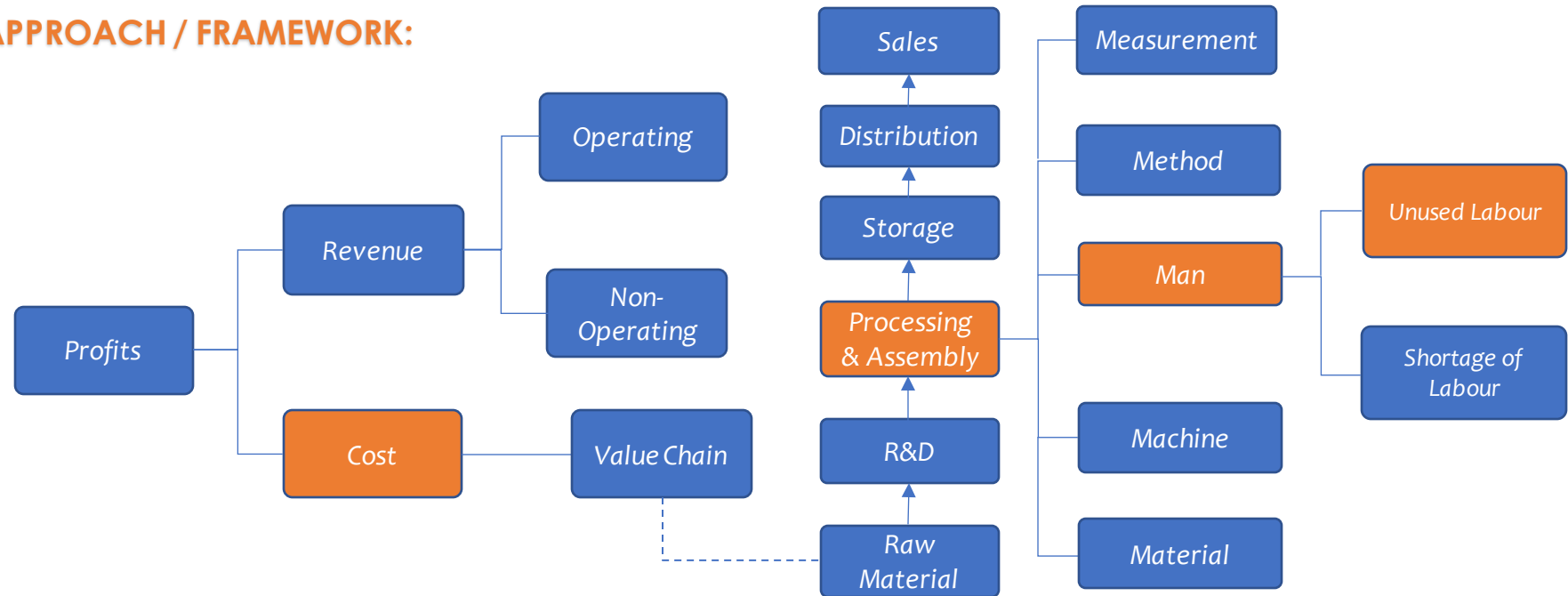
Great. These look like good recommendations. We can close the case now.

Your client is an automotive company which has been recently set up. The company has found their profits to be less than expected. Find the problem areas and recommend solutions.

CASE FACTS:

- Low profits since inception
- Market share of 8%; Two to three competitors who are not facing the issue
- Plant is in MIDC Pune hence ample labor available
- Workers are employed on a permanent salary roll
- Workers are assigned jobs purely based on their availability.

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Competency mapping by respective line managers
- Projects related to proper skill mapping and training can be initiated.
- Avoidable labor force can be provided with part-time contracts or completely laid off.

Our client is a major organic fertilizer manufacturer with a nationwide presence. It is facing declining revenue and is unable to compete. You have been approached to find the problem and recommend solutions.

I'll summarize the problem statement to make sure I've got it right. Our client is an organic fertilizer manufacturer with a nationwide presence & is facing a decline in revenues. We are required to find the problem and suggest probable solutions. Is there any other objective I need to keep in mind?

There are no other objectives. You can proceed.

Can I go ahead and ask a few questions to get some clarity?

Sure.

Since when are we facing this issue?

From past three quarters.

What are the key product offerings of the company? What is the current distribution network of our client?

The company only manufactures a single product of organic fertilizer. The company does indirect retailing through various distributors.

Can I get some information on competition & existing customer segments to better understand the environment in which the company is operating.

There are 2 major competitors to our company in this sector. Our target customers are farmers cultivating more than 5 acres of land.

Thank you for the information, since we have an issue with declining revenue. Declining revenue can be due to a declining number of units or by a declining price per unit. Do we have any information related to this?

We are experiencing a decline in the number of units.

Do we have any information on the current market size and our market share?

The market for organic fertilizers in India is growing at 3% every quarter but our share has been decreasing. Competition is gaining the market share with one doing extremely well.

Okay. So basically, our market share is declining. I want to analyze this problem from 2 aspects. One will be the demand side & the other will be the supply side. Is there any specific side you want me to consider first?

I want you to consider both demand and supply aspects starting with the supply side first.

Sure. Considering the supply side, I would analyse the value chain of the business to understand any challenges or roadblocks for increasing profits. As per my understanding, a fertilizer company's value chain consists of procurement of raw materials, manufacturing of the fertilizers, outbound logistics, sales of the finished product with supporting activities like R&D, firm infrastructure, Human resource management, and other administration activities. Would you like me to analyse the individual components of the value chain?

No that is not required. Now can you analyse the demand side of the problem?

Ok. I would do that by analysing five aspects of customer demand. They are Need, Awareness, Availability, Affordability, and Customer Experience.

What do you mean by these factors in the context of our client?

Need would mean whether and how much do our customers need our product, the demand of our product. Awareness will be about how much our product is known in our target segment. Availability indicates if our product is present at the right time at the right place or not. Affordability factors takes into account whether our product is priced with cognizance of the income levels of our target market. The experience of our customer of using our product as well as their buying experience is an important factor for us to consider. Which factor would you like me to delve deeper into?

Please analyse "Awareness"

Awareness includes the promotional aspect. What is our promotion strategy? Has there been any change in that or has the competitor done anything differently?

What promotional activities can you think of?

The promotional activities in this industry can be discounts, financing – since it's an input cost for the farmers, PR activities or channel-based promotion. Which one of these should I be focusing on?

Current issue is related to an increase in channel-based promotion by our competitor. What are the different channels you can think of within this?

In our client's context, print media, digital media and word of mouth can be the different channels. Is there anything our competitors did in recent months in any of these aspects?

Yes, they have been organizing trade fairs near village markets to directly connect with the consumers – telling them about the product and branding themselves which is helping them build a positive word-of-mouth publicity.

Alright. So, this seems to be the problem where competitors have taken a different approach and conducted these trade fairs to increase their sales. Due to these activities, the competitors are building customer loyalty and hence we are experiencing decreasing market share. Have I identified the problem correctly?

Yes, you have. Please go ahead and provide some recommendations to tackle this problem.

So, the foremost promotional activity our client should do is to conduct trade fairs because that worked well for our competitors. Another way we can increase awareness is by giving free samples of our product to consumers and asking them to try out these samples. We could also be interacting with the industry experts and get their help in explaining the benefits of our product to our target market. Then the other one could be connecting with distributors and retailers and giving them incentives to push the product deeper down. The last one that I can think of is the client can try to sponsor maybe a charitable event because that kind of associates the company in a positive light. And not only that, it attracts a lot of attention as well, considering this is a rural market. These are the few options that I can think of.

Thank you. We can close the case now.

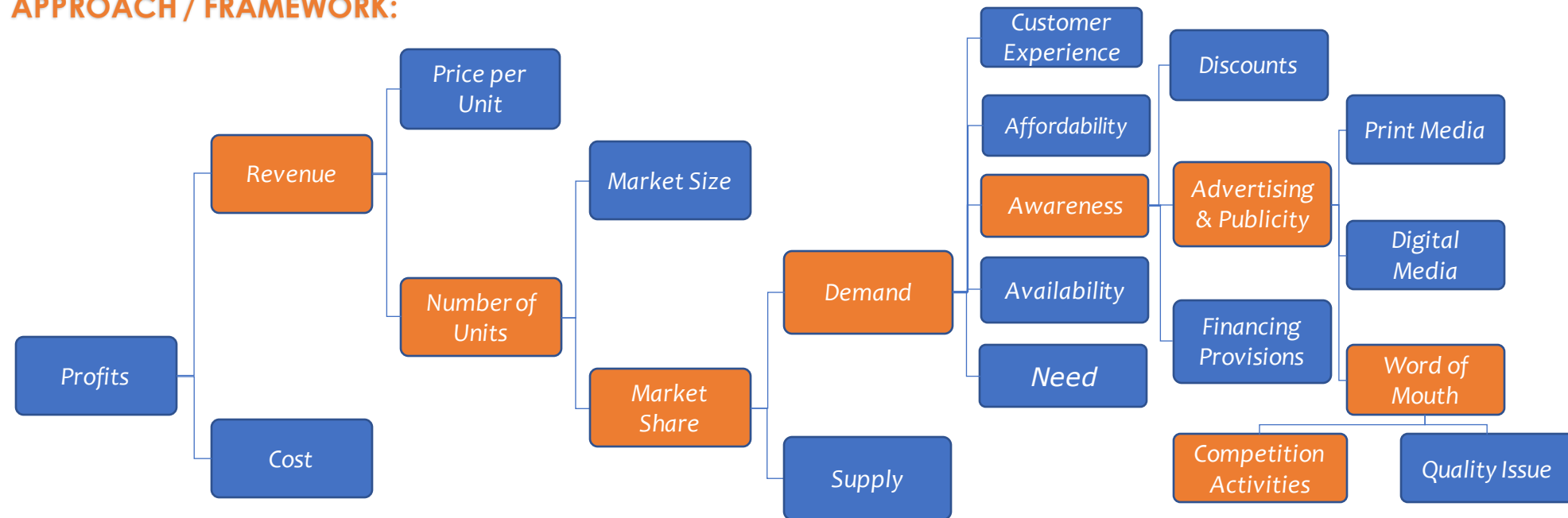


Our client is a major organic fertilizer manufacturer with a nationwide presence. It is facing declining revenue and is unable to compete. You have been approached to find the problem and recommend solutions.

CASE FACTS:

- The revenue is declining from the past 3 quarters
- Our client offers only one type of product, and the price has remained the same
- Our Market share is dropping; No constraints on the supply side
- The competitions products have better awareness than our company as per the company primary research sources.

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Organize trade fairs to interact with farmers on a regular basis
- Give out samples to farmer
- Connect with dealers, retailers and offer exciting deals to them
- Sponsor charitable events



Your client is a highly profitable pharmaceutical company and a niche player in Therapy area. The company currently has annual sales growth of 9%, but the CEO has set a target annual growth rate of 12-15%. Recommend solutions for the same

To summarize the problem statement, our client is a profitable pharma company that is a niche player in a certain therapy area. While the company is experiencing annual sales growth of 9%, the CEO has set a target annual growth rate of 12-15%. I need to recommend solutions. Is there any other objective I need to keep in mind?

No, you can proceed.

Can I go ahead and ask a few questions to get some clarity?

Sure.

I would like to begin with understanding the company, major therapy areas in which organizations operate and additional information about the revenue targets.

Sure, the client operates in one therapy area - oncology. They only develop and sell prescription drugs. They have ambitious growth targets to triple their revenues over next 10 years. The world's major leading therapy areas generate twice as much revenue as the niche therapy areas do. The drugs are only sold to specialists and hospitals.

So, as I understand, the client's issue is that while they are growing at what sounds like a reasonable rate, they are not meeting the annual revenue growth targets that the CEO has set. Would you like me to focus on any area you think is impacting revenues.

Yes, One aspect is the research & development in the organization. Although the company has allocated a handsome budget of 16% to the department, even then department has thin research project pipeline.

Ok, so as the Pharma industry is highly research-driven and as research is important for new duct launches, a strong R&D is necessary for revenue growth. Based on this I would hypothesize that the R&D department is responsible for lower than desired revenue growth. Does that sound good to you?

Yes, that is fine. Now that you've summarized the problem what are your suggestions for improving revenue growth and for the R&D department

As here revenue is the main focus which depends upon price and quantity. I would like to focus on aspects of quantity as the pharma market is regulated and price would not be a parameter which could be moderated. Does that sound good to you?

Yes, please proceed ahead with your analysis.

As I focus on increasing the quantity of drugs that they sell, firstly they could expand in new geographical areas.

Just to inform you the client has its presence in all markets of interest

So, then we can look towards, market penetration and product development

Ok so what do you suggest.

Because our client has a niche business, market penetration is unlikely due to the limited number of patients, therefore let's concentrate on product development. To grow revenue, the customer would need to increase total market share by introducing new products to the market.

Yes. That's correct we would have to focus on new products for growth. What are your suggestions for the research & development department?

The R&D department is underutilized, and it can be because of following reasons :

- Lack of talent
- Lack of motivation/ lack of incentives
- Lack of potential projects & know how
- Fund allocation for projects

Ok. So, what do you recommend for the improvement of department .

The department should work on the below aspects:

- Identify the market needs and prioritize projects
- Check the scope of internal and external research, if the required partner with external research contractors
- Prepare for clinical trials for the new projects
- Look towards current portfolio maintenance and product life cycle

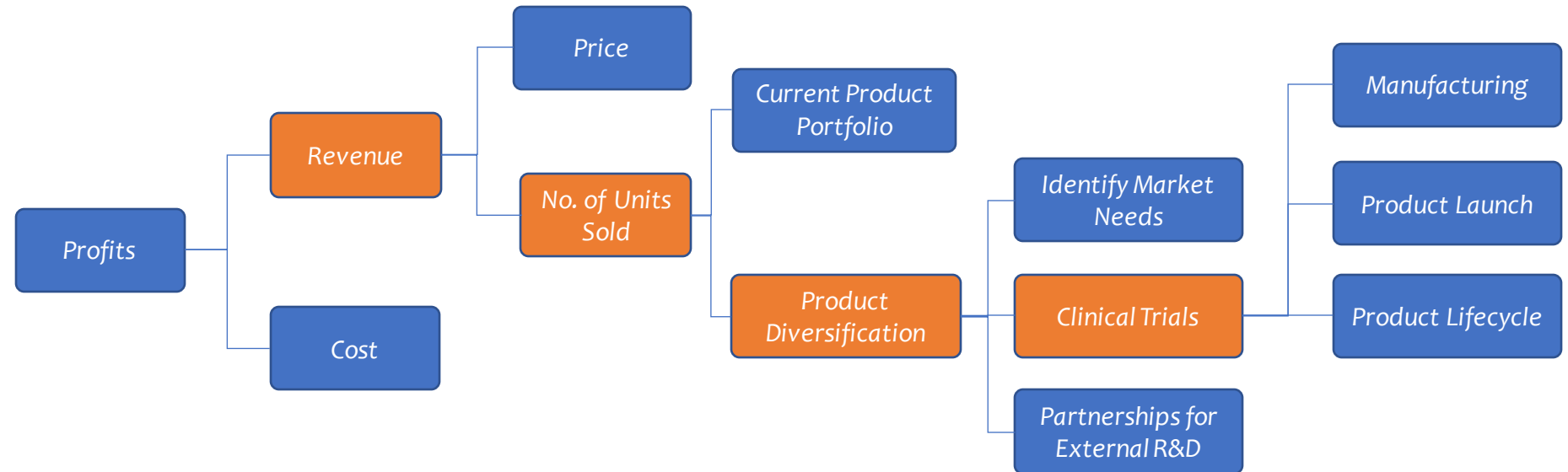


Your client is a highly profitable pharmaceutical company and a niche player in the Therapy area. The company currently has annual sales growth of 9%, but the CEO has set a target annual growth rate of 12-15%. Recommend solutions for the same

CASE FACTS:

- Operates only in the Oncology therapy area
- Develop and sell prescription drugs
- Market generating twice revenue than niche markets
- R&D has a thin project research pipeline
- Client has presence in all markets of interest

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Identify the market needs and prioritize projects
- Check the scope of internal and external research, if the required partner with external research contractors
- Prepare for clinical trials for the new projects
- Look towards current portfolio maintenance and product life cycle



Your client is an electricity generation company based in the US. They are experiencing declining profits. Analyze how would you approach the solution.

To summarize the problem statement, our client is an electricity generation company which is based in the US. I need to find problem areas and recommend solutions. Is there any other objective I need to keep in mind?

No, you can proceed.

Can I go ahead and ask a few questions to get some clarity?

Sure.

I would like to know where do we lie in the value chain in this industry?

What do you think are the different components in this industry?

The three major value chain activities in such a company would be Generation, Transmission and Distribution. There also be supported by other activities like sourcing fuels etc. Is there anything I am missing out?

No, you are right. Our client is involved in the complete value chain. You can proceed.

I wanted to know if revenues were decreasing, or costs were increasing or both for the client.

Revenues have remained constant whereas the costs have increased.

Okay. I will try to analyze the costs across the value chain activities. Should I focus on generation first? And also, what kind of turbine do they use?

Sure. They are currently using Gas Turbine generators. Tell me the various cost drivers which you think are involved in generation.

The major costs involved in the generation would be input fuel costs, machine operating costs, manpower costs, conversion costs, repair and maintenance costs.

Among these various costs, which of them do you think is more controllable from the client's perspective?

1. The input fuels used are mostly Naptha or Liquified Natural Gas in Gas Turbines. These fuels have a lot of uses in other streams and their prices fluctuate based on crude oil prices. The client will have little control over these prices
2. All other costs like Manpower costs based on operation, supervision and maintenance personnel; Machine operating costs; Repair and Maintenance costs, Conversion costs and Efficiency of machines based on the type of machine used are controllable in nature.

There are machines with efficiency ranging from 30% to 60%. More capital investment would lead to better efficient machines which reduce costs of running. They will also require less maintenance.

We should focus more on these controllable costs to analyze which of them have increased.

Ok. Our client has 10 turbines with each turbine requiring throughput of X units of Naphtha per hour. 1 unit of Naphtha gives approx. 10 units of electricity. Calculate electricity generated in a year if efficiency is 30%

I am assuming they work for 16 hours per day and approx. 300 days in a year. Electricity generated would be $10 * X * 10 * 0.3 * 16 * 300 = 144000X$ units

Good. What do you think can be improved here?

The first obvious thing would be the efficiency. As indicated earlier, we could think of buying new machines which have better efficiency which will improve the units generated. And also, based on my previous experience, we can have a heat recovery system installed at every turbine. These will help in the efficient usage of output gases which are at high temperatures and can be used to heat steam. This will add an additional revenue stream.

Interesting. What do you think is the trade-off that exists in transmission?

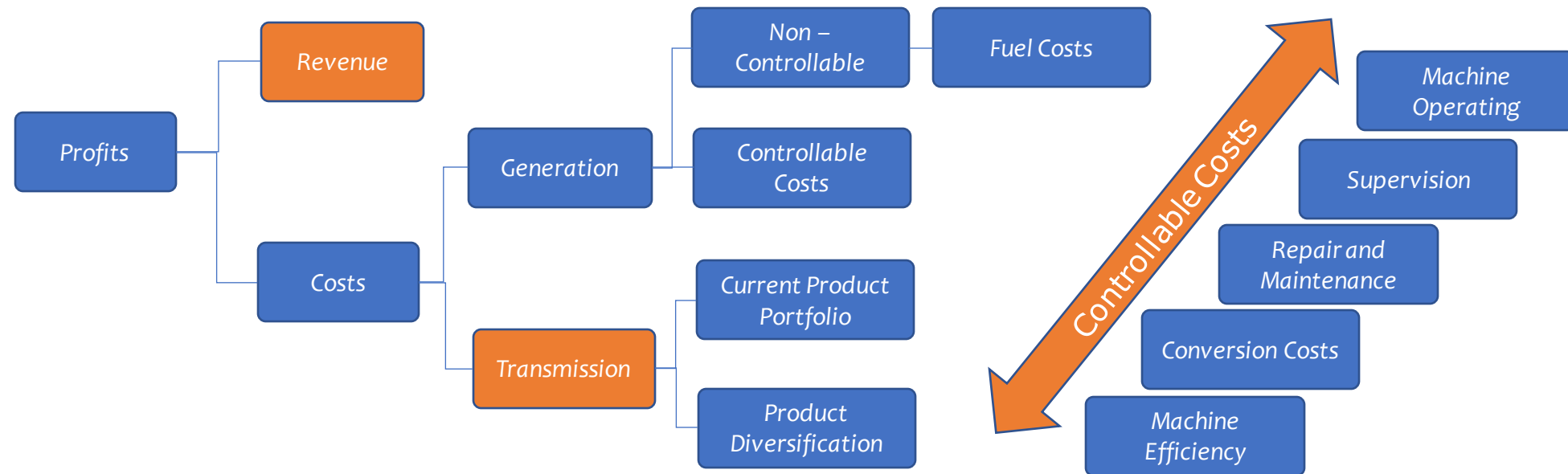
Transmission losses occur more as there are long distances between generating and consuming units. To reduce losses, we need to have more hubs. But having hubs requires huge capital expenses. So we need to find appropriate locations for hubs with a given capital budget that will minimize transmission losses.

Your client is an electricity generation company based in the US. They are experiencing declining profits. Analyze how would you approach the solution.

CASE FACTS:

- Client involved in the complete value chain
- Client using Gas Turbine generators
- Market generating twice revenue than niche markets

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Buying new machines which have better efficiency will improve the units generated.
- Heat recovery system installed at every turbine which will help in the efficient usage of output gases which are at high temperatures and can be used to heat steam. This will add an additional revenue stream.



An oil and gas company is experiencing less profitability. Find the problem areas and recommend solutions.

To summarize the statement. Our client is an oil and gas company facing reduced profitability and I need to find the cause for the same. Is there any other objective I need to keep in mind?

No, You can proceed.

Can you tell me a little more about the client – which part(s) of the Oil & Gas industry does it operate in? – Only downstream or midstream and upstream as well? What is the geographical location of the company?

The client operates in the downstream sector of oil & gas. They operate pan-India

Do we have any information on the demand side if this industry as a whole is experiencing decline in revenue?

There is a decrease in demand but compared to competitors, we are facing a sharp decline.

So, the problem is not on the revenue side. Can we say that? And if yes, can I go ahead to analyse cost components through the value chain?

Yes, you can go ahead.

Okay. So, for our client's industry, the cost components would be R&D Costs, Procurement from midstream companies & Inbound logistics, Plant Processing & Assembly, Storage & Distribution, Transportation. Now in which part of the chain would you like me to delve deeper into to analyse the costs?

You can go ahead and analyse the Processing as our processing costs are higher than benchmarked.

Okay, in that case, I would like to delve deeper into processing costs. However, before I proceed with the same, I would like to see if this is the only cost head that has an issue.

No.

Yes Okay. Is the client facing labour or rent issues?

No

Is having underutilisation of capacity?

The company is facing increased costs in maintenance leading to systems working at low efficiency. Can you recommend recommendations for the same?

Can I have information on how digitized the system/plant is?

You can say that it is close to negligible.

I can think of a couple of ways to reduce maintenance costs using advanced technology. It will cost a little investment on the R&D department. New age maintenance techniques like IOT, Predictive Analysis, Condition Monitoring etc to be adopted.

Oil and gas companies can use predictive maintenance to rely on IIoT-enabled technology, such as sensor data, and predictive analytics for real-time equipment inspection. This aids in the prediction of maintenance requirements, lowering maintenance costs and reducing unplanned equipment failures.

We can evaluate the health and performance of their equipment and only schedule maintenance when an issue that is out of the norm is detected.

To reduce costs, blockchain and automation can be used to simplify processes and reduce lead time

Syncing the digitization with upstream companies to ease the flow of data and to keep up with the speed increasing capacity.

And lastly, using agile methodologies for better demand forecasting and thereby reducing layover costs

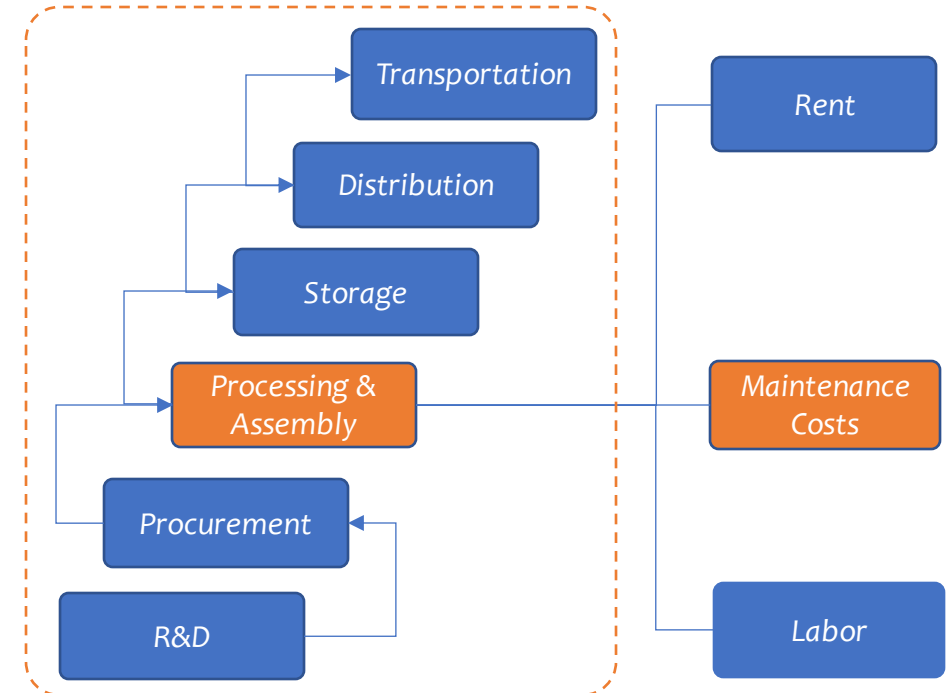
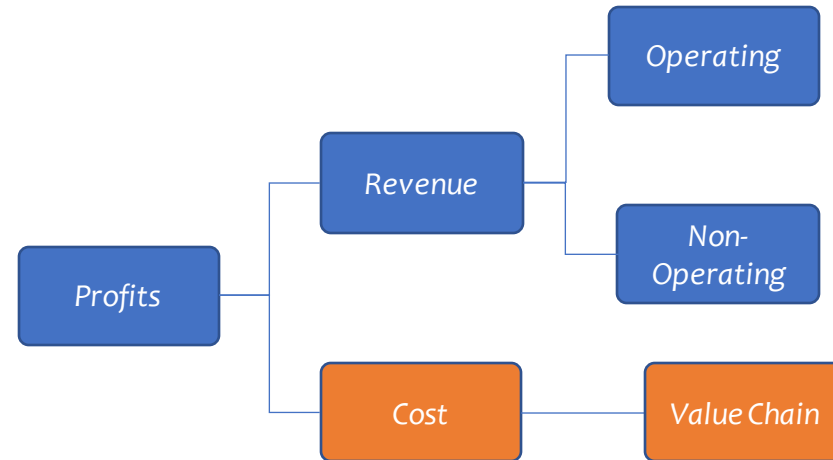
Great. These look like good recommendations. We can close the case now. Thank you.

An oil and gas company is experiencing less profitability. Find the problem areas and recommend solutions.

CASE FACTS:

- Downstream sector operating pan India
- Decline in demand but we are facing sharp decline compared to competitors
- Processing costs are higher than benchmarked
- Increased costs in maintenance leading to systems working at low efficiency
- Digitization is close to negligible

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- New age maintenance techniques like IOT, Predictive Analysis, Condition Monitoring etc to be adopted
- Oil and gas companies can use predictive maintenance to rely on IoT-enabled technology, such as sensor data, and predictive analytics for real-time equipment inspection. This aids in the prediction of maintenance requirements, lowering maintenance costs and reducing unplanned equipment failures
- We can evaluate the health and performance of their equipment and only schedule maintenance when an issue that is out of the norm is detected
- To reduce costs, blockchain and automation can be used to simplify processes and reduce lead time
- Syncing the digitization with upstream companies to ease the flow of data and to keep up with the speed increasing capacity
- And lastly, using agile methodologies for better demand forecasting and thereby reducing layover costs



Our client is an Ice cream manufacturing company. It is facing an issue of decrease in profits. They approached us to find out the problem & recommend appropriate solutions to increase their profits.

To know about the environment in which it is operating. Can you please let me know the product mix, competitive landscape, market share and from how much time the company is facing this issue?

The company has been operating in this market for the past five years. It currently manufactures only three products with milk-based natural flavours. The client operates only in the city of pune. The entire ice-cream market in Pune is shared among 3 major players. The company is facing a problem for the past three months.

Thank you. Since the issue is with the profits of the company, I will start by analysing the revenue earned & cost of the goods sold (production) as the profit is the absolute difference between these two parameters. Is there any area you want me to focus on?

I want to know your approach in further analysing these two parameters.

For the revenue side, I will start analysing the changes in the average price of products sold and the volume of the goods sold by the company. For the cost side, I will be looking into the direct and indirect costs associated with the value chain of the company

Ok, I want you to focus on the revenue aspects. There is no change in the average price of the products. The client has observed a dip in the number of units sold.

So, there is no change in the price and the number of units sold has decreased. Is this case with the competitors, too, or is it only specific to our client's company? Is there any change in the market share or market size?

Only our client has observed the dip in the sales. Competitors' sales numbers have grown in the past three months. The market size remains the same. We have noticed that market share is dropping for the past three months.

Since problem is only with our client & not the market overall. I want to analyse if there are any constraints on demand & supply sides. Do you want me to focus on any side?

Analyse both sides

To understand demand side, I will analyse customer journey while purchasing ice cream. The following are things that can affect demand of our client's product. Need for product

awareness created through promotions, right pricing strategy for making our product affordable, distribution channel for proper availability of our product to potential customers and customer experience. On supply side, I will focus on constraints from suppliers, cold chain logistics, product line. Is there any specific area you want me focus on?

Yes. What can be major factors affecting the need of our client's product?

Major factors can be effect of income, effect of price, change in demographics of the region, product obsolescence or change in psychographics. Since there is a stiff competition in the market, there will be no scope of increase in the price of the products. Is there any shift in the clients targeted segment in the past 3 months?

No

Is there any campaigns or social happenings impacting customer perception on products?

There are no such thing happening in the market.

When is the last time our client launched a new product/ flavour and what is the frequency with which the vendor introduces new products in the market?

The vendor hasn't launched a new flavour in the last two quarters.

This can be a problem as the existing products may get obsolescent. Our products may not be attractive against the new products from the competitors. Did the competition launch any new products in this period?

Yes, one of our competitor has launched a range of flavours extracted from fresh fruits.

The trend to shift to healthier lifestyles has made customers choose options that are naturally sourced. Launch of new product from the competitor must have affected the demand in our products. Have I identified the problem correctly?

Yes, you have identified the problem correctly. Any recommendations on what can be done to improve our market?

Since our existing product has reached obsolescence, our focus needs to be on product development. New product development is required to cater the existing market. We can also acquire a competitor's product or form partnerships with other firms to introduce a product which would be better than the competitor's product to benefit from the demand for natural ingredient ice-creams in the market.

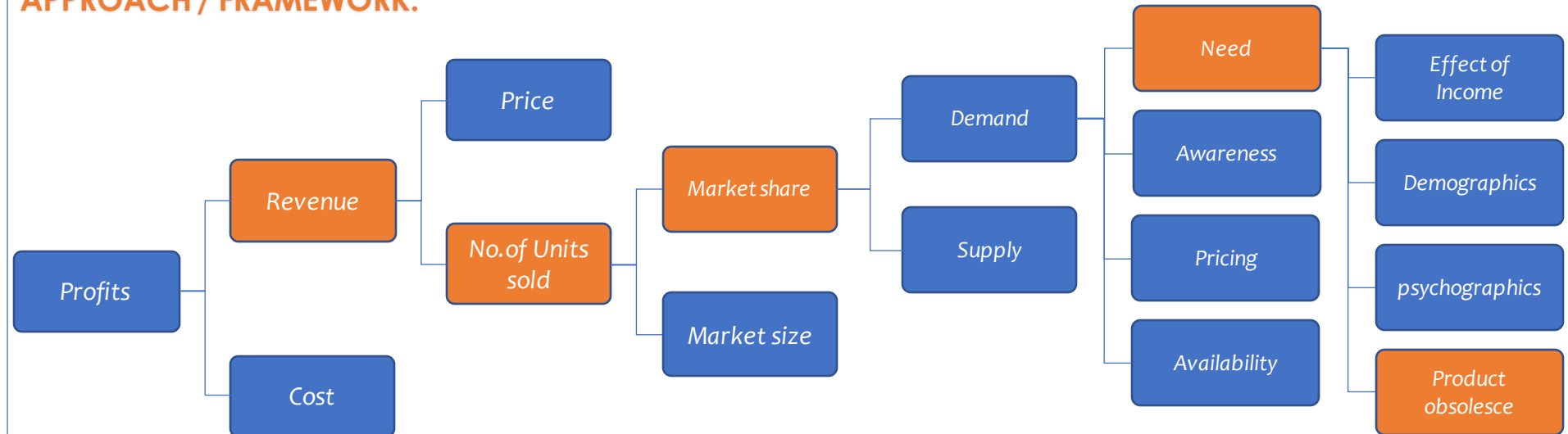


Our client is an Ice cream manufacturing company. It is facing an issue of decrease in profits. They approached us to find out the problem & recommend appropriate solutions to increase their profits.

CASE FACTS:

- Client manufactures only 3 products with milk based natural flavours
- No change in the avg price of the products
- Market growth remained good
- Competitor has launched new flavour

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Since the problem is with the product obsolescence, Client main focus should be on new product development.
- Client can also see the possibility of acquiring a competitor's product or form partnerships with other firms to introduce a product fast in the market

Your client is the owner of a café that caters to the students of a nearby college, who has recently hired a new manager who helped him increase the volume of customers. However the profits have started to decline. You have been hired to figure out why?

That is an interesting situation. I just want to confirm that we are required to find out why profits are declining even after the volume of customers coming to café has increased.

Correct. How would you go about the case?

Before I begin, I would like to know a few aspects about the café. Could you help me out the products that the café sells?

Sure. The café sells Sizzlers (Combination of Chicken, Vegetables & Rice), Beer and Exotic Desserts.

Alright. Since Profits is calculated as Revenue minus Costs, I would like to look at both components individually, starting with Costs, is that alright?

Sure. Go ahead.

As Cost of Restaurants are mainly affected by Ingredients Cost, have there been any change in the unit Cost of Ingredients?

No

Has there been any increase in the rent, utilities, or employee wages?

There have been no changes.

Okay. We can move on to any Capital Expenditures by the café as in the chairs, tables, kitchen utensils, interior decoration or any maintenance?

There have been no charges as such.

We can move on to revenues then. I would like to look at both components, Price and Volume. The new manager has managed to increase the volume of Customers. Is it safe to assume that volume of food and beer getting consumed both have gone up too?

Yes. That has been the case for the client.

This could be done by changing the Product Mix or any new Promotional Strategy used by the manager.

Good Thought. No new Products have been added to the mix. However, the manager has introduced "Sizzler Mania", where Customers can eat as much Sizzler as they want for a fixed price. The Prices have been increased to offset the cost of food being served per Customer. Other than that, all prices remain unchanged.

So Sizzler Volume and Prices aren't a problem and the rest of the prices are unchanged. I would like to have a look at the margins offered by Exotic Desserts?

Good question. The margins on desserts are extremely high as the chef prepares artistic & customized dishes with inexpensive ingredients. The customers have also been willing to pay higher prices for the same.

That could be a problem. As the new strategy of Sizzler Mania must be highly filling for the Customers leading to decrease in the share of dessert sales.

Great, you have identified the problem correctly, now can you give some recommendations to remedy this problem?

I would recommend using the Sizzler Mania strategy only for days which have lesser sales like on Weekends when the college is closed. This would pull back the Customer towards high-margin desserts. There might a slight drop in volume but the profits should be restored.

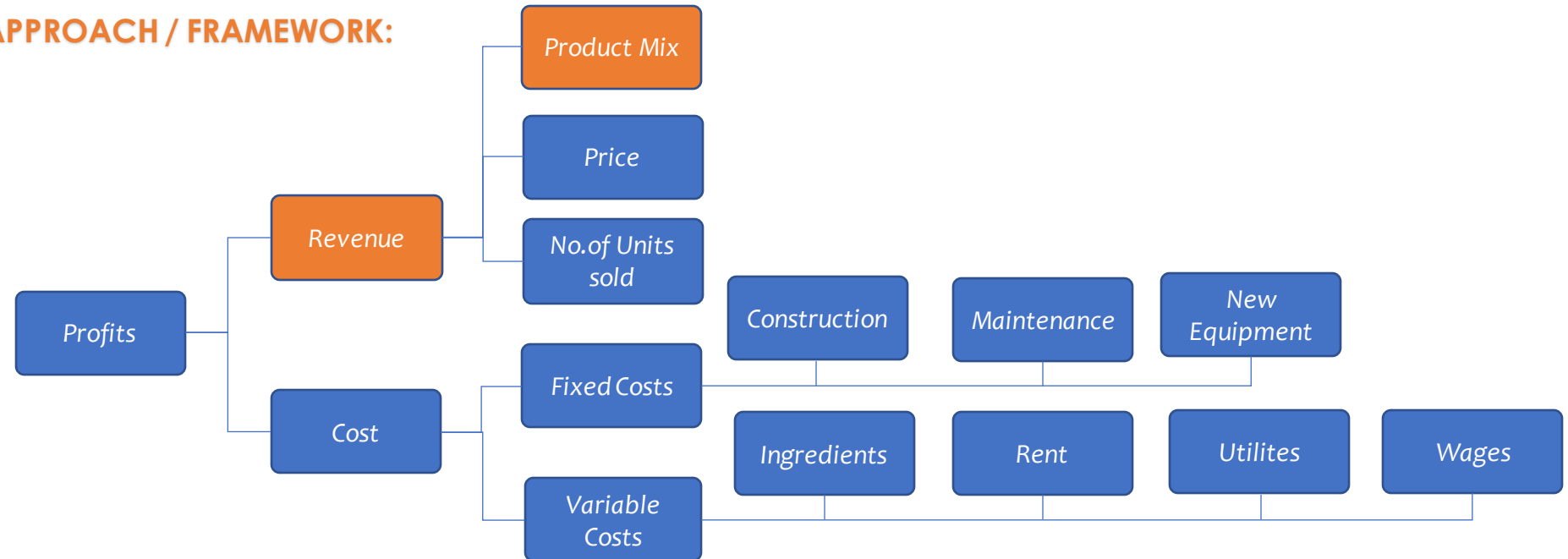
Thank you. We can close the case here.

Your client is the owner of a café that caters to the students of a nearby college, who has recently hired a new manager who helped him increase the volume of customers. However the profits have started to decline. You have been hired to figure out why?

CASE FACTS:

- Volume of customers coming to the café has increased
- There is no increase in the rent, utilities, or employee wages
- Sizzler Mania – Unlimited sizzlers are being provided for a fixed price
- The customers are willing to pay a higher price for customized dishes

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Sizzler Mania strategy only for days which have lesser sales like on Weekends when the college is closed should be followed by the client.
- Attract the customers to order the customized deserts

Your client is a hospital facing declining profits. How would you identify the issue?

Alright, The hospital's profits are reducing over a period of time and I have to identify what might be leading to this. So, profits are a function of the revenue for the hospital less its costs. Should I analyze both the metrics one by one or do you want me to focus on just one?

We know that the YoY revenue has been declining. What are the major areas you'll look over?

So, for a hospital, there can be broadly following streams of revenue: 1. Consultation Fees for the doctors 2. Revenue from the treatment given 3. Sale of in-house medicines 4. Others: Revenue from leasing a premise for cafeteria, leasing space for parking, other shops set up in hospital.

Very well, how would you go about finding the pain-point after this?

Has there been a change in the consultation fees or the course of treatment offered over time?

No, These factors have remained the same more or less over time

Okay, Is there any new hospital/clinic that's been set up in the vicinity or a new government scheme that's incentivizing customers to shift towards them due to their cheaper price?

Nothing like that, the landscape has remained pretty constant in terms of it being the best hospital in the vicinity.

Then this means that the footfall of patients has remained similar as well over some time. Coming to the other factor, I would like to investigate if the in-house sale of medicines has been the driver of declining profits.

Go ahead

The sale of in-house medicines can be affected by the following factors: 1. Change in the contractor/distributor of in house medicines 2. Parity between what's being prescribed and sold 3. Change in the timings of the medicines being sold (24*7 or not)

*The distributor has remained the same for a very long period of time, supplying the same brands' medicines. The medicine shops have also been open 24*7 always.*

Alright, then I would like to explore if there is a mismatch between the prescribed medicines and the ones being sold.

Okay. That is the reason for decline in inhouse medicine sales. But, Why?

There can be medicine shops around the hospital selling similar drugs. The doctors might collude with these shops for a cut in the medicine sale.

Very good, this was what actually happened with the hospital

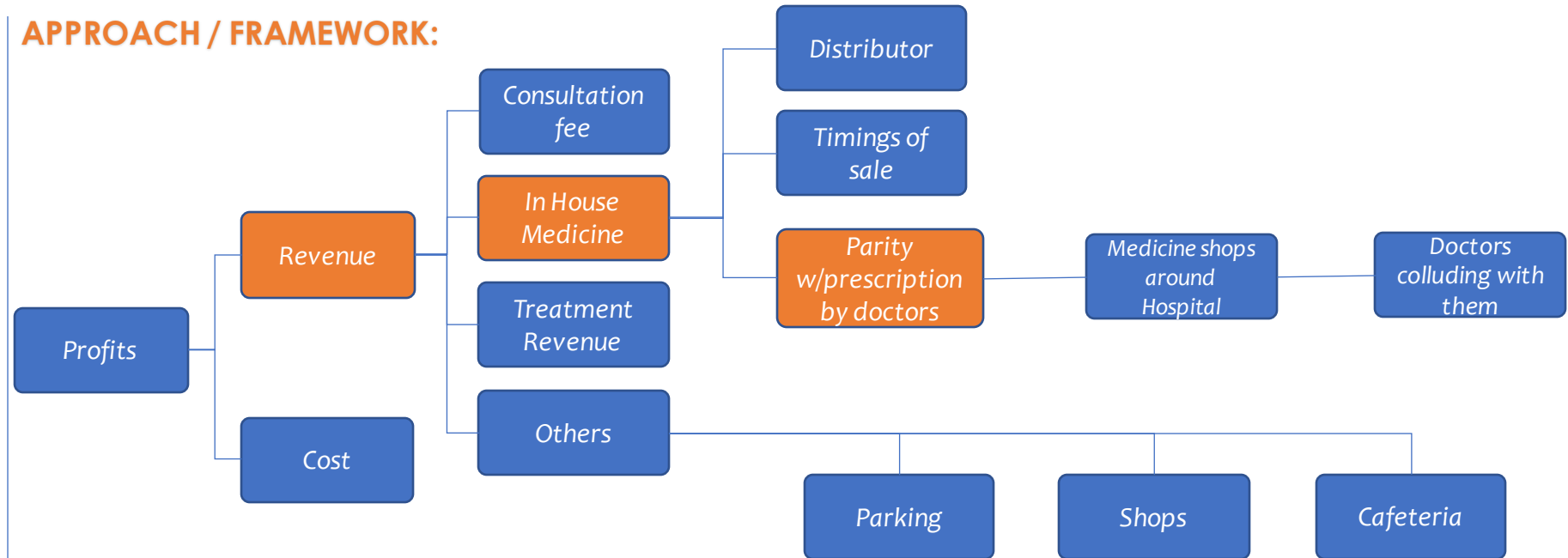


Your client is a hospital facing declining profits. How would you identify the issue?

CASE FACTS:

- YoY revenue is decreasing
- No change in consulting fee
- The landscape has remained pretty constant

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- The client need to focus on increasing the sale of medicines from the hospital pharmacy.



Your client is an Indian sweets manufacturer who is facing a decline in profits. He wants your help. How will you proceed?

How much have our profits declined by?

There has been a decline of 20%.

For how long has the company been experiencing this decline?

It's a recent issue, since the last 2-3 months.

What exactly is our product?

These are like toffees

Which regions have seen this problem?

All of India

Where do we lie in the value chain

We send the toffees to the distributor who sends them to large retail stores, medium retail stores and small stores like Pan shops. They further sell the toffees to the end customers who buy them.

Is this a company specific issue or have other companies seen this trend as well?

We have no information on that.

Let's begin by finding where the reduction in profits is coming from. Then we can understand why we are having this particular problem and how to turn it around. We know that we reach out to customers via Pan Shops, Small Retailers and Large Retailers. Do we know the split in sales of each type of retailer and how much of a decline in sales is each channel facing?

Small Retail (Pan Shops): 60% sales

Medium Retail: 30%

Large Retail: 10%

Pan shop sales have taken a hit, while other channels have not seen a decline. .

Since # of units is reducing in the Pan Shop segment, I want to identify the problem in the value chain. The problem could be because of Production Issue/Distribution Push Issue/Customer Pull Issue. Has our production capacity reduced stifling the number of toffees we can produce?

No. It is same as before.

Are we able to supply distributors as many toffees as they demand?

Yes

Are all toffees reaching from the distributors to the pan shops?

Yes

So either 1. The shopkeepers are not selling (pushing) the toffees to their customers or 2. The customers are buying someone else's products over our products or 3. The market for toffees itself has reduced, however I doubt that the market for toffees is suddenly reduced in a span of 2-3 months

Okay, that seems fair. Go ahead

My hypothesis is that the customers are not buying our products.

Okay. How will you test it?

Is it a commodity product or a differentiable product?

Yes, it is a commodity product

Okay. So the product sales are largely driven by the shopkeepers. I want to understand why our products are not being pushed to the customers as much.

Good job. It so happens that the containers in which the toffees are kept were changed by the distributor. The new ones had narrow necks which made it difficult for the shopkeepers to hand out to their customers.

Noted. In that case, I would recommend that we start supplying our toffees in sealed package containers with large openings, which would attract the audience and would also discourage distributors to tamper with our packaging.

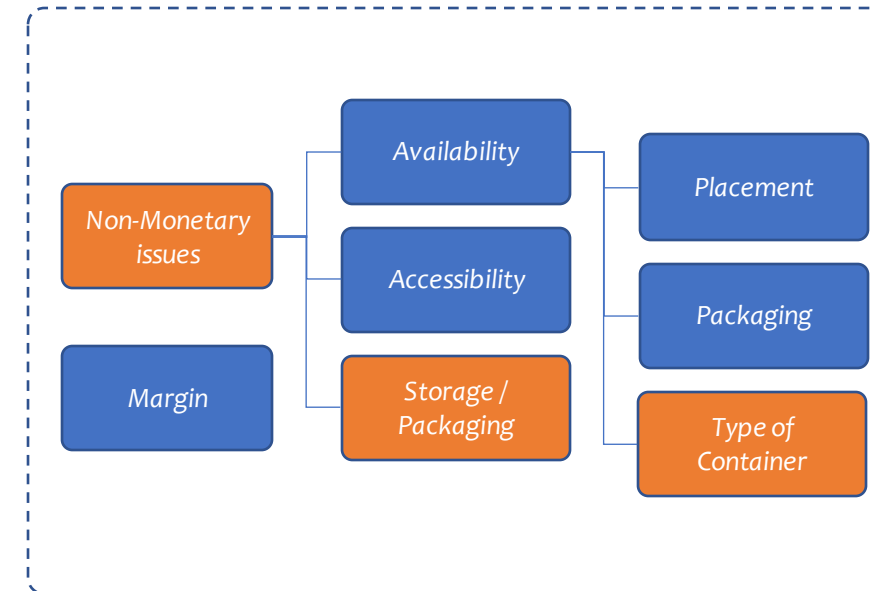
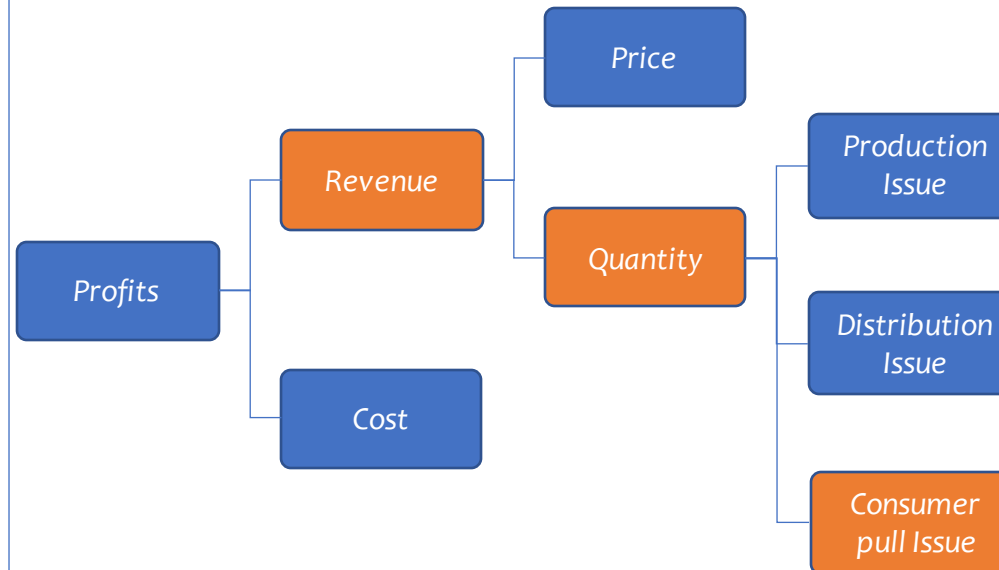


Your client is an Indian sweets manufacturer who is facing a decline in profits. He wants your help. How will you proceed?

CASE FACTS:

- The client is facing the problem for last 2-3 months
- The client offers toffee like sweets & the problem is all over India
- Small Retail (Pan Shops): 60% sales, Medium Retail: 30%, Large Retail: 10%

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- The client should start supplying our toffees in sealed package containers with large openings



Your client is XYZ, a free mobile dating services company. XYZ started two years back and had witnessed tremendous success and popularity across the USA. However, they have not been profitable yet and seek your guidance to turn around the business.

Some guidelines and practices followed in XYZ:

- It operates only in the USA and its primary source of revenue is through ad sales
- It's already LGBT friendly dating app
- The market consists of ~ four major competitors, and most users are on 1-3 apps.
- All 4 have almost the same user base

Since we want to turn around the business, we know that profitability equates to revenue – costs. So, I assume that either the revenues have declined, or the costs have increased.

Costs have stabilized over the past year.

Great! So, I'll explore the revenue part. Since it's mentioned that ad sales revenue accounts as the primary source, I assume the following would be the various sub-parts of the ad sales activity:

1. Selling collective geographic and demographic trends
2. Selling outside services (i.e., emojis, stickers etc.)

There's not much to explore in these aspects. Can you explore new sources of revenue drivers?

Sure, so new sources of revenue could be:

1. Charging on application store
2. Selling a premium upgrade
3. In-app purchases

I am interested in premium services for our consumers. I would like you to explore this section

Since we want to turn around our business, I would explore the quantitative aspects such as the market potential and other business aspects. However, before proceeding I realize that this is a new endeavour for the company as well. So, are there any constraints w.r.t. launch of the premium services?

Yes, Due to staff and server capacity expansion cost issues, the Client would like to launch in just one city this year before rolling out nationwide. The development team estimates \$500000 as the cost of developing the extra service and 6 months for the same. We would like to break even within 6 months of launching

Ok, is there any data about the cities or subscription rate and others that could help us? Also, what would be the price per month of the service?

Yes, we would like you to look forward to the 5 cities where our user base is large. Subscription charges would be \$3/month per user. Following is the data:

Cities	Population (in millions)	User Base (in thousands)	Adoption rate (Estimated)
Los Angeles	4	350	8%
New York	20	300	9%
Washington D.C.	0.69	230	7%
Chicago	2.6	200	10%
Houston	2.31	175	9%

Since, through the table, we can deduce that if we start the service at Los Angeles, we will break even within the stipulated time of 6 months, and we will begin to reap profits from the subsequent month. At the same time, we wouldn't be able to break-even in the 6-months if we started the services in other cities.

Thank you! Is there anything else that you would like to highlight?

Yes, I would like to highlight a few concerns:

- Sensitivity around adoption rate must be looked upon
- Extra-maintenance cost for premium service
- Competitive response
- Options to explore: Inhouse or contract development and maintenance for cost reduction

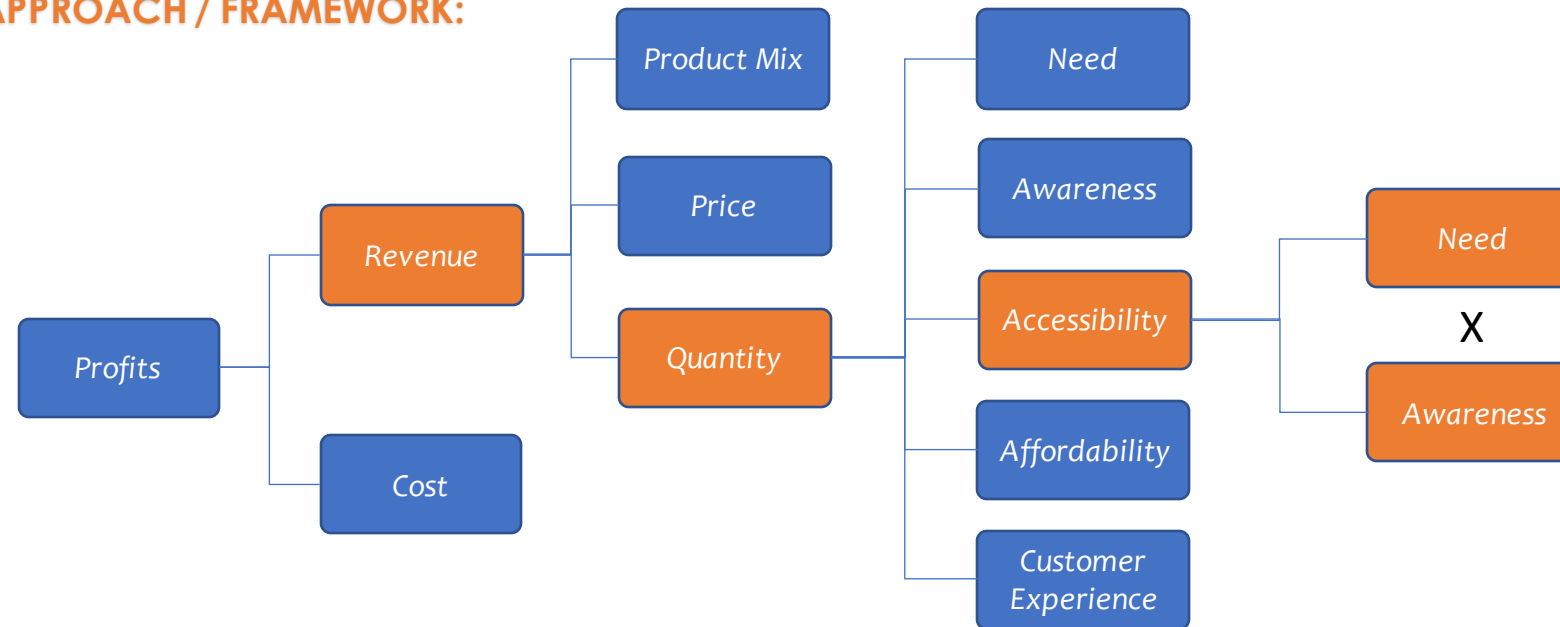
For now, we do not have the information regarding the concerns raised and I believe we have a good start for this project. Thank you!

Your client is XYZ, a free mobile dating services company. XYZ started 2 years back and had witnessed huge success and popularity across the USA. However, they have not been profitable yet and seek your guidance to turn around the business.

CASE FACTS:

- Application in existence for 2 years
- Has 4 competitors

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Start the services in Los Angeles to break even within 6 months

QUANTITATIVE SOLVING:

Cities	Population (in millions)	User Base (in thousands)	Adoption rate (Estimated)
Los Angeles	4	350	8%
New York	20	300	9%
Washington D.C.	0.69	230	7%
Chicago	2.6	200	10%
Houston	2.31	175	9%



Your client is a major IT services company who is facing declining profits, kindly analyse and give some recommendations.

Sure, sir, so the issue that I have to focus on is the declining profits of our client which is a major IT services company and recommend solutions for the same, is there any other objective I have to keep in mind?

No, please proceed

Ok sir, I would like to begin by asking some questions to get more information about our client.

Sure. Go ahead.

What kind of services does our client provide and who are our target customers?

Our client is majorly involved in office automation and cloud transformation and operates in the B2B space.

Since when is our client facing this issue? Is this problem specific to our client or faced by the entire industry?

For the last 6 months. The competitors are performing well

Ok, should I be focusing on particular geography?

Yes, this problem is specific to our client's operations in India

Ok sir, I'd like to take a minute to gather my thoughts and work out a framework

Sure

Profit is a function of revenue and cost, either the revenue has gone down or the cost has gone up or both things are happening at the same time. Which one is the case with our client?

Please focus on the cost side

Sure sir, Major cost heads for the IT industry are operations setup cost, customer acquisition cost, CRM, service delivery, after-sales services costs and HR costs. Do we have information regarding any of these?

Can you elaborate on what constitutes HR costs?

Employee salaries, Talent Acquisition cost, Employee Training cost, Visa Handling among others, has there been a change in any of these?

Yes, can you dive deeper into the salary costs?

Sure sir, salary costs will depend on the number of employees, the grades or hierarchy that they're placed at and since in an IT company some employees work at the client location we could have costs related to supporting our employees at the client location. Are we facing a problem with any of these?

Yes, the problem that we are facing right now is the number of employees engaged in offshore locations has gone up which has raised the cost for our client.

Ok so, we have a problem with the ratio of employees working locally and abroad, that is our employee mix is not favourable to us. Have I identified the problem correctly or is there anything else I should be considering?

Yes, this problem is specific to our client's operations in India

Sure, I think we should look to rebalance the employee mix by reducing the number of employees at offshore locations for which we can:

1. Optimize the type of projects we undertake offshore with respect to the number of employees required. We should try to take up projects which offer us enough value so that the employee costs can be taken care of.
2. We can additionally outsource some of the work to local service providers and save the cost of sending and supporting our employees at client locations abroad.

That sounds good to me. Thank you, it was nice interacting with you.

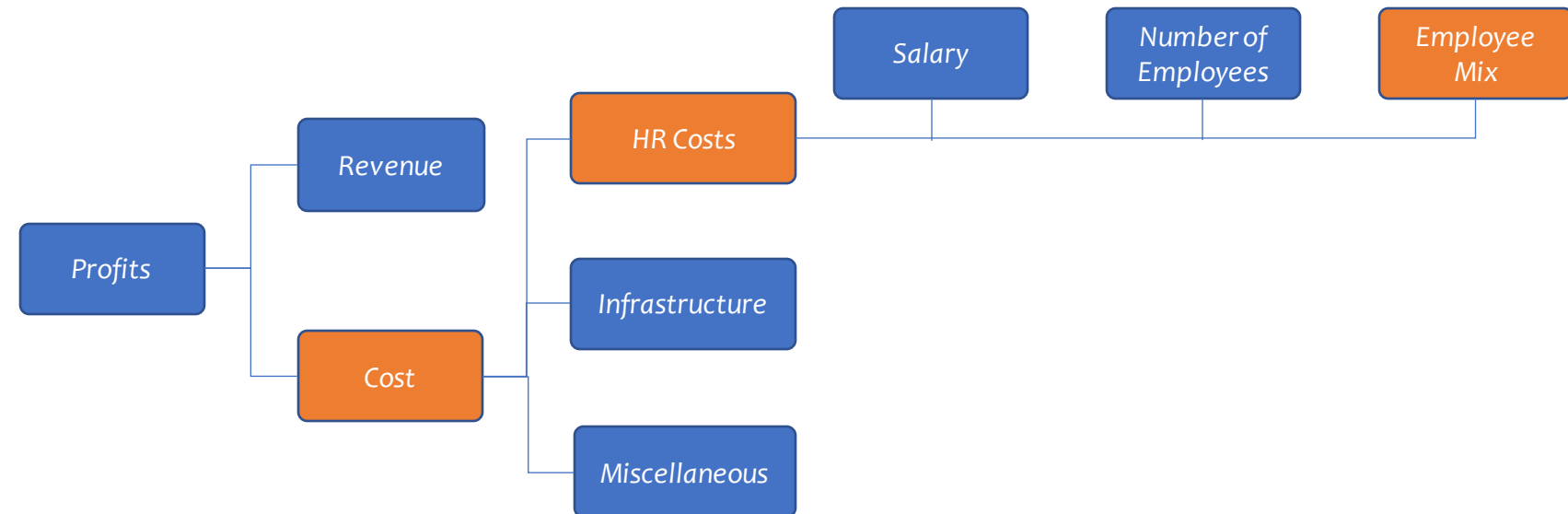


Your client is a major IT services company who is facing declining profits, kindly analyse and give some recommendations.

CASE FACTS:

- Profits declining for the last 6 months
- Client operates in the B2B space
- Problem specific to our client

APPROACH / FRAMEWORK:



RECOMMENDATIONS

- Optimize the type of projects we undertake offshore with respect to the number of employees required. Try to take up projects which offer us enough value so that the employee costs can be taken care of
- Outsource some of the work to local service providers and save the cost of sending and supporting our employees at client locations abroad



There's an Indian Power Component Manufacturing Company doing business in China for a couple of years. The company still doesn't get much from doing business in China, whereas it's a leading company in India. What are the problems & reasons behind this situation for the company? Also, give your recommendations to grow and improve on the problems.

To make sure I have understood the case properly, our client is a leading Indian Power Component manufacturer with a presence in China for a couple of years where the business is not going well.

Yes, right.

Can I go ahead and ask some clarifying questions?

Sure.

When we say that the client is not doing enough business, it means that they are not making enough profits. Am I correct?

Yes you are right

What exactly is this component and what role does it play?

It is a crucial component that is aligned with the Chinese standards.

Who are our major clients/consumers? And is this an Industry specific issue or Individual problem?

Our consumers are both public and private sector companies. Also, the issue is specific to our client

Does the company have a manufacturing facility built in China or does it export it from India?

There is no manufacturing facility in China. It exports the components from India

Thanks for answering the questions. Profits can be looked at by analyzing the revenue side and the cost side. Where do you like me to focus on?

Look at the revenue side

There might be problems with revenue because of the issues at demand side or supply side. Is there enough demand in the Chinese market and if yes are we able to meet the demand.

There is enough demand in the Chinese market but we are not able to sell as expected.

Okay. I would like to delve deeper by analyzing the value chain of the company. A typical value chain consists of Procurement, Inbound logistics, Operations, Outbound logistics, Sales and Marketing, and customer care. Since the issue is only in China where we export, would you like me to focus on anything among outbound logistics, sales and marketing or customer care?

Analyze Sales and marketing.

Are we marketing our products well? And what did our competitors do differently to stay in the market?

We have a problem with marketing and our competitors have used M&A strategies among others.

Since the problem is with marketing, one of the reasons could be that our client is facing communication problems while reaching out to customers due to language barrier. Am I correct?

Yes, this is a major problem that the client is facing. What do you recommend?

Our client has to improvise the marketing channels by hiring more locals for better communication. They could also hire translators/interpreters to remove the language barrier. Our client could also use the M&A strategies like our competitors. Here, I would like to know what synergies or advantages did the competitors have by adopting M&A strategies?

The competitors have taken a horizontal acquisition strategy thereby increasing their market share. What should we consider in M&A?

Horizontal acquisition would be beneficial to our client too. By eliminating direct competitors, you will see an increase in market share, cost reduction, and greater revenue and profit.

One factor to consider is with whom should we merge/acquire? Chinese companies would be better and there are 2 main reasons:
They already have a good presence in the market, and they know the customers better. Since we are exporting our products to China, scaling up our inventory would be easier and will also reduce costs

These recommendations sound good to me. It was nice interacting with you, thank you.

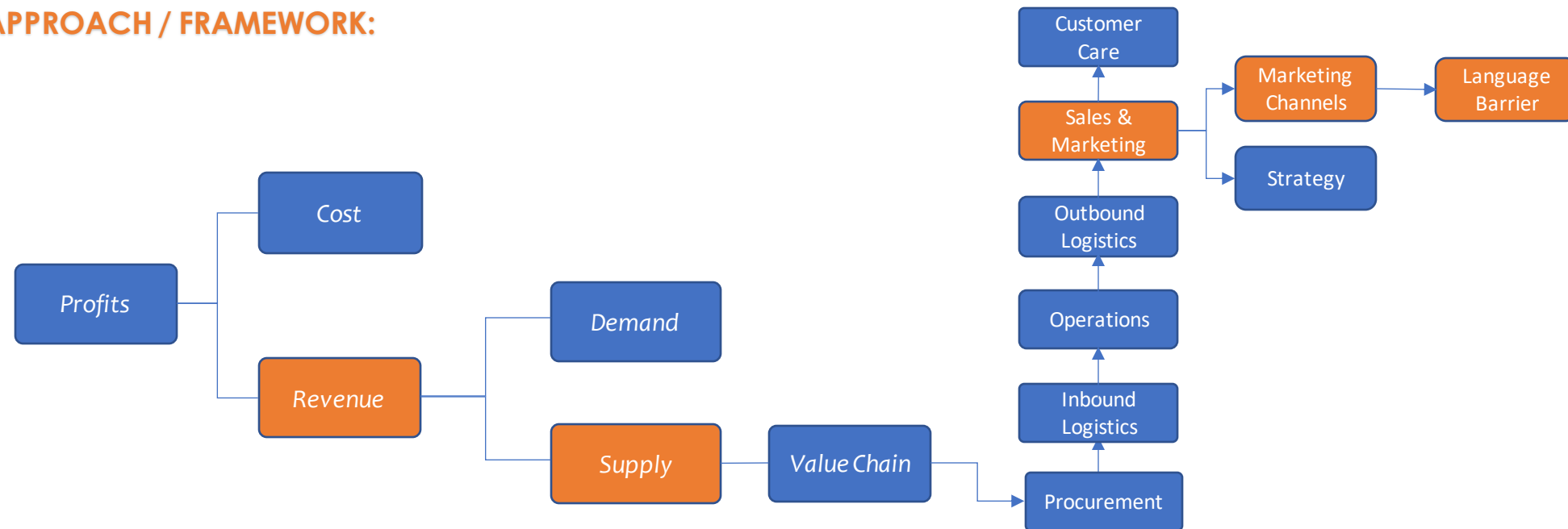


There's an Indian Power Component Manufacturing Company that's been doing business in China for a couple of years. The company still doesn't get much from doing business in China whereas it's a leading company in India. What are the problems & reasons behind this situation for the company and also give your recommendations for the company to grow and improve on the problems?

CASE FACTS:

- Leading power component manufacturer in India
- Presence in china from a couple of years
- Issue is specific to our client
- The company only exports to china(No Manufacturing plant)

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Hiring locals for better communication and translators/interpreters to remove the language barrier
- Horizontal acquisition would be beneficial to our client too(Eliminating direct competitors)
- Scaling up the inventory would be easier and will help in cost reduction if we merge/acquire a Chinese manufacturer



An electronics and home appliances retailer in the Indian market since 1990, has 375 stores located across India. They have a healthy profit margin and they are a major player in the market. However their concept stores are making losses. How would you increase the profitability? Also, the client wants to expand their market share from 10% to 20% in the next 5 years. Evaluate how many additional stores would be required and whether they should go ahead with the idea.

Breaking down the whole case into 2 parts. Our client has been an electronics and home appliances retailer since 1990, with 375 stores located in India and with healthy profit margins. However, their concept stores are making losses and we have to find out why and increase their profitability. Shall I go ahead with the first part?

Yes, proceed.

Can I go ahead and ask some clarifying questions?

Sure.

What are the product portfolios that we are looking at when we say electronics retailer?

Basically, all electronic appliances.

Okay. What exactly are concept stores? And who are our customers?

These are like next-gen stores that appeal to a specific target audience. The customers who would like to have a hands-on experience where they get curated and handpicked products.

Are we facing this issue in a particular geography? And do we have any details regarding the competitors? Is it an Industry-wide issue or a company-specific one?

The issue is with all the locations in general. Nothing much significant about the competitors. Market is going through a healthy growth rate.

Thanks for answering the questions. So, profits can be broken down into revenue and cost. I would like to understand if the losses are due to declining revenues or increasing costs, or both?

Let's focus on revenues.

Ok, I would like to break up revenue into 2 components i.e. Number of units sold and price per unit. Do we have any information about these two components?

We have a problem with the number of units sold.

I would now like to delve deeper into the problem by analysing the customer journey using 5 factors. They are Need, Awareness, Accessibility, Affordability, and Customer Experience. Here, do you want me to focus on any particular aspect?

Yes, focus on the Customer Experience factor.

Customer experience can further be divided into Pre-Transaction, During Transaction, and Post-Transaction. Do we have a problem with any particular segment here? Since, the issue is with customer experience, I assume they would not repurchase our products. Is my assumption correct? Do we have a problem with the conversion percentage of our customers?

Good find. The issue is with the after sales service and the client not able to maintain a healthy conversion percentage.

Since the concept stores are meant for enhancing customer experience, the client needs to focus on extending the current relationship with the customer with regular follow-ups and taking constant feedback about their entire journey. Focusing on after-sales customer experience should increase the conversion percentage and increase profitability.

Fair enough. Please focus on the second part of the problem statement

To reconfirm, the client wants to expand their market share from 10% to 20% within the next 5 years. We need to find how many additional stores would be required and whether to go ahead with the idea.

Correct. Proceed

When we say market share we are only considering offline mode and all the physical stores that the client has. Am I right?



Yes, correct. Only the offline stores

Do we have the numbers of the total market size now and expected market size after 5 years?

Current market size is \$ 150B while it is expected to reach \$ 200B in 5 years.

Okay. Since we have a 10% market share, the present market size of the client comes down to \$ 15B. And as we have 375 stores in total, the current average revenue of each store would be $\$ 15B / 375 = \$ 40M$.

Correct, go ahead.

In 5 years, the market size is expected to be \$ 200B and since the client has to double its market share from 10% to 20%, the market share of the client will be 20% of \$ 200B = \$ 40B. The average revenue from each store would also be doubled and it would be \$ 80M.

If we now divide our market share by the revenue from each store, we would be getting the total number of stores i.e., $\$ 40B / \$ 80M = 500$

Therefore, the client in total would need 500 stores. So, they would need an additional 125 stores

Since they had opened 375 stores in 30 years, opening an additional 125 stores in 5 years seems to be a tough task to achieve. Hence, I would go against the Idea

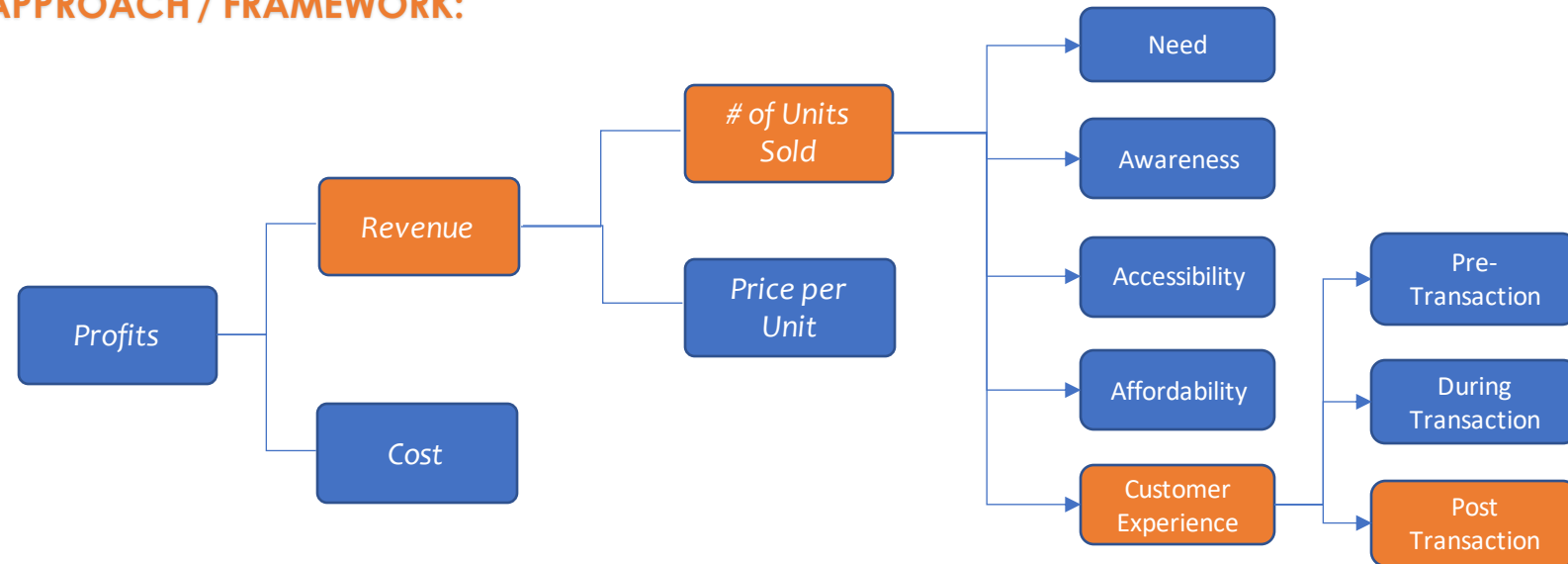
Excellent. We can close the case now.

An electronics and home appliances retailer in the Indian market since 1990, has 375 stores located across India. They have a healthy profit margin and they are a major player in the market. However their concept stores are making losses. How would you increase the profitability? Also, the client wants to expand their market share from 10% to 20% in the next 5 years. Evaluate how many additional stores would be required and whether they should go ahead with the idea.

CASE FACTS:

- Electronics retailer with 375 stores in India since 1990
- Concept stores, next-gen stores that appeal to a target audience, are making losses
- Market is going through a healthy growth rate
- Client not able to maintain a healthy conversion percentage
- 2nd part of the problem statement is only for Physical stores

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Extending the current relationship with the customer with regular follow ups and taking constant feedback about their entire journey
- Focusing on after sales customer experience should increase the conversion percentage
- Since they had opened 375 stores in 30 years, opening an additional 125 stores in 5 years seems to be a tough task to achieve.

Your client is an FMCG giant similar to Britannia. They have recently observed a dip in Profitability. Analyze the situation for the client.

I would like to begin with a few clarifying questions about our client. As per my understanding our client has product offerings, customers, market share similar to Britannia, am i right in assuming so?

That is correct. You can assume these.

So our client offers biscuits, cakes and other dairy products. And they are facing declining Profitability.

That is correct.

I would like to understand the revenue & cost trends for the company in the recent past

The company is facing decline in orders while the cost trends have remained flat.

For how long has this been happening and do the competitors also face the same issue. And also is this a supply-side issue or demand-side issue. And is it specific to any region?

This has been happening for the past 3 quarters, the competition has no such issue. This is a demand-side issue and it is not region-specific, it is pan India.

Okay. I'd like to start by analysing the revenue from sales (primary source) first, I'll break it down into sales of each category with respect to their prices, and I will dive deeper into this. And other sources of revenue, Shall I consider revenue from secondary sources as well?

No, that is not required. Can you tell me different platforms through which the client could sell.

Just give me a minute. Well for a company that operates at a bigger scale, we'll have distributors who supply products to wholesalers and retailers and bigger retail chains and suppliers like D Mart, More etc... and exports to other countries nearby.

Any other sources that you can think of.

Well we can have an online presence through an online portal.

Yes we have a D2C portal.

Any particular channel where the company is facing a decline in revenues?

Yes the no. of orders have seen a dip in the D2C portal & hence declining revenues. I would also want you to create a data dashboard with relevant parameters taken into consideration for analysis.

Ok, sounds interesting. I will start by analysing the customer journey mapping in online mode which includes: Exposure, Discovery, Consideration, Conversion, Customer Relationship, Retention. I need to ask a few clarifying questions about the D2C website of our client.

Sure, go ahead.

There are two factors for orders dip: External and internal. External will include factors like new product launches, new marketing & promotional activities by our competitors. And coming to internal factors I will dive deeper into customer journey mapping. Is it only our D2C portal that has seen a dip in orders or did our competitors also see a dip?

No, the competition is not facing the same issue.

So I am assuming it is an internal factor. And analysing the journey map:

Exposure-Depends on awareness of our website, social media presence, press, referral emails, WoM etc.

Discovery and Consideration: First few visits will always be about the ease with interface and content. At this point, if the user feels the website is not user friendly, most likely the customer will not visit again.

Conversion: It involves customer searching for products, availability of products, adding to cart and easy and secure payment options.

Customer Relationship and retention: It involves customer experience, fulfilment, communication, Loyalty programs, happiness with the product & other factors for the post-conversion experience.

Which of these stages is witnessing reduced customer engagement?
witnessing reduced customer engagement?

Among other things the bounce rate has increased for the website.

So that implies we have a problem with the discovery and consideration of the website.

Yes you are correct. Can you give some recommendations for this problem?

As the bounce rate has increased for the website we have to develop the IT infrastructure which includes:

Easy Login- Using phone number

No Downtime- This is what irritates the customer the most, so servers need to handle this load

Easy Navigation & Friendly Interface- Customers decide within no time do they want to surf through the website so the landing page has to attract them.

Thank you, that will be it.

Thank you sir.

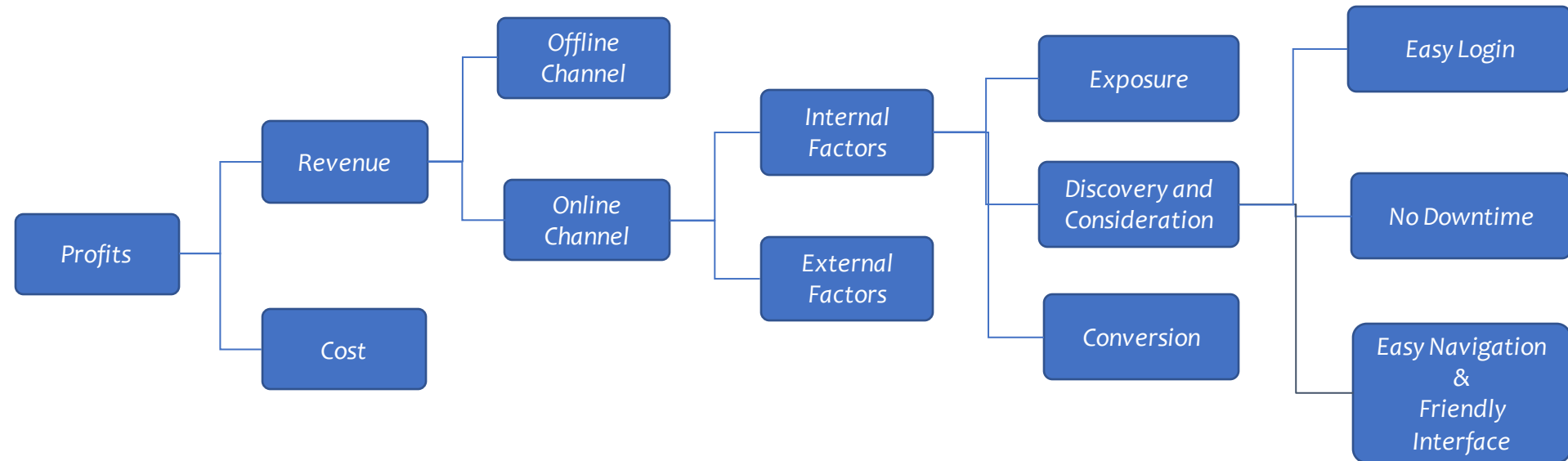


Your client is an FMCG giant similar to Britannia. They have recently observed a dip in Profitability. Analyze the situation for the client.

CASE FACTS:

- Dip in Profitability
- Decline in orders in D2C Portal

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Focus on Customer Experience
- Make the D2C portal more user friendly by improving the following features:
 - Easy Login
 - No Downtime
 - Easy Navigation & Friendly Interface



Netflix Strategy Team wants to explore the gaming segment in India and wants your opinion on whether they should enter the market or not.

Okay. Just to be on the same page, Netflix Strategy wants to enter into the gaming segment in India and I have to evaluate if they should go ahead or not. Is there any other objective I need to keep in mind?

No, you can proceed.

Can I go ahead and ask a few questions to get some clarity?

Sure.

In terms of the company Netflix, what are our company's offerings and current capabilities?

You can assume whatever public information is available on Netflix in terms of the product offerings and capabilities.

Can you elaborate on what type of games are we planning to include and how will the user access these games?

Netflix will be adding a separate gaming tab to its existing Netflix accounts. These games would be based on Netflix's own shows. Also, you can assume this gaming feature to be included in the existing subscription model without any change in the pricing.

Thanks for the information. I would like to approach this problem by evaluating the market attractiveness, financial viability and operational feasibility. Market attractiveness would include assessing the market size, existing competition, market barriers, consumer trends. Would you like me to continue with this approach?

Yes, valid approach. Please continue.

What is our objective to enter this market? Why does Netflix want to enter the gaming segment now?

As the gaming industry has been booming in India, especially after the pandemic, Netflix's objective is to gain market share as much as possible in the first 2 to 3 years.

Who will be our competitors in this space? Since this is an online platform, are we targeting any particular mode like PC, mobile etc.?

We don't have any direct competitors who are providing a gaming platform along with OTT entertainment. Netflix aims to target all modes of devices i.e. releasing this feature on PC, Tablet, Mobile, TV etc.

Thanks for the info. As to estimate the number of users I would break it down into calculating two factors- potential market size and percentage conversion. The internet penetration of India is around 50%, which gives us a population of approximately 650 million. Now, I would like to break them further down the basis of the income level.

Okay, that sounds fine.

I will divide it further into three income levels: low, middle and high. Since we already considered population having internet access, the percentages in each of these segments would be low: 20%, middle: 60% and high: 20%. This would give segmented population as low income: 130 million, middle income: 390 million and high income: 130 million. Assuming that a subscription to the OTT platform is a luxury service, there needs to be affordability assumptions across the different income levels. I would like to assume the same as 0% for low, 50% for middle and 100% for high-income groups. Does these assumptions seem fair to you?

Yes, go ahead!

This will give the total approximate population count as 330 million. I am going to consider the average household size of 4 and assume one subscription per family. This gives us the potential market size of approximately 80 million families. Now to calculate the percentage conversion, I would like to again look at two factors: awareness and adoption. Assume that, for the given middle and higher income level groups, 60% is the awareness level and approximately 40% of those would actually adopt. This would give us the total number of users as 16 million. Does this number seem reasonable to you?

Seems fine.

To analyze market barriers, I would like to know more about internal and external barriers to our entry. Internal barriers would include any financial or capability constraint and external barriers would include challenges around government regulations, licensing, technology, legal or anything which is not in direct control of the client.



Our client has got a strong financial position and currently has no constraints. You can go ahead with your operational and financial analysis.

Okay. Coming to financial viability, there would certainly be cost involved in the game development that includes capital investment such as R&D setup and infrastructure acquisition and maintenance costs while also including SG&A costs that include such as rent and utility costs, marketing expenditure and employee salaries and benefits. The revenue generated from this service would only come from the increase in the volume of subscriptions sold since the client is not looking at increasing the price of the subscription. Talking about the operational feasibility, major key drivers would be employee operations, managing customer expectations regarding product development and service maintenance effort after launch.

Okay. So what would be your final recommendation?

Sure, so our objective is basically to gain market share which would help in strengthening Netflix's brand in the OTT space. We have a huge potential market as well as a continued growth in consumer trends around gaming. One of the biggest positives for Netflix is its large customer base who are ardent fans of its content. Also, since we have no competition in this space, a strong marketing campaign would definitely help in bringing awareness and thus increasing the volume of subscriptions. Currently, the client has no internal as well as external barriers and has deep pockets to cover the initial capital investment. Hence if the cost involved in game development is as per the industry average, Netflix should go ahead with the launch of this gaming platform.

Great. We can close the case now. For your information, this is an actual scenario and Netflix is going ahead with the launch.

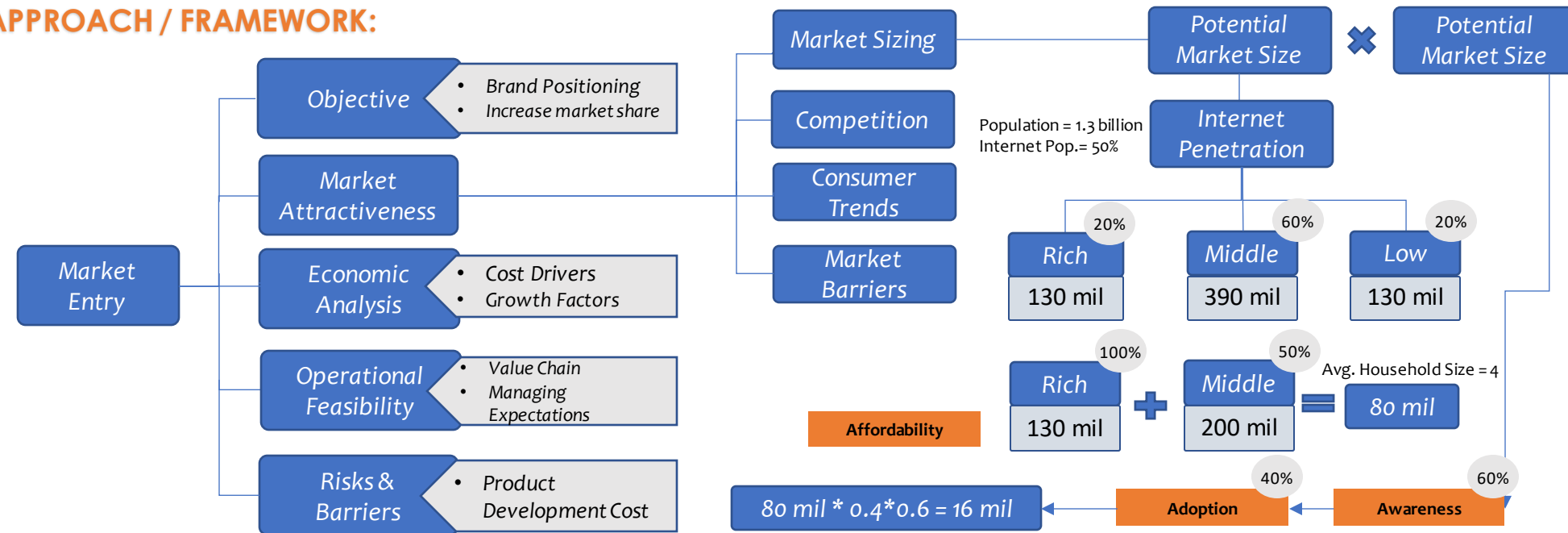


Netflix Strategy Team wants to explore the gaming segment in India and wants your opinion on whether they should enter the market or not.

CASE FACTS:

- Separate Gaming Tab
- Games will be based on Netflix's content
- Service included in plans
- No additional cost to subscribers
- No Direct competitors
- Service to be released on all devices

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Target loyal customers on a priority
- Strong marketing campaign would help in onboarding first of potential customers since we have no direct competitors
- Monitor the cost to be involved in the product development phase, to fall in the range of industry average



Our client is a US-based automobile manufacturer of Electrical vehicles(EVs) in the passenger category. Seeing huge potential in the Indian markets for EVs, the client is interested in entering the Indian market. The client approached us to find out if the client should enter the business or not.

It sounds interesting. Before starting the case, I want to confirm the objective. Our client is a major automobile manufacturer of electric passenger cars in the US. The client is interested in entering the Indian market & approached us to check the feasibility of the same.

I like to ask clarifying questions to understand the company better. What is the client current product portfolio & how successful is it in the US market? Any competition in the EV space in the Indian market?

The client operates in the US market with three products, one in the value segment & two in the premium segment. The client is currently a market leader in the US market in the EV segment. The client wants to enter the Indian market with their value product. Currently the EV market is dominated by one local manufacturer.

What is the clients objective of launching the product in India?

The client is very impressed by the initiatives offered by the government of India to promote the usage of electric vehicles & sees good potential in the Indian market. It wants to grab the market share in this segment & increase the profitability of the company.

Since the client is a market leader in the US market, I am assuming the quality of the product to be good to clear the regulatory requirements of India. Is it ok?

Yes. The client has no regulatory barriers

Since this will be a new market for the company. I will structure the discussion around the feasibility of product customization to Indian conditions, opportunity analysis in the EV market, the feasibility of the value chain (manufacturing, distribution & post-sale services) and the financial viability.

This sounds good. Go forward.

About the product, what are the unique difference b/w the new EV vehicles & traditional fuel-based vehicles?

The difference is that the new EVs produce fewer greenhouse gases compared to traditional vehicles. These vehicles are easy to drive due to their simple transmission system. The range would be between 300 – 400 km per charge. These can be charged at home or at any charging station available.

This is a great advantage compared to fuel-based vehicles as an environmentally friendly product. As EVs are very new to the Indian market, There can be some difficulties like poor charging infrastructure, longer recharge time. India is strongly committed to improving the EV technology & charging infrastructure. It has aimed to make 30% of the passenger vehicle fleet electric in the next five years.

If the client aims to capture a 10% market share in the EV value segment. Estimate the market size for the same for the next year.

Last year, India recorded total sales of 21 million vehicles. Passenger vehicles constitute 12% of the total sales. Considering the growth of 2% Y-o-Y & 10% to be the EV penetration, the total sales expected for the passenger segment to be $21 \times 0.12 \times 1.02 \times 0.1 = 0.25$ million units. Considering a 10% market share, Our clients market size will be 0.025 million units per year.

If we can capture a 10% market share in EV vehicles, we need to meet the demand of 25000units for the upcoming year. Is my estimation good?

Yes, The numbers look good enough. Please proceed.

Now, I want to check the feasibility of maintaining the value chain. Does the client look to start the entire value chain in the country?

No. The client only operates distribution, sales & services in India. The client wants to import the finished goods from the US for first 2 years.

Since the products get imported, what will be the price point at which they are sold in the Indian market

If imported, the vehicle will be sold at 1.5x that of the Indian EV competitors because of the high import duty. If manufactured locally, the product will be at par with the competition.



Since the company is not ready to manufacture the vehicle in India for the first couple of years. Pricing might be a problem Since India is a price-sensitive market. The product itself is in the value segment. The customers will not be interested in more costly options. To match the price of the imported vehicle with the local manufacturers, the client needs to bear the loss that is financially not viable for the first two years.

It is a valid point. Assume that the government will provide a concession on the import tax to the client vehicles.

Ok. Our target customers can use the product for both personal & commercial usage. Customers who want to use the vehicle for commercial purposes might find it difficult because the infrastructure required to support them may not be present. Are there any particular regions our client is targeting to enter?

The client wants to enter the four metropolitan cities in India i.e Delhi, Mumbai, Bangalore & Hyderabad. Given this information, can you suggest some company and market-specific strengths and possible problems that the client might face?

The firm has the necessary knowledge to produce and design these cars for the Indian market, and the government's environmentally friendly policies, as well as the financial incentives that come with them, are compelling reasons to grow in India. The rapid urbanisation of India, increase in the disposable income of the country substantial middle-class population and increase in the need for shared transportation via services, justifies the need for a product that can fulfil demand while still being environmentally friendly. However, there are some barriers to overcome, such as the fact that fuel cars are still cheaper to own which may make convincing customers transition to electric vehicles difficult. Other issues that the corporation may encounter include a lack of charging infrastructure, lack of user knowledge and the capacity to operate for just a limited distance.

Ok, that sounds like a detailed analysis. Based on this, what is your recommendation?

My final recommendation would be to enter this market only if the client manufactured the vehicles locally. since the current industry landscape and market conditions are not favourable for such a move due to the high cost of the product & inadequate charging infrastructure. However, if our client wants to invest in manufacturing capacity within the country, the client may reconsider its position on entering the market.

Very good. Thank you.

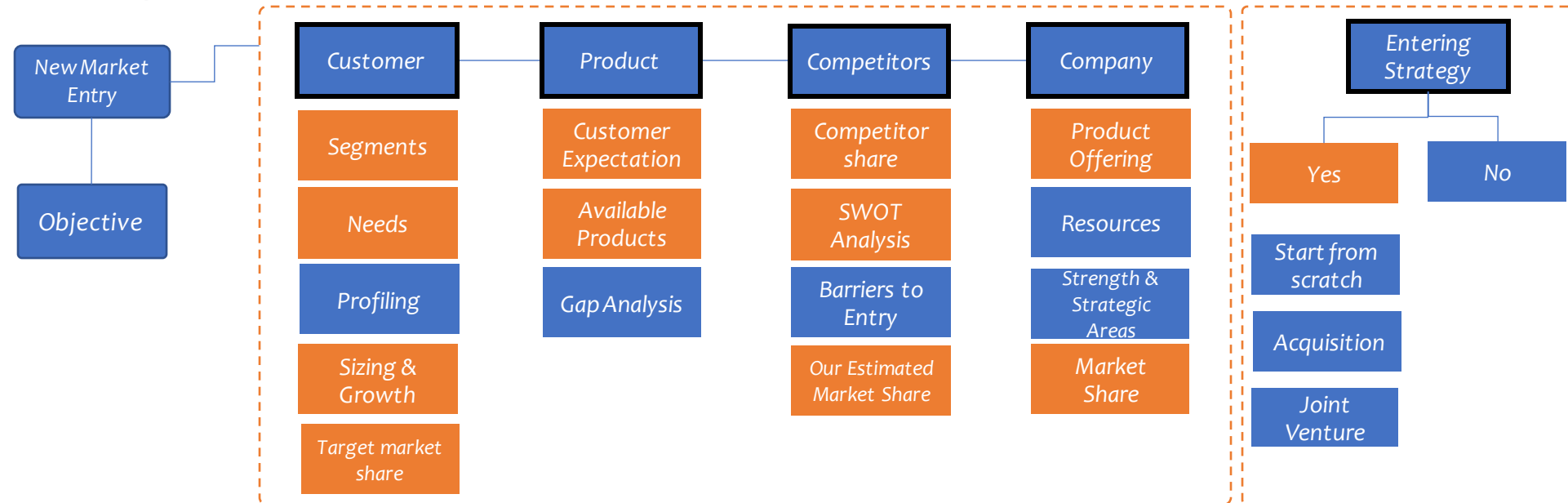


Our client is a US-based automobile manufacturer of Electrical vehicles(EVs) in the passenger category. Seeing huge potential in the Indian markets for EVs, the client is interested in entering the Indian market. The client approached us to find out if the client should enter the business or not.

CASE FACTS:

- Client is a manufacturer of electric passenger vehicles and is a market leader in US market
- The avg range of the model is 300 – 400km
- The client want to import the vehicles for the first 2 years
- Client is initially targeting four metropolitan cities.

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- The client should enter the Indian market only if it manufactures the vehicles locally.
- Due to high import taxes on the imports, the client cannot be profitable

QUANTITATIVE SOLVING:

- Total sales of vehicles in India = 21 million
- Total passenger cars sales in India(12%) = $0.12 \times 21 = 2.52$ million
- Growth of passenger car sales for next year (2%) = $1.02 \times 2.52 = 2.57$ million
- Considering the EV penetration as 10% = $0.1 \times 2.57 = 0.257$ million
- Our client target market share (10%) = $0.1 \times 0.257 = 25000$ units



Your client is the CEO of a European Airlines Company. He has approached you, a consultant at a top-notch firm to help him make his firm go green. How do you go about it?

So, if I understand correctly, the client wants to make his firm go green. By go green, do we mean adopting & excelling in sustainable practices or is there some other interpretation?

Yes, you are right. It means adopting sustainable practices.

Okay, can I know why the client wants to adopt this? What is his ultimate objective?

Well, he had visited a conference and had been impressed by the sustainable practices being taken over the world. He wants to set a benchmark by establishing practices in his own company

Sure, I would want to understand a bit more about the company at this point. What is the size, scale of operations, does it operate in international markets?

It is a well-established player in the domestic market. You can consider a typical low cost player in the domestic market.

Could I understand a bit more about the current context? Have other players started with these practices? Do we have any benchmark?

No, we would be the first in the industry. There is no benchmark.

Okay, so I feel that I have some idea about the problem. I would like to proceed with to analyze it by first drawing out the value chain (Draws out). Do you want me to focus on anyone? Or should I start from sourcing?

Start wherever you want. You are the consultant!

Okay, in that case, I would like to start with sourcing. Could I know what is the current process being followed?

It is pretty normal sourcing. Please list down all the factors you feel are relevant.

Okay, so I feel that sourcing would be that of fuel and aircraft. While I know that the suppliers are well established, I feel that the company should follow green sourcing policies prevalent, which means conducting green audits to analyze the entire supply chain. We could also look at a mix of biodiesel and normal fuel, something which was tried by one of the competitors.

Okay, what else?

That would cover sourcing Next, I would like to come to Planning operations. This would include flight crew scheduling, route selection etc. (refer to value chain) The flights need to be planned such that it minimizes the fuel use. This would involve better scheduling, not flying flights at less than capacity and reducing idle waiting time at the runway.

Okay Could you think of a metric in this respect which would be useful?

Fuel / Passenger. I think we should focus on reducing this.

Okay please continue with your initial analysis.

So, after planning, I would like to look at the pre-flight operations. This would involve ticket counter operations, gate operations, baggage handling, pre-flight bus service. We could look at going paperless, removing paper tags and using e-boarding passes. We could also look to use aerobridges to reduce fuel use in operating buses.

Don't you think there is an inherent flaw here? Do you think e-boarding passes would work?

I think it would require a buy-in from the other flight operators.

Is that all? Don't you think you would need a buy-in from anybody else?

I apologize. We would require the buy-in of the CISF which I feel might be difficult



Correct! Please continue with your analysis.

Next, I would look at in-flight operations. We could look at avoiding the use of plastic on board. We could look at bio toilets, food sourcing contracts where reusable packaging material is used.

Fair enough. What else?

After this, we would come to outbound logistics. I'm trying to think of areas where we could come up with something but cannot come up with anything else under this!

Do you think you have missed out any major factor in your overall analysis? What do you think a major airline operator will need to have to sustain its operations?

I apologize, I had missed its corporate offices. An airline would have offices all over the country. We could look at sustainable practices there. Use of solar energy, going paperless etc. to reduce our overall carbon footprint.

Okay, Sounds good. Could you summarize the case for us?

The problem we had in front of us was to help our client go green. After analyzing the relevant functions in the value chain, we came up with areas where the client could implement different techniques. It starts with green sourcing, better planning of flight operations to reduce Fuel / Passenger, reducing use of paper and tags in the pre-flight operations, reducing use of plastic in in-flight operations and also incorporating sustainable practices in the corporate offices of the firm. This would help our client go a long way in achieving his goal.

Okay, thank you!



Your client is the CEO of an European Airlines Company. He has approached you, a consultant at a top notch firm to help him make his firm go green. How do you go about it?

CASE FACTS:

- European Airlines wants to adopt sustainable practices
- Client is a low-cost player in the domestic market
- We are the first in the Industry to adopt sustainable practices

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Knowing the value chain of the airline industry is a must
- Fuel/Passenger is an important metric, and the focus will always be on reducing it
- For E-boarding passes, we need buy-in from other flight operators and more importantly CISF
- Corporate offices must also be considered in the overall analysis



KIDS ENTERTAINMENT CHANNEL – Interview Transcript

Your client is a UK based media company. It is planning to launch a new channel for the Indian market. You have been approached by the client to help understand how to go about it.

I would like to ask a few clarifying questions to understand a few things about the company. What is its current product portfolio and how successful is it in the UK market?

The company has five very successful channels in the UK one each in sports, movies, news & two in the kids' entertainment segment. All are ranked in the top 3 in their respective category.

Could you help me understand the primary objectives for entering the Indian market?

We want to enter with an English kids' entertainment channel as we see immense potential in the Indian market. We want to quickly grab market share in this segment within a few years. That's enough information I would like you to proceed with the case.

I would first like to look at the opportunity in the Indian market by analyzing the market size & the existing players to see if we can design a competitive product offering to capture some share in the kids' entertainment segment. I would then look at the feasibility of our designed channel package & incorporate any changes, if need be, after analyzing its viability

Sure, that sounds good You may begin the opportunity analysis by quickly identifying whether We should target rural or urban children

I believe it would be better to initially focus on urban children for two reasons Firstly, to capture significant market share quickly in a new market, we would need to engage in heavy promotions and urban children are more exposed to promotions and advertisements than rural children, making them easier to capture Secondly since we plan to launch the channel in English language, urban children is a better segment since the penetration of English language as well as of English medium schools in rural India is not very high Do you want me to carry a market size estimation for the same?

No, You can skip that for now. Focus on the channel package design.

Who are the major players in this segment in the Indian market and what are their offerings?

There are three major players who have been around for almost a decade. All three are from UK production houses and telecast the same shows that they produce for their UK market which are quite similar to our UK based channel's shows.

We need to come up with something different and unique if we want to capture market share rapidly from these established players. We can come up with India specific content if we have the resources.

Do not bother about resources at this stage. What kind of content do you think we can come up with?

We can produce something on the lines of Indian mythological stories and Indian fables that have long been passed from generation to generation through bedtime stories. Other than Ramayana, Mahabharata none of these stories have been converted to visual content. We can consider exploring this opportunity and couple it with select popular shows from our UK based channel.

This sounds good. Can you now help me understand whether this is doable and how would you go about it?

Sure, Coming to the feasibility analysis, pre-entry we need to look at the barriers. Do we have any legal or any other barriers or resource constraints?

No there aren't any barriers to our entry and we are willing to invest sufficient capital Let us discuss the entry strategy

Entering by acquiring one of the large players is not an option since there is a content design mismatch. Also, since they are well established and doing well, the chances of them wanting to sell out are less. Starting from scratch would require a significant amount of time to set up since we are entering an unexplored genre. This can be made easier if we can collaborate with one of the Indian theatre groups that specialize in mythological scripts. We can then use our production expertise and rely on them for content creation. This can either be a joint venture or simply outsourcing content generation.

Okay. What else do you need to look at?



Post entry we need to look at distribution and sales and marketing efforts. We can either be a part of the basic package offered by DTH operators or as a stand-alone subscription. Being a part of the basic package is preferable at the initial stage to increase penetration.

But there's a problem The basic package of all DTH operators already has the 3 major kids entertainment channels on offer. Why would any operator want an additional channel to share revenue with?

This is where the uniqueness of our content can be marketed. Since our shows will be very different from existing players, I am sure we have an appealing offering for the operators Besides if we invest heavily in our marketing efforts, by collaborating with McDonald's, stationery manufacturers etc. to reach the kids, then the demand generated itself will incentivize the operators to include our channel.

I think we can stop here. Well done.



KIDS ENTERTAINMENT CHANNEL – Case Summary

Your client is a UK based media company. It is planning to launch a new channel for the Indian market. You have been approached by the client to help understand how to go about it.

CASE FACTS:

- UK based media company planning to launch English Kids entertainment channel in India
- There are 3 major players since a decade
- No entry barriers and no constraints on the capital

RECOMMENDATIONS:

- Produce content on the lines of Indian Mythological stories and Indian Fables
- Collaborations with one of the theatre groups specializing in Mythological content
- Investing heavily in marketing the uniqueness of our content

APPROACH / FRAMEWORK:

OPPORTUNITY

Current Market

- Market Size
- Target Market Share / Position
- Customer Segment

Competitors

- Major Players
- Market Share / Position
- Resources
- Strength & Weakness
- Response to Entry

Product

- Existing Product
- USP
- Advantages / Disadvantages
- Substitutes
- Pricing

FEASIBILITY

Pre-Entry Considerations

- Legal / Political Barriers
- Technical Barriers
- Capital Constraints
- Environmental Barriers
- Strategic Barriers
- Prior Experience

Entry Strategies

- Acquisition
- Start from Scratch
- Capital Constraints

Value Chain Setup

- Production / Setup
- Distribution
- Sales & Marketing

VIABILITY

Economic Sense

- Fund / Resources / Revenue
- Time Frame

Post Entry Risks

- Cannibalisation
- New Entry Threat
- Changing Regulation Threat
- Acceptance Threat

Product

- Existing Product
- USP
- Advantages / Disadvantages
- Substitutes
- Pricing

Your client is an online female cosmetics delivery company who has approached you to estimate the market size of such a service.

Before proceeding, I would like to clarify a few aspects of the case. When you say a female cosmetics delivery app, can I assume the application to be like Nykaa, Purplle? Also, for the market size, should I estimate the number of users or the dollar-value of the market?

Yes, you can assume the product to be similar to Nykaa but we don't want to start with our own line of brands as of now and for the market size please estimate the dollar value. Also, I would like to see how you would go about estimating the market size and the assumptions that go along with it. We can calculate the exact numbers later if time permits.

Thanks. Based on the information, I would like to structure my analysis based on the demographics of India. I will first split India into rural and urban and further into male and female. For the urban market, I would look at the age and income segments to get to the market size. Does this seem like a fair approach to you?

Yes please go ahead.

Alright. Based on the latest census data 70% of the country's population reside in rural areas and 30% in Urban. Even within the urban population, the market for such a product would predominantly be the females residing in Tier-1 and Tier-2 cities. Male and Female ratio is 52:48 and I will consider that 50% of these women reside in the Tier 1 and Tier 2 cities. After that, I would divide the population into 4 age segments 0-20, 20-35, 35-55 and 55+ and assume an equal split of population among them.

Does that sound good to you?

Actually, no. Considering that India is a young country, the population would be skewed towards the younger age groups. So, 0-20 would be 30%, 21-35 would be 40%, 36-55 would be 20% and 55+ would be 10%

Yes. That seems more accurate. Please continue

Again, since this would require the ability to use smart phones and order cosmetics on the internet, we can mostly rule out the 55+ age segment. Is that OK?

Sure continue

Each age group can now be divided further into income segments and then average frequency of ordering and purchase value for each group can be determined. Since we are talking about the urban group, we can assume the following family Income split: 1) Less than 5 LPA: 30%, 2) 5LPA-15 LPA: 60%, 3) More than 15LPA- 10%. Given the income ranges, we can remove the low-income category from our estimates. Is this alright?

Yes that's okay. Carry on

Now within the 0-20 age groups, we can cover kids from 0-18 who won't be making significant direct purchases. College students from 18-20 will be the ones ordering directly. Based on this we can assume the following numbers for each age group

Age Group	Family Income Segment	Order Frequency	Average Order Value (INR)
0-20	5-15 LPA	Once a quarter	1000
21-35	5-15 LPA	Once a quarter	1000
	>15 LPA	Thrice a quarter	2000
36-55	5-15 LPA	Once a quarter	1500
	>15 LPA	Thrice a quarter	2000

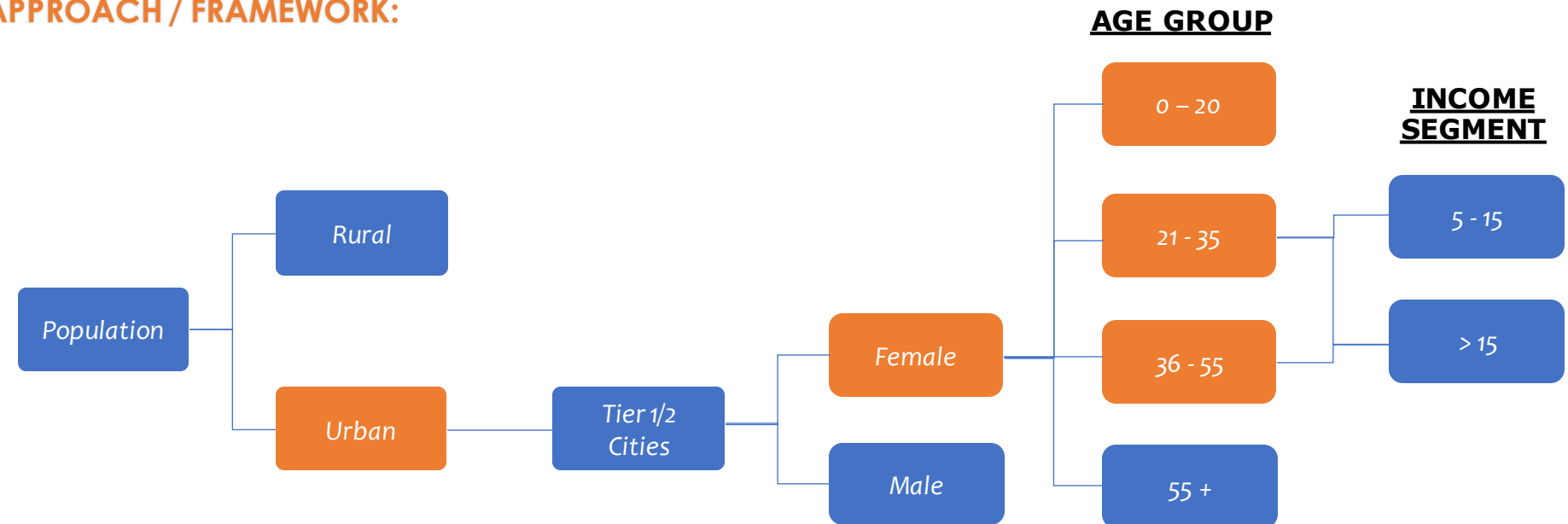


Your client is an online female cosmetics delivery company who has approached you to estimate the market size of such a service.

CASE FACTS:

- Client doesn't want to start with its own line of brands
- Market size has to be estimated in terms of dollar value

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Indian population is skewed towards younger age groups, the split has to be done accordingly.
- Low Income category can be removed because these numbers do not make much difference in the final calculation
- College students' purchases will depend on their Family Income segment



The client is an American conglomerate that wishes to introduce a new fertilizer to the Indian market. Our task is to help our clients decide how they should arrive at the price point of the product.

Can you tell me more about the client? What is their main line of business? In which markets does the client currently operate?

The client is a producer of chemicals, fertilizers, and other petroleum products. They are currently active in the Asian and North American markets.

What exactly is the new fertilizer? Is it different from the fertilizers that the farmers currently use?

Yes, other than improving the soil quality, it also accelerates the growth

Ok, on what kind of crops is our fertilizer effective?

As of now, it has been successfully tested on Oranges only. Hence, we're currently focusing on oranges.

Does the client have a patent/has applied for the same? Is there an existence of a similar market in India?

Yes, the client has a patent. No such market exists

Okay, is the client planning to manufacture locally or import it directly? Also, do we have any information about their preferred distribution network?

That will be decided later based on the revenues generated in the initial years, we can currently go past this factor. They are planning to do indirect retailing.

Got it! So, based on the current facts, I believe we cannot use competition-based pricing because there is no competition, and cost-based pricing cannot be used because we lack costing details. As a result, I believe value-based pricing will be the most effective way to monetize the fertilizer. You mentioned that it speeds up the growth of fruits. Do we have any idea how much time will be saved?

Seems fair to me. Time gets reduced by 15%

That's great! What is the normal time cycle for the growth of Oranges?

100 days

Ok, so currently, considering 365 days in a year, they are getting three yields in a year. They can expect four yields per year by using the fertilizers, right?

Yes, fair point!

What is the price of fertilizer they are currently using? Also, do we have any data on how much of that fertilizer is consumed?

There's only one type of fertilizer in the market for Oranges which costs ₹5000/kg, and currently, 5kg of that fertilizer is being used on a per hectare basis.

Okay. If we price the new fertilizer at ₹5000/kg, we can say that customers spend ₹25000 per cycle for 1 hectare of land, plus an additional ₹25000 for the fourth cycle. Furthermore, they would generate additional revenue from the fourth cycle. Profit per cycle per hectare from 5kg fertilizer per year would be an additional profit. We can add a premium to the base of ₹5000 based on its value; it should be less than the value (profit per cycle)/4 because the customer will be paying this amount every cycle for the new fertilizer. The final price will be ₹5000 + a suitable percentage of the value added by our product.

That looks good. Thank you.

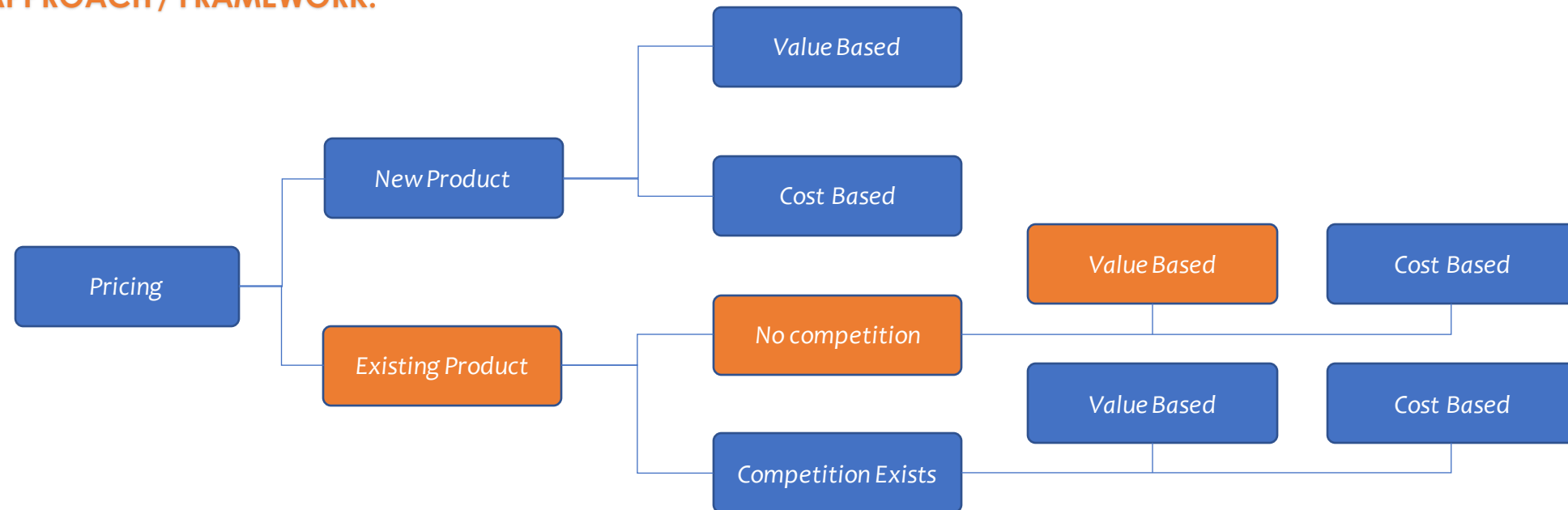


The client is an American conglomerate that wishes to introduce a new fertilizer to the Indian market. Our task is to help our client decide how they should arrive at the price point of the product.

CASE FACTS:

- Client active in Asian and North American markets
- Time taken by a crop cycle gets reduced by 15%

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Value based pricing to be done
- Final price should be ₹5000 + a suitable percentage of the value added by the product



A company is starting ropeway service between Dharamshala and Mcleodganj. You need to advise your client on the price it should charge its customers.

I would like to ask a few clarifying questions. What is the objective of the client?

The client just wants to break even in one year. Apart from this, there are no other objectives.

Can we know about the details of the company and its business model? Do they have any experience in the industry?

The company does not have any experience in the industry. The company has bought 18 cabins for the same and the ropeway is 1.8km long.

Do we currently have any such service running? How much time does a trip take?

No. This is a new route that we are launching. The time for one ride is 5 min. This doesn't include the time from check-in till check-out.

What type of ropeway cabins system are we using? How many cables do we have, as in, how many cabins can travel simultaneously?

It consists of a mono-cable detachable gondola system.

So, the pricing can be done using 3 approaches – Cost Based, Value Based and Competitor Based. Which one of the other two should I look into?

Start with Cost Based. How would you go about it?

I would divide the costs into setup cost (capital investment) and monthly fixed and variable. The setup cost can include the cost of setting up a ropeway, buying cabins, setting up of stations, towers, and miscellaneous. Fixed costs would include the Salaries, Leasing, Stations Maintenance, Miscellaneous. The Variable costs would include the Electricity cost and any other VAS costs for the customers.

That sounds fair. The setup cost rounds up to around ₹207 crore. The Salaries are 1 Crore per year, Land lease would cost 1 crore per year and other miscellaneous charges are 2 crore per year. The Variable costs are 20,000 per month.

Okay. In order to go ahead, I would also want to know about the operations of the company. How many hours does it work in a day?

The ropeway cabins are in operation for 10-12 hours a day and have capacity of transporting 1000 passengers per hour.

Assuming that the ropeway works for 350 days in the year, leaving aside the holidays and the cabins being grounded for maintenance. I would want to further look into the number of seats that would be utilised in the whole year. I would like to divide into Peak and non-peak hours with 70% and 50% occupancy respectively. Does that sound fair? Can you please confirm the size of the cabin?

That sounds okay. The cabin can seat 8 people at a time.

Thank you for the information. That brings the total seats sold to approximately 16,80,307 [8(seats) x 18(cabins) x 6 (rounds per cabin per hour) x hrs per day(11) x {4x 0.5 + 2x 0.7} x 52]. Should I move ahead with the costs?

Yes, that seems correct. Please move ahead with the costs.

The Total Fixed cost for the first year is 207 + (1+1+2) + 12(20,000) crores = 211 crores

That's right.

So, the cost will be between 1200 and 1300 (211 crores/23,10,000). Should I calculate the exact cost?

No, we are done with this approach. What are other methods that you talked about?

We can start with the value-based approach. There are two types of values that ropeway service will add; Time and Experience. Time is valuable as the ride takes 5 min which would otherwise have taken a long time for a 9 km long journey witnessing frequent traffic jams thus making it hard for the commuters to travel. The time will be saved using our service. The time saved will be considered using the time taken between the originating point and the destination by car and the same points using the ropeway.

You were talking about another approach as well.

Yes. We can also use Competitor based pricing. Because we are the first to start a service in this area, we can look for services with similar distance or similar kinds of services at another location.

We have a service in Solang Valley where they charge 500rs for a 15-minute journey. Calculation would bring the price to 400rs for a similar experience but we would also consider the value of the service within the city and the value of the service when flying between cities and also the different kinds of traffic faced in these cities and the types of customers/tourists taking these services. Also, we are competing with the taxi services charging 200rs to commute between the same points.

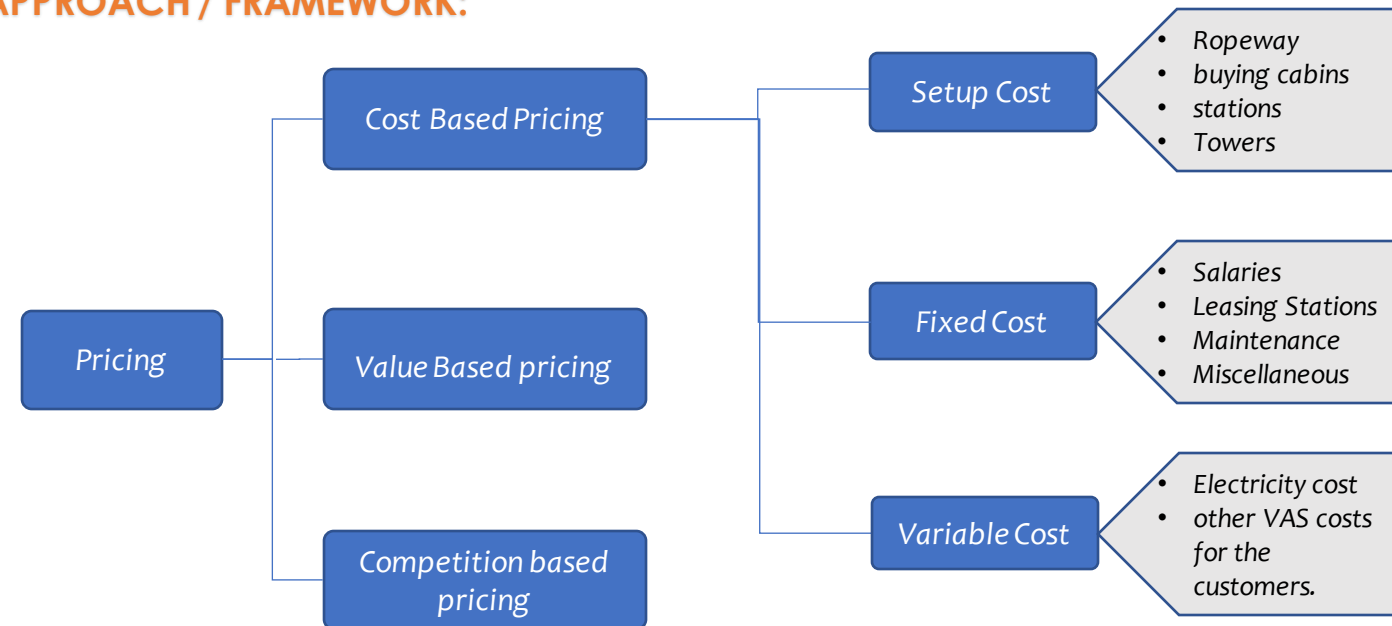


A company is starting ropeway service between Dharamshala and Mcleodganj. You need to advise your client on the price it should charge its customers.

CASE FACTS:

- Wants to break even in one year
- 18 cabins for the same and the ropeway is 1.8km long
- One ride takes 5 min
- A mono-cable detachable gondola system

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Calculation would bring the price to 400rs for a similar experience but we would also consider the value of the service within the city and the value of the service when flying between cities
- Also the different kinds of traffic faced in these cities and the types of customers/tourists taking these services.
- Also, we are competing with the taxi services charging 200rs to commute between the same points.



Your client is a health & fitness company. They are planning to set up a fitness studio in Egmore, Chennai. The client is currently in the phase of deciding the rate for the monthly subscription of the studio. They need your help on deciding the same.

Great! Before proceeding forward, I would like to understand more about the company. Is this the first fitness studio in Chennai that our client has and why have we chosen Egmore as the location?

This is their first fitness studio in the Egmore area, As Egmore is in the centre of the city, it has a mix of both corporate offices and residential areas. The client is looking to target the working class.

Ok, I would now like to know more about the fitness studio. What services are we offering in the studio, how big would be our fitness studio and what are the operational hours for the same?

Since people now look towards diversifying their workouts, we would be offering varieties of fitness training like Yoga, Zumba, Pilates, Boxing along with the option of personal training. The studio would also incorporate a health café offering Shakes, Juices and ready to eat healthy snacks. There would also be a dietician to assist the members. The studio can accommodate 35 people at once. The Studio would be operational between 5 am to 10 am and 5 pm to 11 pm.

Okay. Lastly, what is our objective when it comes to deciding our monthly subscription? Is it to make profits or to capture market share?

The objective of our client is to maximize profits.

Great, So for pricing, I would like to suggest the below strategies :

1. Cost-Based Pricing: Here we calculate the operational cost and then do a break-even analysis for the no. of subscriptions of the fitness studio.
2. Value-Based Pricing: For value-based pricing, we would see what value our fitness subscription will add for the customers & what amount are they willing to pay.
3. Competition Based Pricing: The rate of our subscription should be competitive with respect to other fitness studios.

4. Is the approach good to proceed? Do you want me to focus on any particular strategy.

The analysis seems fine. Go ahead and extrapolate your analysis with respect to the above strategies.

Sure. For Cost-based pricing, we would need the costs associated with running the fitness studio. This would include – Salary of trainers and staff, Cost of equipment, rental cost, maintenance cost, Setup cost and financing cost. Could you please help me with the overall cost here for these components?

You can consider overall operational cost to be: Rs 1,10,000 per month

Sure, any estimate that you could help me with for the number of subscriptions?

Ok so we recently had conducted a survey for fitness needs and, on an average, we estimate 70 incoming subscriptions in a month.

Ok! So based on these inputs, a cost-based monthly subscription would be operational cost per month/ No of subscriptions = INR 1600(approx). We can also look at the value-based pricing, as we are one of a kind, offering different fitness experiences to the target audience, the value that the customers would be willing to pay would be higher than normal fitness studios. Also, as there is a shift towards the adoption of an overall healthy lifestyle, people are more diet conscious and willing to engage in fitness activities. This would increase their ability to pay for the subscription. If we consider that they pay INR 1500 per month for a normal gym/ fitness studio, based on our value propositions and differentiation they would easily be able to pay INR 499 extra. So, we can consider the pricing to be INR 1999.

Interesting, thanks for the analysis we seem to have considered everything and INR 1999 seems to be a reasonable price.

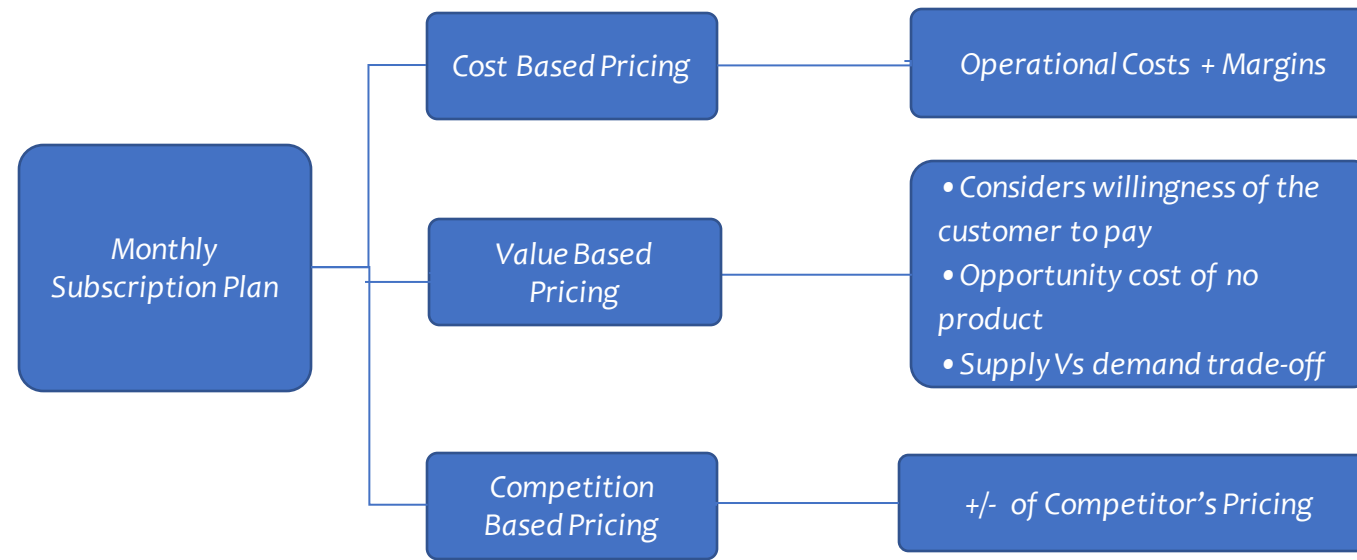


Your client is a health & fitness company. They are planning to set up a fitness studio in Egmore, Chennai. The client is currently in the phase of deciding the rate for the monthly subscription of the studio. They need your help on deciding the same.

CASE FACTS:

- Pricing Strategy options for fitness and wellness studio

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Evaluation of relevant pricing strategies



A Pharma company has developed a new product to control arthritis for patients in India and need your help in pricing it.

That's an interesting problem. Before moving ahead, I'd like to ask a few clarifying questions to understand the client better. What is the objective of pricing? Is it to maximize the profit or something else?

Yes, it is to the profit.

Can I have more details about the product? How is it different from existing drugs & information on how restricted its availability will be, i.e., will it be available over the counter or require a prescription? And how is the competitive landscape in the market?

It's an oral tablet and has lesser side effects, complemented with better efficiency in treating elderly patients.

As It'll be available over the counter and the market is highly competitive, I want to break down the tablet's pricing into three broad strategies. 1) Cost-based 2) Competitor based 3) Value-based pricing. The final price will be dependent on all the three factors

Yes, that sounds fine. Why don't you list down all the factors? I don't want you to go into details. Just tell me all the factors.

Okay, let me start with a Cost-based approach. Over here, Total cost is composed of one-time RnD costs + Cost of production, which again can be divided into Fixed cost and Variable cost. This, along with our production volumes, will give the minimum price for the tablet. We need to find a profit margin on top of that. Profit margin can be something that the company is targeting.

Yes, that sounds fair. Let's explore other factors you have listed now

So now we can look into competition and substitutes for our product and figure out a price based on our product's position with respect to them. I am already aware that medicine is in oral form with fewer side effects, which makes it superior to the existing drugs.

Yes, the new product is superior.

In that case, we should certainly price our product more as we are providing better value. Again, how much the markup should depend upon the perceived benefits of our product amongst the consumers.

Yes, that's correct, anything else you want to consider here?

Yes, we can also consider substitutes in Ayurveda, Homeopathy which might eat up on our Market share if we price too high.

That's a fair assessment. Let's move on.

Okay, now I want to consider how much value we provide to the customer and how much we can capture it. For that, we can do a price elasticity analysis of the product to arrive at a price that maximises the profit and investigate the Supply v/s Demand gap of the existing market to determine the best price of the product.

Yes, that's a detailed enough analysis. Let's stop the case here.

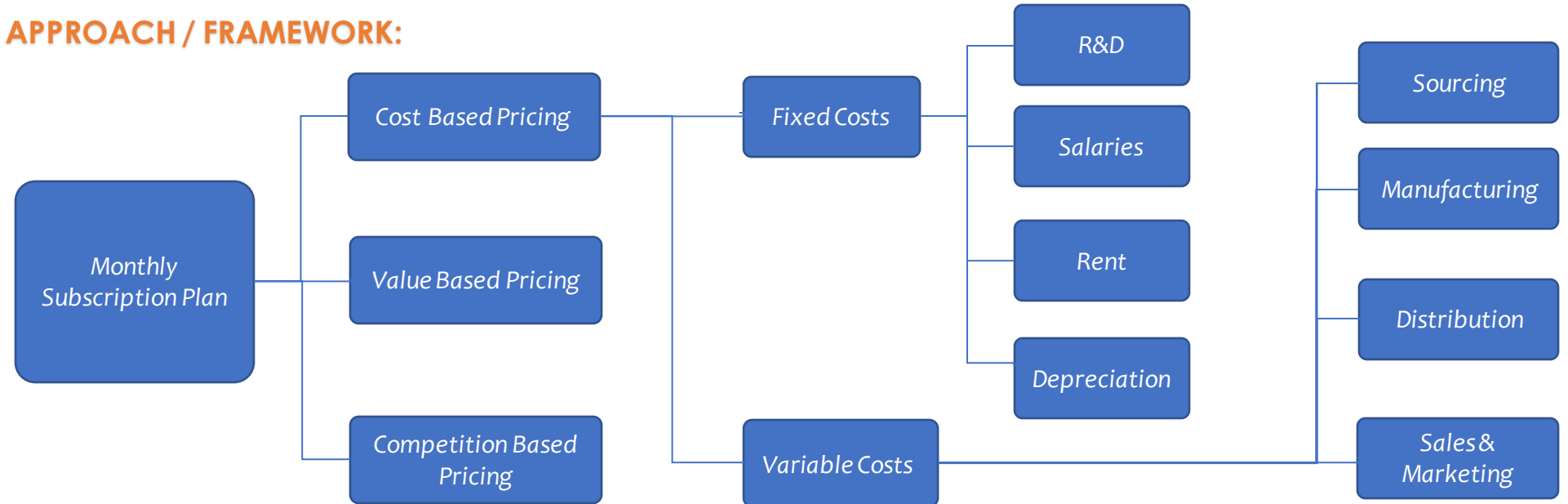


A Pharma company has developed a new product to control arthritis for patients in India and need your help in pricing it.

CASE FACTS:

- Pricing Strategy options for Arthritis Drug

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Evaluation of relevant pricing strategies



The client is an American conglomerate that wishes to introduce a new fertilizer to the Indian market. Our task is to help our client make money off of fertilizer.

Can you tell me more about the client? What is their main line of business? In which markets does the client currently operate?

The client is a producer of chemicals, fertilizers, and other petroleum products. They are currently active in the Asian and North American markets.

What exactly is the new fertiliser? Is it different from the fertilisers that the farmers currently use?

Yes, other than improving the soil quality, it also accelerates the growth.

Ok, on what kind of crops is our fertilizer effective?

As of now, it has been successfully tested on Oranges only. Hence, we're currently focusing on oranges only.

Does the client have a patent/has applied for the same? Is there an existence of a similar market in India?

Yes, the client has a patent. No such market exists

Okay, is the client planning to manufacture locally or import it directly? Also, do we have any information about their preferred distribution network?

That will be decided later based on the revenues generated in the initial years, we can currently go past this factor. They are planning to do indirect retailing.

Got it! So, based on the current facts, I believe we cannot use competition-based pricing because there is no competition, and cost-based pricing cannot be used because we lack costing details. As a result, I believe value-based pricing will be the most effective way to monetize the fertilizer. You mentioned that it speeds up the growth of fruits. Do we have any idea how much time will be saved?

Seems fair to me. Time gets reduced by 15%

That's great! What is the normal time cycle for the growth of Oranges?

100 days.

Ok, so currently, considering 365 days in a year, they are getting three yields in a year. By using the fertilizers, they can expect four yields per year, right?

Yes, fair point!

What is the price of fertilizer they are currently using? Also, do we have any data on how much of that fertilizer is consumed?

There's only one type of fertilizer in the market for Oranges which costs ₹5000/kg, and currently, 5kg of that fertilizer is being used on a per hectare basis.

Okay. Now, if we price the new fertilizer at ₹5000/kg, we can say that customers spend ₹25000 per cycle for 1 hectare of land, plus an additional ₹25000 for the fourth cycle. Furthermore, they would generate additional revenue from the fifth cycle.

Profit per cycle per hectare from 5kg fertilizer per year would be an additional profit. We can add a premium to the base of ₹5000 based on its value; it should be less than the value (profit per cycle)/4 because the customer will be paying this amount every cycle for the new fertilizer.

That looks good. Thank you!

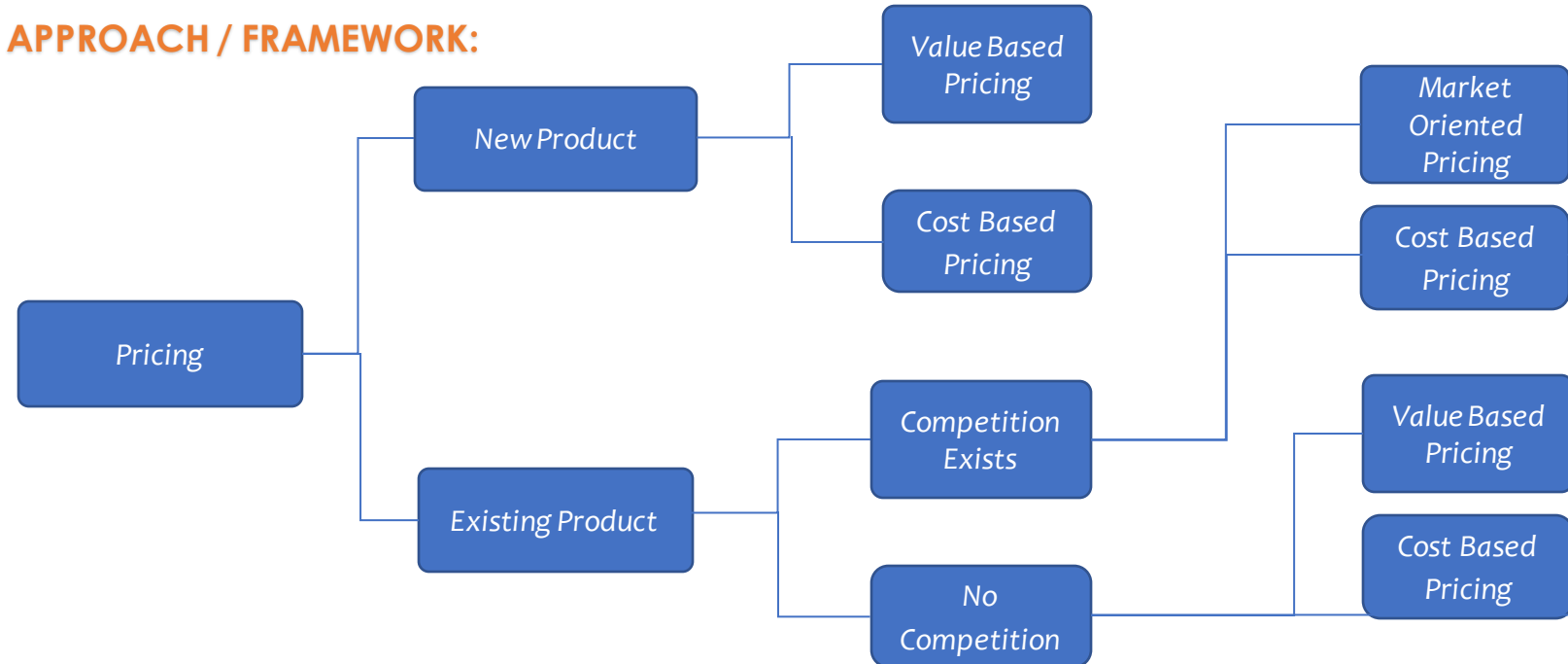


The client is an American conglomerate that wishes to introduce a new fertilizer to the Indian market. Our task is to help our client make money off of fertilizer.

CASE FACTS:

- Pricing Strategy options for Fertilizer Manufacturing

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Evaluation of relevant pricing strategies



Your client is a private lending bank. It is facing a problem meeting its growth target for the past three quarters. They have approached you to help them suggest the strategy for the growth.

This seems like an interesting problem. Before going further, I want to confirm the problem statement. Our client is a private bank facing trouble achieving the target growth rate. We need to help recommend a growth strategy
What is the actual growth in the last three quarters & expected growth rate for the company?

The bank wants to become 4x in revenue in 2 years. Currently, the company is only growing at 2x

I want to ask a few clarifying questions about the company operating conditions. Do we have information about the bank location, revenue streams, competitors and industry growth rate.

The bank provides its services pan India. There are two major players in this sector & share the market between them equally. The bank has a good customer base in both rural & urban markets. The Industry is growing at 2x. What do you think will be the revenue sources of a bank.

The revenue for the banks can be from the returns from deposits, Returns on investments, sale of financial products & services, Forex operations. Is there any other source I am leaving?

No. You have listed down all the revenue sources of the bank. Go ahead.

To meet the targeted growth rate, we need to focus on improving our existing business or venturing into new markets or product categories. Do you want my focus on any one of them?

Start from the existing business as it is hampering our growth

Since the target growth is in terms of revenue, I want to examine the revenue sources of the bank. What is the revenue share from Interest earned from deposits, returns made on investments, sales of financial products & services?

Does the client notice a change in revenue from any of these different sources?

The revenue is distributed among these five sources equally. The client has observed a dip in the growth of revenues from the financial products & services.

Financial products generally consist of shares, bonds, credit cards & loans. Financial services consist of Insurance, mutual funds, banking services & wealth management. Am I missing any other products or services which our bank provides?

No. You have covered all of them. Go ahead.

Since there is a decline in the revenue from the financial products & services, It can be increased by increasing the number of customers or increasing the revenue per customer. Do you want me to focus on any particular product or service?

We have noticed a decrease in the number of customers for our insurance products. What do you think might be the reasons for this trend.

It can be due to an increase in the price of the products/services. It can also be due to a decrease in buying frequency of the customer. Other things that can be responsible for this trend are changes in discounts, loyalty programs, sales force commission.

What can we do to increase the number of customers for our insurance products & revenue per customer

We will have to study the targeted segment and strengthen our positioning to acquire more customers. So can you give me some data on our current target segment & our current promotion mix?

Our main target segment is low & mid-income retail customers from both rural & urban markets who are currently uninsured in long term insurance plans.

Since we target only low- and mid-income adults who are currently uninsured in long term plans, increasing the average revenue per customer is difficult due to the low price elasticity in the market. To improve the revenue, we need to increase the awareness, acceptability & availability of the products among the customers, followed by post-sale claim settlements.

These can be integrated of services into a single location using an mobile application where the users can directly access all the information required for the purchase & settlements. Our client will have access to a lot of data that can be used in taking better decisions in the future. These services can be outsourced to different tech companies. In India, mobile internet is one of the major growing areas. Many small fintech companies are growing in this space at a great pace in providing financial services using technology.



Great ideation. How do you think the client expand his business into other regions

So we will have to explore different target markets on the following four factors, Size of the market in terms of demand and a favourable attitude, Paying capacity, Ease of setting up operations and Competition.

We have decided to expand our business to X country. What could be our bottlenecks in that country

Getting licenses might be difficult, Presence of low-cost competitors, cost of salesforce, regulations & taxation issues.

Great. Let's wrap it up here.

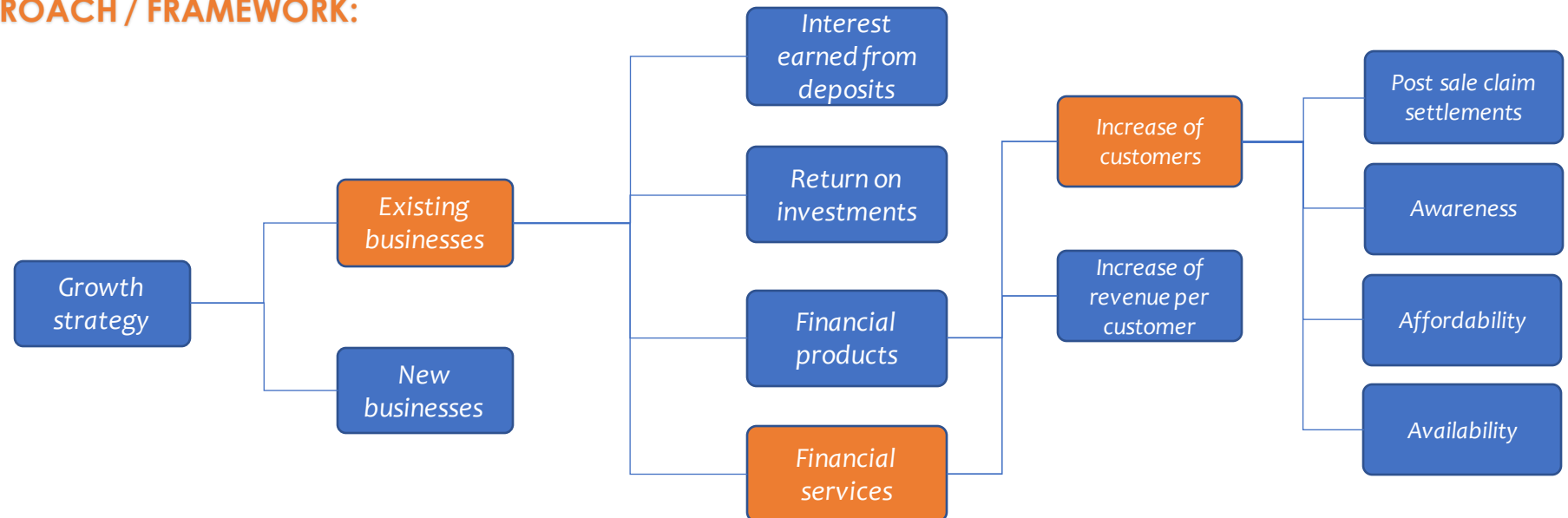


Your client is a private lending bank. It is facing a problem meeting its growth target for the past three quarters. They have approached you to help them suggest the strategy for the growth.

CASE FACTS:

- Bank wants to become 4x in revenue in 2 years
- Decrease in the growth rate of revenue from financial services
- Sale of insurance products got decreased

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- We need to study the targeted segment and strengthen our positioning to acquire more customers.
- Our client need to enhance the availability, affordability of the insurance products.
- Size of the market in terms of demand and a favourable attitude, Paying capacity, Ease of setting up operations and Competition need to be considered before entering a new market.



Our primary business is to distribute vegetables from farms to retailers. We are looking to grow in this segment. You are required to suggest ways in which we can grow?

So we are a supply chain company connecting farmers and retailers, with no intermediaries. And our objective is to grow this business.

Yes, go ahead.

Before I start analysing, I have a few clarifying questions. Apart from vegetable distribution, do we own other parts of the value chain? How many competitors do we have & their performance?

For this case, consider vegetable distribution only. We are a leading company in this space.

Thank you for the information. To start with analysing the case, I would take a two pronged approach for market growth. One way is to focus on existing business. Second way is to venture into New business i.e. new markets, new products, new geographies, M&A and diversification. Any particular way you want me to focus on?

What do you think would be more suitable for a company like Ninjacart given the industry it is in?

Interesting question indeed. Can I take two minutes to think.

Sure.

There are many ways we can think of market growth:

1. As Ninjacart is in the supply chain business it makes more sense to add more customers in the geographies where we have a strong presence.
2. Given that the company has a strong presence in metro cities and a strong competition, we can expand into different geographies i.e. into other tier-1 and tier-2 cities. Which might also help us in expanding the procurement base.
3. We can focus on the distribution of other farm products.
4. We can have an online presence through an online portal.

Well done, you have come up with good growth strategies. I want you to focus on geographic expansion to tier-2 and tier-3 cities. And what factors will you consider for geographic expansion?

Do you want me to look into both procurement and retailer acquisition side.

Good question, for now focus on the retailer acquisition side

Sure. Some of the factors would be reaching out to retailers in market places, having lower prices than other players so that there is better margin for retailers and other benefits like transportation facilities etc..

How would you reach out to retailers?

As this is a B2B mode, we will have to hire salespersons and reach out to retailers personally, so that we can gain their trust.

That is a good approach. Thank you. Have a nice day.

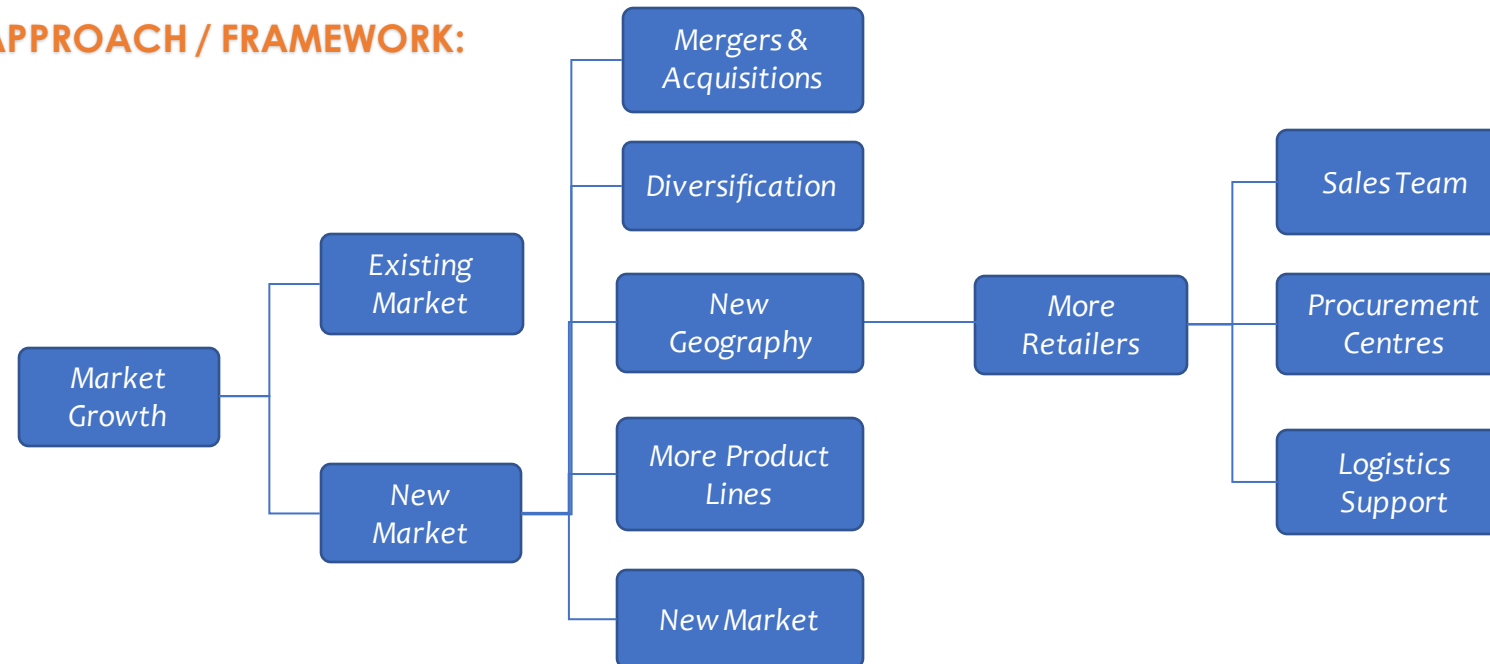
Thank you sir.

Our primary business is to distribute vegetables from farms to retailers. We are looking to grow in this segment. You are required to suggest ways in which we can grow?

CASE FACTS:

- Market Growth for Ninjacart
- Growth from existing markets
- To increase presence of Ninjacart across geographies

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Connect with local vegetable vendors across new geographies
- Increase sales people allocation in new geographies

Your client is a fruit-based beverage company. It has brought you onboard to identify if they should upgrade their current distribution fleet or outsource it to a third party.

Our client is a beverage company trying to understand if it should outsource its distribution. To begin with, I would like to first understand why we need to upgrade the current fleet and what are the required investments.

Due to new regulations which require the owner to provide electronic records of their itineraries, we need to upgrade our current fleet. The investments required would be \$1 million dollars.

I would also like to understand the company's expected payback period for their investments. And if there are any other objectives?

The company expects to recover the costs in 4 years. There are no other objectives. What are the factors that you would consider to help the company make a decision?

As we understand, we already have the competency, I would like to consider 2 factors – the financial implications of outsourcing vs insourcing and the risks involved.

Okay Good. Where do you want to start?

I would like to start with economic factors.

Can you list down the parameters you will look at for operating expenditures?

Okay, so since it is a distribution system, on a broad level the parameters would be the Number of Deliveries & Cost per Delivery. The Cost per Delivery can be further calculated based on labour Costs, Fuel costs, Insurance and Maintenance costs.

Assume that the in-house cost per delivery is \$2000 and for outsourcing is \$2500, and the number of yearly deliveries is 400. What can you infer from above?

So, if our client opts for an in-house delivery system, we would be able to save $\$500 \times 400 = \$200,000/\text{year}$. If we assume similar saving for the next years, our payback period will be $\text{Investment}/\text{Savings} = \$1 \text{ million} / \$200,000 = 5 \text{ years}$.

Good, so what would be your recommendation?

Since our client expects a payback within five years for in-house up-gradation and as per our calculation, it would take five years; it would be better to outsource the delivery function.

Fair enough. What risk do you think would the client encounter with such a move?

I would like to look at risks as both Internal and External. When looking at Internal risks, there would be some impact on the culture. Additionally, we could expect a labour strike against the firing of our current fleet drivers.

As our labourers are not unionized, we don't expect a strike, and there would not be any culture change. What else would you look at?

Well, looking at external risks, I think signing long term contracts would help us immunize against the change in fuel prices or government regulations. Further, we would also be able to have the flexibility of distribution in case our company expands.

Great, you managed to cover all the points. In case we wish to focus on in-house deliveries itself, what would be your recommendations.

We can look at three factors for in-house deliveries: payback period, investments, and savings. First, we could increase the expected payback period. Further, in the case of investments, we could lower our total investments by leasing the fleet of trucks instead of buying them.

In case of savings, we can increase it by optimizing the delivery routes, increasing the efficiency of the drivers, lowering labour costs and outsourcing maintenance of the trucks.

Excellent. Those are some great recommendations. Thank you. We can close the case here.



Your client is a fruit-based beverage company. It has brought you onboard to identify if they should upgrade their current distribution fleet or outsource it to a third party.

CASE FACTS:

- Investment required to upgrade the existing fleet - \$1 million
- Every in-house delivery costs \$2000 while an outsourced delivery would cost \$2500

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Increase the expected payback period
- Lower the total investments by leasing the fleet of trucks instead of buying them



A client wants to utilize the land he already owns and is considering building a shopping mall. Estimate the income he could gain.

Interesting, our objective is to maximize the income for our client from the shopping mall, am I correct?

Yes you are correct.

Okay, I have a few clarifying questions. What does our client do? Is it anything related to real estate and the construction of commercial buildings? Does the client want to rent the space or use it for other purposes? And should we consider the disruption due to COVID-19?

No, the client has no related businesses and the client wants to rent the entire space. Do not consider the disruption due to COVID-19, for problem solving purposes.

Okay, I have a few clarifying questions about the land. Where is the land situated, in which city and the locality? What is the demand for commercial space in the locality?

The client owns a 3 acre land in a metro city, where IT parks are coming up.

Okay so there is going to be demand for commercial spaces as there is going to be direct and indirect employment.

Yes, that is the reason why the client is looking to build a shopping mall.

Well, in that case how does the client want to manage operations and finance for the project.

What do you mean?

So there are options for the client in handling the project from both operations and financial stand points.

For Operations:

1. The client can either give a contract to a construction company, which will charge money for every square foot build.

2. The client can partner with a construction company and give revenue share for a certain no. of years in the future.

3. The client can oversee the construction operation on his/her own

Financing Options:

1. Total Capital invested by the client.
2. The construction company investing the entire capital.
3. A financing partner which takes a share in the revenue.

Well consider the option where the client invests as little and gets the best returns.

Considering that our client has no experience in this sector, it would be better to make the construction company the developing partner and giving a share of revenues for a certain period in the future looks good as it does not involve capital investment by the client and no financing partner is required.

Good, now calculate the income the client would generate out of it.

As the client is not investing any money the entire revenue generated by the shopping mall would be his income.

Yes, go ahead.

Before I make revenue projections I need to ask a question. In the locality for the given area of the land how many storeys can the mall have excluding parking? (as permitted by the municipality and concerned authorities)

The building can have a maximum of 5 floors excluding parking.

Assuming that the built-up area will be 80% of total surface area, some area has to be left for entrance, vehicle passages etc. Before I proceed further I need to know how much is 1 acre in square foot terms. Can you help me out with that information?

Sure, 1 acre is equal to 43560 sq. foot.



I am assuming that all the 5 floors will be built as the mall is situated in a prime centre. The ground floor will have $3 \times 0.8 \times 43560$ sq. foot of built-up area, whereas the upper storeys will have lesser built-up area. (there will be no upper slab). So for the above four floors, the built-up area would be 70% of the ground floor. And the built-up area is equal to $3 \times 4 \times 0.8 \times 0.7 \times 43560$ sq foot. The total built-up area will come to 3,97,267 sq. feet.

The shopping mall would give this space to retail outlets, sports/fun zones, supermarkets, movies etc. depending on whoever takes up the space. Of the total built-up area the lessee does not pay for the common areas such as stairs, escalators, lifts, corridors, toilets, sitting areas etc, so we can consider that 60% of the built-up area is the area which gets charged. Although each type of store is charged different rates depending on the type of how an area is built for them (for eg. a movie theatre construction requirements will be different from a retail store). Considering all these variations, can I take an average rent that will be charged by the owners for the entire chargeable area which will come close to 2,38,360 sq. feet. And also what is the prevailing rent that shopping malls in the vicinity are charging per month?

Yes, you may go ahead and you can take avg. rent as Rs. 50/- per month/sq.feet.

Cool Thanks. Assuming Rs.20/- is the maintenance charge per sq. foot. The net income would be Rs.30/- per sq. foot. And assuming the net revenue is shared in 50-50 for a certain period with the construction partner, income for the client would be $2,38,360 \times 0.5 \times 30 \times 12 = 42,908,857$ in rupees per year before tax. Corporate tax in India is around 25% (Assuming that there would be some tax benefits). The net income for the client with almost zero investment would be $42,908,857 \times 0.75 = \text{Rs.}32,178,643$

Thank you, that will be all.

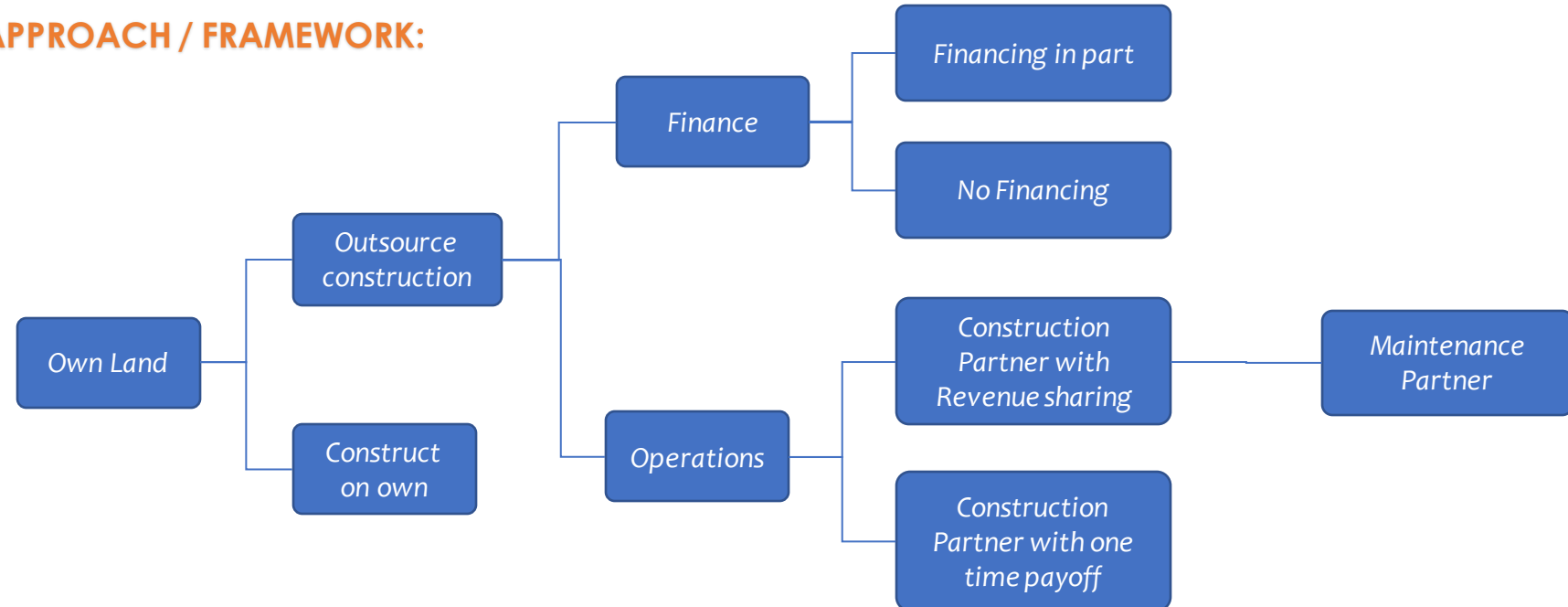


A client wants to utilize the land he already owns and is considering building a shopping mall. Estimate the income he could gain..

CASE FACTS:

- Client owns the land
- Has no businesses related to the construction field
- Wants to maximize returns by investing less capital

APPROACH / FRAMEWORK:



RECOMMENDATIONS:

- Outsource both financing and construction operations to third party companies
- Revenue sharing model with construction company and building maintenance company
- Revenue sharing model for certain period with construction company
- This model requires less to no capex in the project for the client



S.No	Particulars	Page No.
9	Guesstimates	
9.1	Number of Laptops Used in India	87
9.2	Daily Meals Cooked in Vistara Flights from Mumbai	90
9.3	Number of 4-wheeler tires in Pune	93
9.4	Number of Ambulances Operating in Mumbai	95
9.5	Amount of Urea used for Agri-Purposes in India	97
9.6	Amount of Oral Vaccines Required in India	101
9.7	Annual Number of Basketballs Produced in India	103
9.8	Market Size of Band Aids in India	106
9.9	Number of Bottles Used in Keventers outlet daily	109
9.10	Daily Revenue of Zomato	111
10	Factsheet	114
11	Meet the Team	115



NUMBER OF LAPTOPS USED IN INDIA – Interview Transcript

Guesstimate | Bain & Company

Estimate the number of laptops used in India today

So, I need to estimate the Number of laptops presently in use in India. Laptops are used for personal and professional purposes. They are also present in shops across the country to be sold and laptops are also available for rent. What do you want me to consider for calculating the total laptops in the country?

Calculate the number of laptops used only for personal and professional uses.

Ok sure. I would like to divide our country's population into Urban and Rural populations.
Indian Population = 140 Cr, In that Urban (30%) ~ 40 Cr and Rural (70%) ~100 Cr
Laptop being a high-end tech product, my assumption is that very few people will be using a laptop for their personal use and for professional use, it will be minimal. So, can I exclude the rural part while calculating the number of laptops?

Yes. It is a fair assumption. Rural India can be excluded.

Laptop's usage is generally based on affordability. To estimate that, I would like to segment the urban population into 3 parts based on Income Levels. I would like to split the High, Middle, and Low Income as (20,60,20) percent respectively. Is it a fair assumption?

Please take it as 20,50,30 percent respectively.

Sure.

	% of urban Population	Total(Crores)
High	20%	8
Medium	50%	20
Low	30%	12

I assume that the low-income population finds it difficult to afford a laptop. So, the count would be negligible. Shall I proceed excluding the low-income population?

Yes, proceed

Now since the percentage of people using laptops depends on age. I would like to divide both the High Income and middle-income population into 4 Age groups. Also since India is a young country where the median age is around 28 yrs. I would like to allocate a major share of the population between 0-16 and 16-40.
To maintain the homogeneity of both the groups, I would go ahead with the same split for the middle-income population

Age Groups	% of Popln	High Popln	Low Population
0-16	30%	2.4	6
16-40	40%	3.2	8
40-60	20%	1.6	4
60+	10%	0.8	2

Are these numbers looking fair? Shall I go ahead?

These numbers are pretty logical. Please continue

Percentage of people who use a laptop will vary with age and also across the Income groups.

	Personal	Professional	High Popln	Personal Laptops	Professional Laptops
0-16	30%	0%	2.4	0.72	0
16-40	70%	40%	3.2	2.24	1.28
40-60	30%	20%	1.6	0.48	0.32
60+	5%	0%	0.8	0.04	0
Total				3.48	1.6

Could you justify your split for the 16-40 age group. Why is it so high?



NUMBER OF LAPTOPS USED IN INDIA – Interview Transcript

Sure. 16-40 majorly consists of millennials who are well connected to technology. Since we are talking about the high-Income population many of them would have a laptop. Also, some of them will have multiple laptops. As a result, I estimated that it would be approximately 70% on average.

Sounds great. Please continue

Okay, for middle Income

	Personal	Professional	Middle Population	Personal Laptops	Professional Laptops
0-16	10%	0%	6	0.6	0
16-40	40%	20%	8	3.2	1.6
40-60	20%	10%	4	0.8	0.4
60+	0%	0%	2	0	0
Total				4.6	2

Total = Personal + Professional = 8.06+ 3.6 = 11.68 Crores = 11.7 Crores (Approx.)
11.7 Crore laptops are presently in use in India.

That seems fair, we can wrap it up here, it was great interacting with you.

Thank you so much.



NUMBER OF LAPTOPS USED IN INDIA – Interview Summary (Contd.)

Guesstimate | Bain & Company

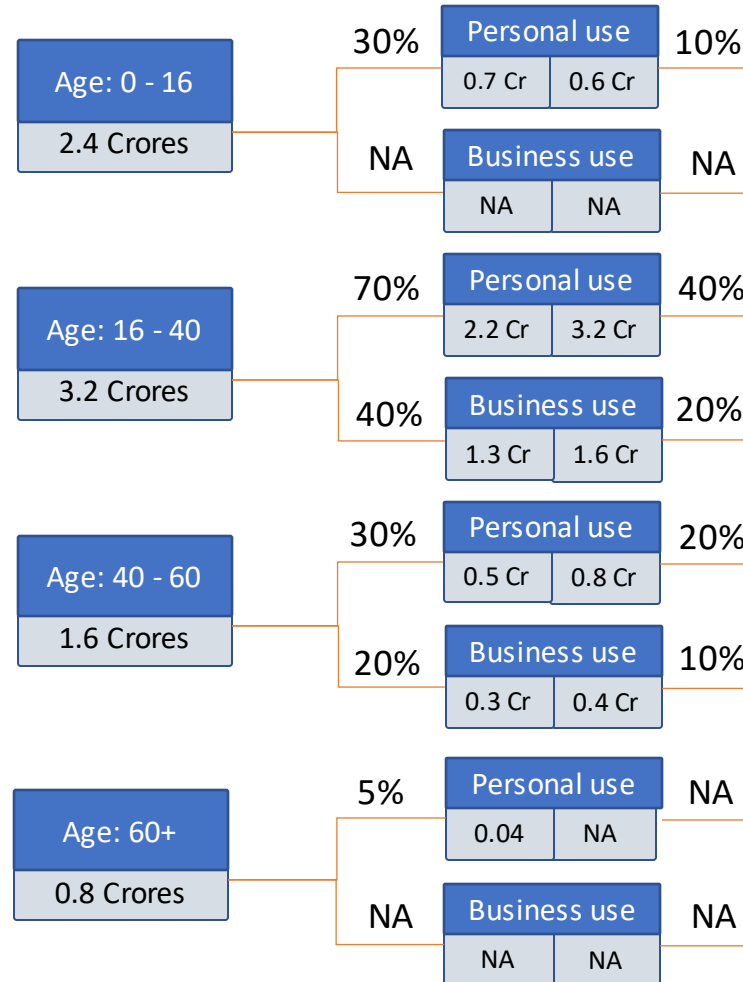
Estimate the number of laptops used in India today

INTERVIEWER FEEDBACK:

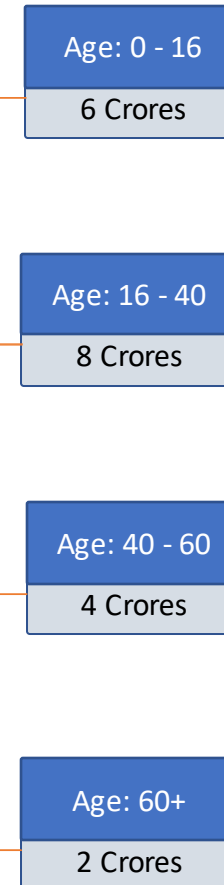
- Approximations are made when needed to make the calculations simple
- Good Explanation for the assumptions considered
- Using income levels of the population is a good approach for this estimation

APPROACH: Bottom to Top (Demand Side)

High Income



Middle Income



CALCULATIONS:

Age	Inc	Personal	Office
0 - 16	High	$0.3 * 2.4 = \mathbf{0.72}$	NA
	Mid	$0.1 * 6 = \mathbf{0.60}$	NA
16 - 40	High	$0.7 * 3.2 = \mathbf{2.24}$	$0.4 * 3.2 = \mathbf{1.28}$
	Mid	$0.4 * 8.0 = \mathbf{3.20}$	$0.2 * 8.0 = \mathbf{1.60}$
40 - 60	High	$0.3 * 1.6 = \mathbf{0.48}$	$0.2 * 1.6 = \mathbf{0.32}$
	Mid	$0.2 * 4.0 = \mathbf{0.80}$	$0.1 * 4.0 = \mathbf{0.40}$
60+	High	$0.05 * 0.8 = \mathbf{0.04}$	NA
	Mid	NA	NA
Total		8.08	3.6

Total number of laptops in India = No. of laptops for personal use + No. of laptops for professional use

$$\begin{aligned} &= 8.08 + 3.6 \\ &= 11.68 \sim \mathbf{11.7 \text{ Cr}} \end{aligned}$$



Number of meals cooked daily for Vistara Flights from Mumbai Airport

I am required to calculate the total number of meals cooked daily for Vistara Flights from Mumbai Airport. Is that right?

Correct

I would like to break this estimate into two parts by first calculating the number of Vistara flights operating from Mumbai Airport daily and then calculating the meals consumed in each flight to come to the final number.

Okay, what would be your approach in calculating the number of flights?

Since the constraint in this case would be the number of gates and their utilization, I will take the supply-side approach. I will divide the 24 hours into peak, non-peak and maintenance hours, assuming no traffic in the maintenance hours. For other traffic segments, based on the consequent gate utilization rate and the boarding time for flights, I'll reach a number of flights in each of the traffic segments. Shall I start with the number of flights operating in peak hours?

Okay. Proceed

Peak Hours = 9 hours. Assuming total number of gates at the airport = 60 ;
Number of gates operational = 100% = $60 \times 100\%$ = 60
Assuming share of domestic flights to be 70% and that of international flights to be 30%.

Number of gates used for domestic and international will be 40 and 20 respectively.
Boarding time of a domestic should be around 45 min. Hence the number of domestic flights = $(40/0.75) \times 9 = 480$

Similarly, boarding time of a domestic should be around 90 min. Hence the number of domestic flights = $(20/1.5) \times 9 = 120$

Can I go ahead and calculate for non-peak hours?

Okay. Proceed

Non - Peak Hours = 12 hours. Number of gates operational = 60% = $60 \times 60\% \sim 40$
Number of gates used for domestic and international will be 28 and 12 respectively
The number of domestic flights = $(28/0.75) \times 12 \sim 480$ and,
The number of international flights = $(12/1.5) \times 12 = 96$. Do these numbers look fair?

Yes. Please proceed

Adding these numbers, the total number of flights operating daily from Mumbai airport are 1,180 flights. Now assuming Vistara's market share as 10%, we get approximately around daily 120 Vistara flights. Dividing them into the domestic and international split, we would get 84 domestic and 36 international flights. Now to calculate further, I would like to clarify a few assumptions.

Sure.

Assuming only one style of aircraft is being used, I would be taking the total number of seats in each flight to be 200.

I would like to assume an average occupancy of 80% for domestic flights and higher occupancy of 90% for international flights since there is less chance of last min cancellations or changes in international flights.

Since the average duration of international flights is more than that of domestic flights, I believe more people would be opting for meals in international flights than domestic. Hence I would be taking the value of this per cent factor to be 100% for international and 50% for domestic flights.

For the same reason, I would like to assume the average meal consumed per seat would be 2 for international and 1 for domestic. Can you let me know if these assumptions make sense?

Yes, these assumptions seem fair. Continue

Thank you. Based on the assumptions for domestic flights, The number of meals will be = $84 \times 200 \times 80\% \times 50\% \times 1 = 6,720$ meals

Similarly, Based on the assumptions for international flights, The number of meals will be = $36 \times 200 \times 90\% \times 100\% \times 2 = 12,960$ meals

Adding these two numbers, the total number of meals come around to be 19,680. Does this number look reasonable.

Sure. Let's close the case now. Thanks!



Number of meals cooked daily for Vistara Flights from Mumbai Airport

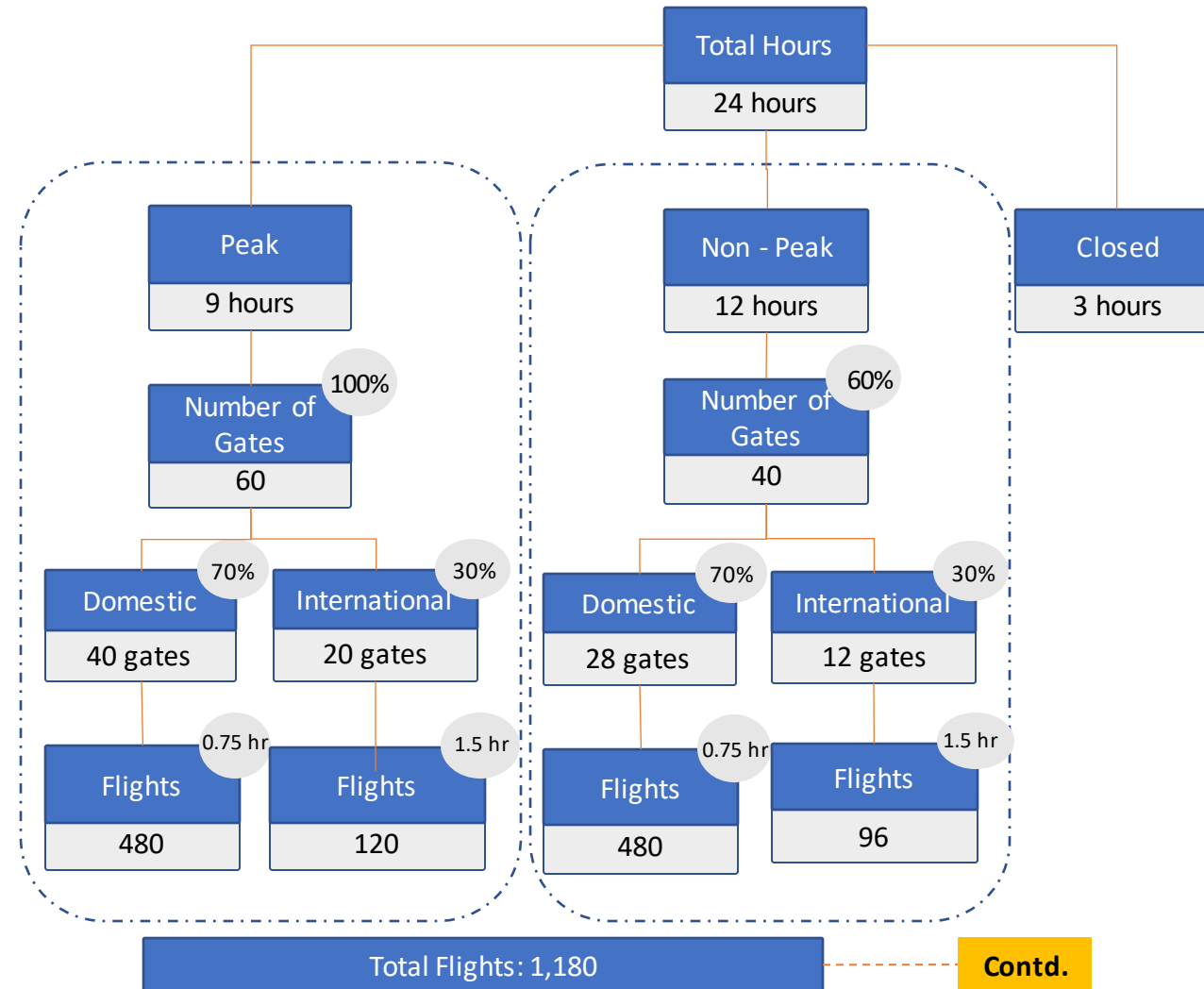
ASSUMPTIONS:

- Consider passenger planes (Both domestic & International)
- All International passengers would definitely opt for meals.
- Vistara Market Share - 10%
- Number of gates - 60
- Domestic: International -
 - Number of flights - 7:3
 - Boarding Time - 45min: 90 min

METHODOLOGY:

- Supply side approach based on constraint on the number of gates
- Number of flights = $\frac{\text{Gates}}{\text{Boarding Time}} \times \text{Operating Hours}$

APPROACH: Top Down (Supply-Side)



CALCULATIONS:

Passenger flow	Hours	No. of gates
Peak Hours	9hrs	$1 \times 60 = 60$
Non-Peak Hours	12hrs	$0.6 \times 60 \sim 40$
Closed	3hrs	0

Peak Hour flights	No. of gates	No. of flights
Domestic	40	$40 \times (9/0.75) = 480$
International	20	$20 \times (9/1.5) = 120$

Non - Peak Hour flights	No. of gates	No. of flights
Domestic	28	$28 \times (12/0.75) \sim 480$
International	12	$12 \times (12/1.5) = 96$

Contd.



NUMBER OF MEALS COOKED FOR VISTARA FLIGHTS – Interview Summary

Guesstimate | Bain & Company

Number of meals cooked daily for Vistara Flights from Mumbai Airport

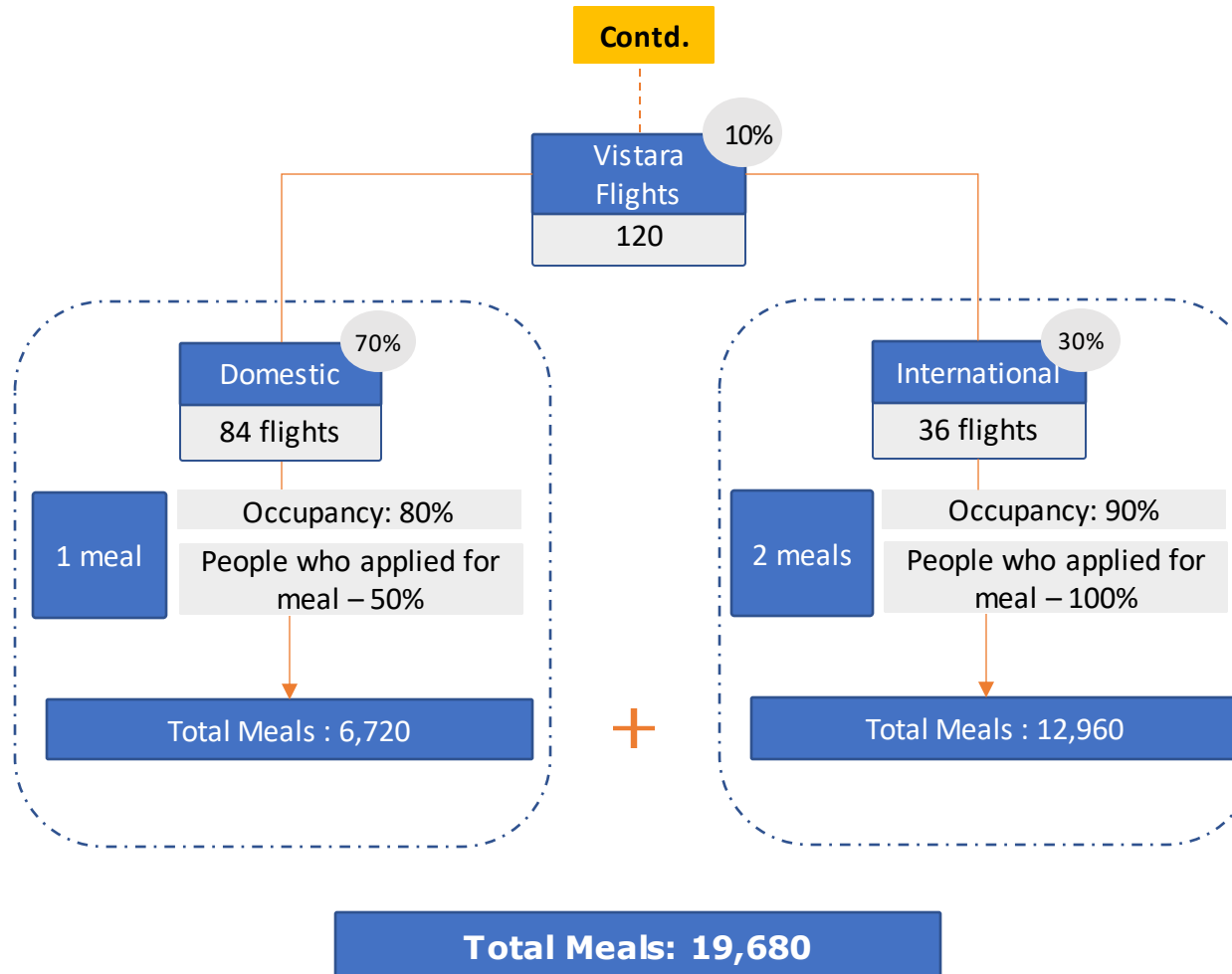
ASSUMPTIONS:

- Consider passenger planes (Both domestic & International)
- All International passengers would definitely opt for meals.
- Vistara Market Share - 10%
- Number of gates - 60
- Domestic: International –
 - Number of flights – 7:3
 - Boarding Time – 45min: 90 min

METHODOLOGY:

- Number of Seats – 200
- Number of meals = $\text{Flights} \times \text{Seats} / \text{Per flight} \times \text{Occupancy} \times \text{People who applied for meal} \times \text{Meal per seat}$

APPROACH: Top Down (Supply-Side)



CALCULATIONS:

Flight type	Occu.	No.of Meals
Domestic	28	$84 \times 0.8 \times 0.5 \times 200 = 6720$
International	12	$36 \times 0.9 \times 1 \times 200 \times 2 = 12960$



NUMBER OF 4-WHEELER TYRES REQUIRED IN PUNE – Interview Transcript

Guesstimate | Thoucentric

Total number of tyres required for 4-wheelers in the next year for Pune city?

I am required to calculate the total number of 4-wheeler tyres which will be in use in the next year for Pune city. Is that right?

Correct.

Can I take a few minutes to frame my approach?

Sure.

I will be taking a demand-side approach to arrive at the problem since it would be difficult to estimate the number of tyre companies currently manufacturing and supplying to Pune.

First, I would be calculating the total number of 4-wheelers plying on Pune Roads while considering only 4-wheeler personal and taxis for simplicity. For personal vehicles, I would like to divide the number of households based on income level. Then for each income group, I would be assuming a penetration percentage along with the average number of cars owned by that income group household. For commercial vehicles, I would be estimating based on the Pune Population. Does this approach make sense?

This seems to be a fine approach. Please proceed

Rich Household = 10% of Pune Household = 2 Lakhs. The majority of these households would have 4-wheelers, assuming 90%, with 1-2 cars per household i.e. 1.5 on an average.

Upper Middle Household = 10% of Pune Household = 2 Lakhs. Assuming 4-wheeler penetration of around 75% with an average of 1 car per household.

Lower Middle Household = 30% of Pune Household = 6 Lakhs. Assuming 4-wheeler penetration of around 50% with an average of 0.5 cars per household.

Ignoring Below Poverty Line Households having 4-wheeler since it would be a minuscule percentage.

Okay, can you go ahead and calculate commercial 4-wheelers and tell me the final number of 4-wheelers

Assuming 5 taxis plying per 1000 people, which means $(80 \text{ lakhs}/1000) \times 5$, we would be getting 40,000 vehicles. Thus, adding the personal and commercial, we get an approximate number of 6 lakhs operating in Pune annually.

Okay. How will you calculate the number of tyres now?

I would be calculating the number of tyres required for old and new cars separately. New cars bought will be given by the total number of cars playing / average life of a car, while old cars would be the difference.

Then while fresh pair of tyres will be used in new cars, tyres used in old cars would again depend on the average life of a tyre. Before moving forward, I would like to clarify a few assumptions.

Sure. Go Ahead

Should 10 years and 5 years be a fair assumption for average life of a car and a tyre respectively? Also, I would like to assume that at a time, there are 4 operational tyres while one tyre would be spare, taking total count of tyres used in a car to be 5. Can you verify if these assumptions are reasonable?

Yes, these assumptions seem reasonable. Continue

Thank you. Based on the assumptions for new cars, The number of new cars will be = 6 lakhs / 10 = 60,000 vehicles. Number of tyres = $60,000 \times 5 = 3 \text{ lakhs tyres}$.

Now, the number of old cars would be = 6 lakhs - 60,000 = 5.4 lakhs.

Number of tyres = No. of old cars * (Total tyres used in a car / Average life of a tyre) = $5.4 \text{ lakhs} \times (5/5) = 5.4 \text{ lakhs}$

Adding these two numbers, the total number of tyres would be 8.4 lakhs. Does this number look fair?

Yes, we can close the case now. Thanks!



NUMBER OF 4-WHEELER TYRES REQUIRED IN PUNE – Interview Summary

Guesstimate | Thoucentric

Total number of tyres required for 4-wheelers in the next year for Pune city

ASSUMPTIONS:

- Consider only Passenger & Taxis 4-Wheelers
- Average Household Size = 4
- Average Life of a Car = 10 years
- Average Life of a Tyre = 5 years
- Every car has 4 and an additional spare tyre.

METHODOLOGY:

- Number of Personal Vehicles = # of Segmented Household * 4-Wheeler Penetration * Avg. # of Cars Owned

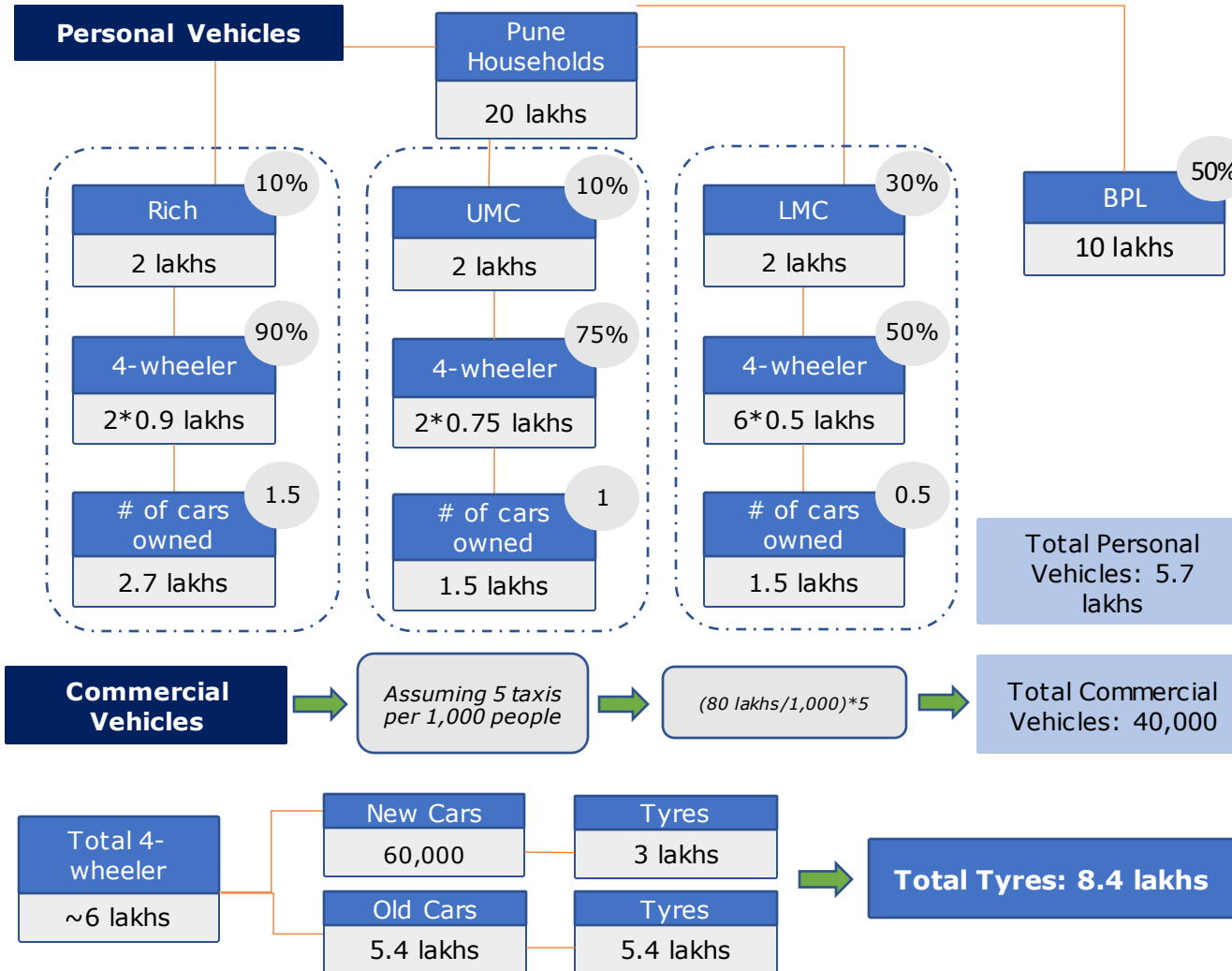
New Cars:

- # of Cars = Total Cars by Demand/Avg. Life of Car
- # of Tyres = # of Cars * (4+1)

Old Cars:

- # of Cars = Total Cars by Demand - Number of New Cars
- # of Tyres = # of Cars * (4+1)/(Avg. Life of Tyre)

APPROACH: Bottom to Top (Demand-Side)



CALCULATIONS:

Income Segments	%	Calculation
Rich	10%	$20 \times 0.1 = 2$
Upper Middle Class	10%	$20 \times 0.1 = 2$
Lower Middle Class	30%	$20 \times 0.3 = 6$
Below Poverty Line	50%	$20 \times 0.5 = 10$

Income Segments	% 4-Wheeler	# of Cars Owned
Rich	90%	$2 \times 0.9 \times 1.5 = 2.7$
Upper Middle	75%	$2 \times 0.75 \times 1 = 1.5$
Lower Middle	50%	$6 \times 0.5 \times 0.5 = 1.5$

Type of Car	# of Cars	# of Tyres
New	$6 \text{ lakhs} / 10 = 60,000$	$60,000 \times 5 = 3 \text{ lakhs}$
Old	$6 \text{ lakhs} - 60,000 = 5.4 \text{ lakhs}$	$5.4 \times 5 / 5 = 5.4 \text{ lakhs}$



NUMBER OF AMBULANCES OPERATING IN MUMBAI – Interview Transcript

Estimate the number of Ambulances operating in Mumbai

We can look at the number of ambulances operating in Mumbai from both the supply side (Government plus Private Hospitals) and the demand side. Since Mumbai is the financial capital of the country, I am assuming that supply will be according to the demand generated. Shall I go ahead and solve it from the demand side?

Sure.

Should I consider the Co-vid situation or is this during the normal time?

Do not consider the Co-vid situation

Sure.
Ambulances are generally used for the following purposes

1. For not so critical patients (Mild fractures, sub-acute care facilities)
2. For emergency patients
3. For carrying the pregnant women (There are different hospitals for child births)
4. For carrying the dead (Mortuary Ambulances)

Am I missing any other cases, or can I go ahead?

Go ahead.

Covering 1st and 2nd points

Population of Mumbai – 2 crores
Assuming that 0.1% of the population is hospitalized at any given point of time
Hospitalized people = 20,000
Now out of 20 thousand people,
90% of the people are hospitalized for non-emergency ailments and 10% of the people are admitted for an emergency ailment.

General Hospitalization:

90% of 20000 = 18000
Assuming that ambulance services are used by **25%** = 4500
Assuming the average time an ambulance spends in picking and dropping a patient in the hospital : 1 hour
Waiting time per ride: 1 hrs
Total time taken for an ambulance for 1 ride is 2 hrs
Therefore, an ambulance can pick $24/2 = 12$ patients per day
Total ambulances = $4500/12 = 375$

Emergency Hospitalization:

10% of 20000 = 2000
Assuming that 90% of the critical patients use ambulance = 1800 people
Same as above, Total time taken for an ambulance for 1 ride is 2 hrs
Total Ambulances = $1800/12 = 150$
Therefore, for hospitalization = $375 + 150 = \mathbf{525}$ Ambulances
Are these numbers fair, can I proceed?

Okay

Covering 3rd point

Average birth rate in India on average is 20 per 1000 population (per year).
Since women in Mumbai are better educated about family planning, I'll assume the average to be 10 per 1000 population
 $2 \text{ Cr} * 10/1000 = 2,00,000$ per year
Total number of births in Mumbai per year = 2,00,000 Approx.
For one day, $2,00,000/365 = 550$
99.9% of the child-births happen at the hospitals. So excluding the negligible child births at home.
Ambulances are used to carry more than 90% of the total. Approximately 90% = 500 people
Total Ambulances = $500/12 = 40$ Ambulances

Covering 4th point

Average death rate in India on average is 7 per 1000 population (per year).
Due to better health care, assuming the death rate of Mumbai to be 5 per 1000 population.
 $2 \text{ Cr} * 5/1000 = 1,00,000$ per year
Total number of deaths in Mumbai per year = 1,00,000 approx.
For one day, $1,00,000/365 = 275$ deaths
Usage of ambulance = 90%
Roughly carrying 250 dead people
Number of Ambulances = $250/12 = 21$ Ambulances
Overall ambulances = $525 + 40 + 21 = \mathbf{585}$ (Approx.)

Also, ambulances are used to carry patients between one hospital to another and some ambulances will also be on standby. Taking this number as 50%
Total number of ambulances operating in Mumbai = $585 + 295 = 880$ Ambulances

That seems fair, we can wrap it up here, it was great interacting with you.



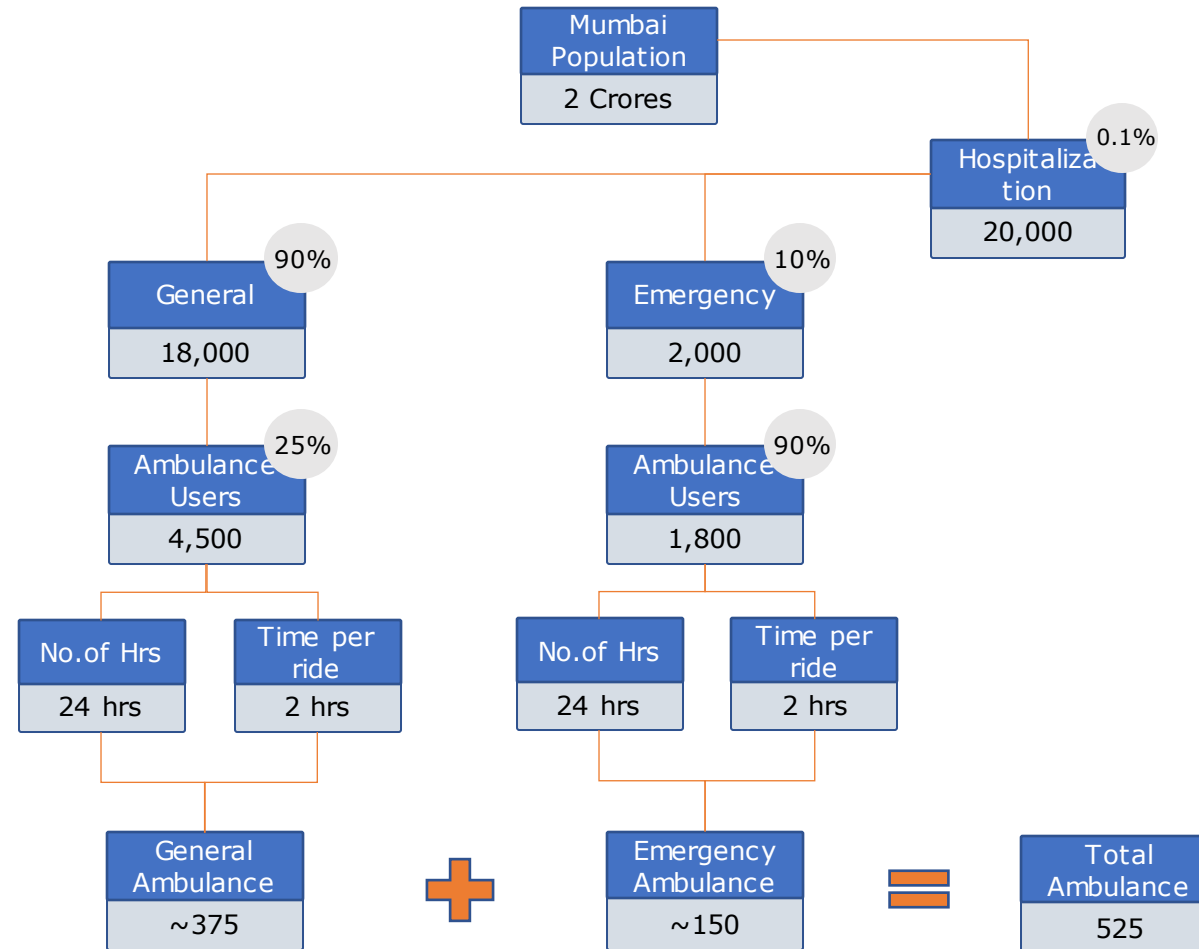
NUMBER OF AMBULANCES OPERATING IN MUMBAI – Interview Summary

Estimate the number of Ambulances operating in Mumbai

ASSUMPTIONS:

- Mumbai being the financial capital of the country, supply is according to the demand generated
- This is during normal time not considering the Co-vid situation
- Different types of ambulances are used for different purposes

APPROACH: Bottom to Top (Demand-Side)



CALCULATIONS:

- Mumbai Population = 2 Crores
- Hospitalized people per day = $0.1\% \times 2 \text{ Crs} = 20,000$
- **General Patients** = $0.9 \times 20,000 = 18,000$
- Ambulance Use = $0.25 \times 18,000 = 4,500$
- Total time for an Ambulance for 1 ride = 2hr
- Number of patients picked by an Ambulance = $24 \text{ hrs} / 2 \text{ hrs} = 12$ patients
- Total General Ambulances = $4,500 / 12 \sim 375$
- **Emergency Patients** = $0.1 \times 20,000 = 2,000$
- Ambulance Use = $0.9 \times 2,000 = 1,800$
- Total time for an Ambulance for 1 ride = 2hr
- Number of patients picked by an Ambulance = $24 \text{ hrs} / 2 \text{ hrs} = 12$ patients
- Total Emergency Ambulances = $1,800 / 12 \sim 150$
- Total Ambulances = General + Emergency = $375 + 150 = 525$
- **Ambulances**



Calculate the amount of urea used for agricultural purposes in India

I need to calculate the amount of urea used in India for agricultural purposes. Is that right? Can I assume the period to be one year?

Correct. You can estimate it for one year.

We can calculate this from either the supply side or demand side. Is there any specific side you want me to focus on?

Please proceed from the demand side.

As per my knowledge, urea is used in many ways to provide nitrogen for plant growth. Organic agriculture is still in the nascent stages in India with only ~2% of total agriculture produce, can I exclude it?

Yes.

I will start with the total geographical area of India which is 330 million hectares. In India, 60% of the land is being used for agriculture. It will be $0.6 * 330 = 198$ million ~ 200 million. For ease of calculation, I am rounding off the value. Is this ok?

Yes.

I: A typical Indian agricultural land goes through 2 crops. I.e. Kharif crop & Rabi Crop. I will first calculate the usage for the Kharif season.

I want to divide India into five parts based on geography. They are

North India: J&K, Himachal Pradesh, Punjab, Uttarakhand, Haryana, Rajasthan & UP

East India: West Bengal, Bihar, Jharkhand, Odisha

West India: Maharashtra, Goa & Gujarat

South India: Andhra Pradesh, Karnataka, Kerala, TN, Telangana

Central India: Madhya Pradesh & Chhattisgarh

Since the North part of our country has large agriculture states in terms of production followed by the south, West, East & Central

Considering 35% of the total agricultural land to be in the northern part, 25% of the total agricultural land to be in the Southern part, 20% of the total agricultural land be in the Western part, 10% of the total agricultural land to be in eastern India, 10% of the total agricultural land to be in central India. are my assumptions right?

Yes. These are fair assumptions.

North: $35\% - 0.35 * 200 = 70$ million Hectors
East: $10\% - 0.1 * 200 = 20$ million Hectors
West: $20\% - 0.2 * 200 = 40$ million Hectors
South: $25\% - 0.25 * 200 = 50$ million Hectors
Central: $10\% - 0.1 * 200 = 20$ million Hectors

Okay, what next?

Within the particular geographic area, The farmers may use the amount of urea differently depending upon the conditions, type of crop and availability of the urea.

So, Classify again into three categories based on their usages as High Usage, Medium Usage and Low Usage.

High Usage = 110kg / Hector / per crop
Medium Usage = 90kg / Hector / per crop
Low Usage = 70kg / Hector / per crop
Is this ok?

Yes

Since North & south regions are known to use a high amount of fertilizers for hectare land as they majorly produce rice & wheat, I want to consider the split to be 40%, 30%, 30% between High, medium and low.

West India & central India produces majorly pulses, I want to consider them to be the region with lower fertilizer consumption. The split will be 20%, 30%, 50% between High, medium and low.



In east India, The split is 30%, 40%, 30% between High, medium and low. Since there is a moderate usage of fertilizers in this region.

Is my approach reasonable?

Yes. It is a logical approach

North: (70 million Hectors) / Total : 6.46 million tons
East: (2 Crore Hectors) / Total : 1.8 million tons
West: (4 Crore Hectors) / Total : 3.36 million tons
South: (5 Crore Hectors) / Total : 4.25 million tons
Central: (2 Crore Hectors) / Total : 1.68 million tons

Total amount of Urea used for Kharif crop = 17.90 million tons

Continue

Since Rabi crops require more fertilizers than the Kharif crops because of the availability of water & type of crops. I will consider the usage to be 10% less for Kharif crops than rabi

Total amount of urea used for Rabi Crop = 16.11 million tons
Total = 18.42 + 16.57 = 34.01 million tons

That was a great approach. Thank you



AMOUNT OF UREA USED FOR AGRICULTURAL PURPOSES IN INDIA – Interview Summary

Calculate the amount of urea used for agricultural purposes in India

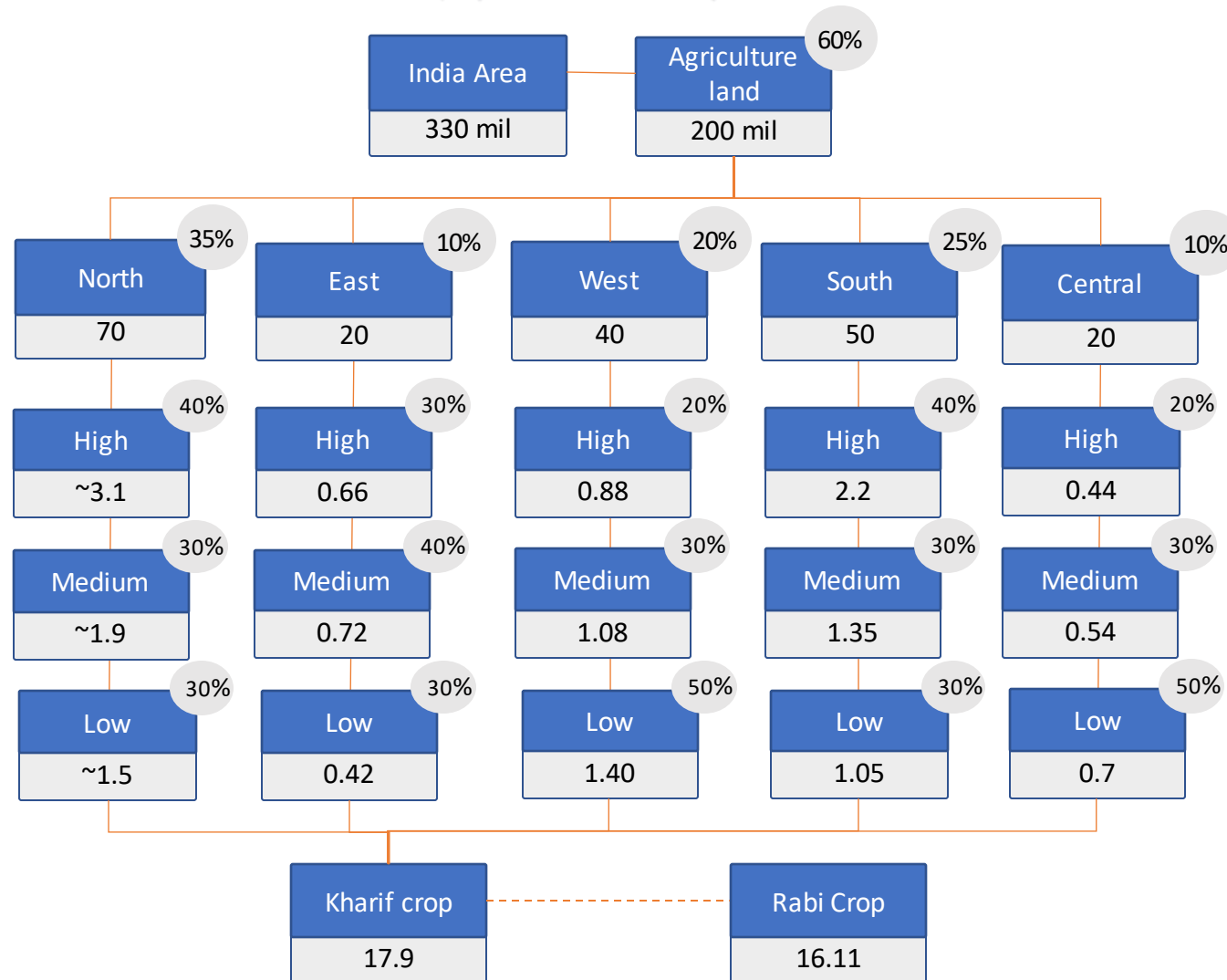
ASSUMPTIONS:

- 35% northern part, 25% Southern part, 20% Western part, 10% eastern India, 10% central India
- High Usage = 110kg / Hector / per crop, Medium Usage = 90kg / Hector / per crop, Low Usage = 70kg / Hector / per crop

METHODOLOGY:

- Demand side approach based on constraint on the number of gates

APPROACH: Bottom to Top (Demand-Side)



CALCULATIONS:

- North: 35% - $0.35 * 200 = 70$ million Hectors
- East: 10% - $0.1 * 200 = 20$ million Hectors
- West: 20% - $0.2 * 200 = 40$ million Hectors
- South: 25% - $0.25 * 200 = 50$ million Hectors
- Central: 10% - $0.1 * 200 = 20$ million Hectors

North: (70 million Hectors)

- High(40%) : $0.4 * 70 * 110 = 3.08$ Million tons
- Medium (30%) : $0.3 * 70 * 90 = 1.89$ million tons
- Low (30%) : $0.3 * 70 * 70 = 1.49$ million tons

East: (2 Crore Hectors)

- High(30%) : $0.3 * 2 * 110 = 66$ Cr kg = 0.66 Million tons
- Medium (40%) : $0.4 * 2 * 90 = 72$ Cr kg = 0.72 million tons
- Low (30%) : $0.3 * 2 * 70 = 42$ Cr kg = 0.42 million tons

West: (4 Crore Hectors)

- High(20%) : $0.2 * 4 * 110 = 88$ Cr kg = 0.88 Million tons
- Medium (30%) : $0.3 * 4 * 90 = 108$ Cr kg = 1.08 million tons
- Low (50%) : $0.5 * 4 * 70 = 140$ Cr kg = 1.40 million tons



AMOUNT OF UREA USED FOR AGRICULTURAL PURPOSES IN INDIA – Interview Summary

Calculate the amount of urea used for agricultural purposes in India

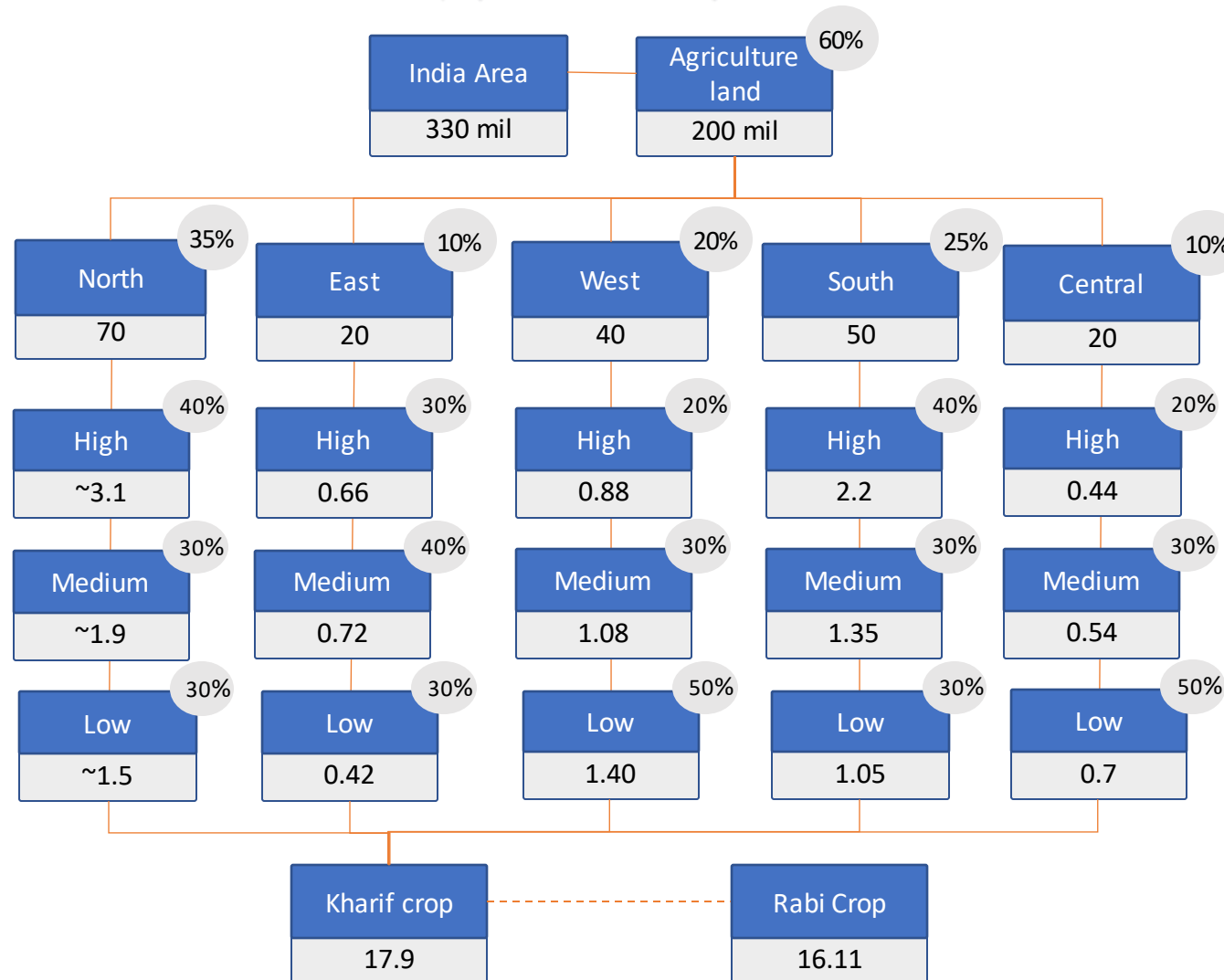
ASSUMPTIONS:

- 35% northern part, 25% Southern part, 20% Western part, 10% eastern India, 10% central India
- High Usage = 110kg / Hector / per crop, Medium Usage = 90kg / Hector / per crop, Low Usage = 70kg / Hector / per crop

METHODOLOGY:

- Demand side approach based on constraint on the number of gates

APPROACH: Bottom to Top (Demand-Side)



CALCULATIONS: (Contd.)

South: (5 Crore Hectors)

- High(40%) : $0.4 * 5 * 110 = 220$ Cr kg = 2.2 Million tons
- Medium (30%) : $0.3 * 5 * 90 = 135$ Cr kg = 1.35 million tons
- Low (30%) : $0.3 * 5 * 70 = 70$ Cr kg = 1.05 million tons

Central: (2 Crore Hectors)

- High(20%) : $0.2 * 2 * 110 = 44$ Cr kg = 0.44 Million tons
- Medium (30%) : $0.3 * 2 * 90 = 54$ Cr kg = 0.54 million tons
- Low (50%) : $0.5 * 2 * 70 = 70$ Cr kg = 0.7 million tons

Total amount of Urea used for Kharif crop
= $6.46 + 1.8 + 3.36 + 4.60 + 1.68$
= **17.90 million tons**

Total amount of urea used for Rabi Crop
= $0.9 * 17.90$
= **16.11 million tons**

Total = 18.42 + 16.57 = 34.01 million tons



How many oral vaccines need to be produced for under 18 children by an Indian pharma company.

I need to calculate the amount of urea used in India for agricultural purposes. Is that right?

Yes

Thank you for confirming. I will start with the population of India which is 140 Cr
As per the problem statement, our target age group is from 0 to 18.

I will divide our target group into 2 segments.

Group 1 : Age 0 – Age 9

Group 2 : Age 9 – Age 18

Since India is a young country & fertility rate dropping down from last 5 years. Can I consider them to be 15% and 20% of total population

Yes. It is a fair assumption

Calculation:

0 – 9 : (15%) - $0.15 \times 140 = 21$ Cr

9 – 18 : (20%) - $0.2 \times 140 = 28$ Cr

Total : $21 + 28 = 49$ Cr ~ 50 Cr

Is the population of our target group reasonable?

Yes.

There can be many types of vaccines based on the method of injection like intranasal, oral, intervein, intradermal & intramuscular.

This estimation depends on the market share, market penetration of existing vaccines.
Can I get any specific data for the same?

*Consider the share of the intra nasal vaccines to be 30%
Consider the our market share to be 60%*

Thank you for the information. Required number of doses will be :

$49 \times 0.3 \times 0.6 = 8.82$ Cr

Can I go ahead?

Yes.

There will be an extra dose for every 10 doses to be used in case of wastage.

Total = $8.82 \text{ Cr} \times (0.1 \times 8.82) = 9.7$ Cr doses

Currently in India, the government hasn't allowed the mixing of 2 different types of vaccines. The people also need to take the same vaccine for further doses.

Is it a fair assumption?

Yes.

Assuming, the vaccine is a 2 dose vaccine

Total for 1st & 2nd dose combined: $9.7 \times 2 = 19.4$ Cr doses.

Considering the booster dose coverage to be 40%

Total doses the Indian pharma company can manufacture

= $19.4 + (0.4 \times 9.7)$

= 23.28 Cr doses



NUMBER OF ORAL VACCINES PRODUCED – Interview Summary

Guesstimate | Accenture Strategy

How many oral vaccines need to be produced for under 18 children by an Indian pharma company.

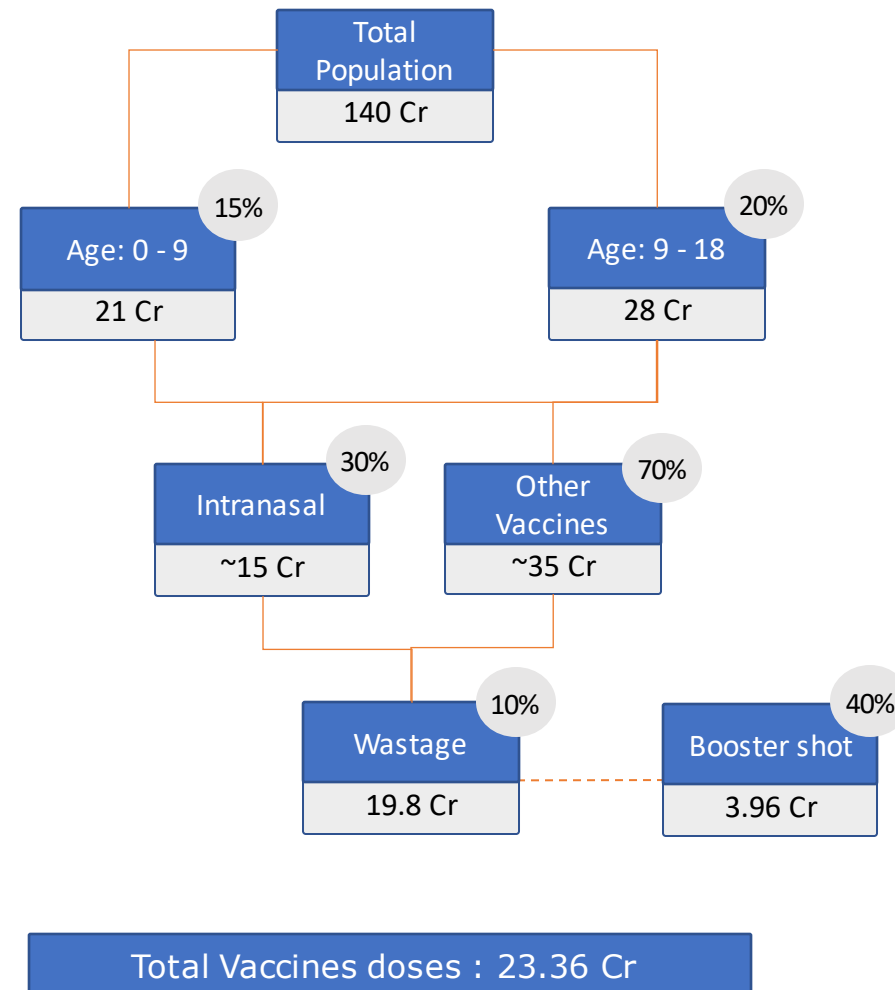
ASSUMPTIONS:

- Market Share - 60%
- Market Penetration - 30%
- Wastage - 10%
- Booster dose acceptance rate - 40%

METHODOLOGY:

- Demand side approach based on constraint on the number of gates

APPROACH: Bottom to Top (Demand-Side)



CALCULATIONS:

Age	%	Population
0 - 9	15	$0.15 \times 140 = 21$
9 - 18	20	$0.20 \times 140 \sim 28$

Type of Vaccine	%	Market size
Intranasal	30	$0.3 \times 49 \sim 15$ Cr
Others	70	$0.7 \times 49 \sim 35$ Cr

Intranasal Vaccines	Market share (%)	Vaccines required
15 Cr	60	$0.6 \times 15 = 9$ Cr

Vaccines required	Wastage (%)	Total (For 1 dose)
9 Cr	10	$1.1 \times 9 = 9.9$ Cr

Vaccines required	Wastage (%)	Total (For 2 doses)
9 Cr	10	$1.1 \times 9 \times 2 = 19.8$ Cr

Vaccines (2 Doses)	Booster shot (40%)	Total
19.8 Cr	3.96 Cr	$19.8 + 3.96 = 23.36$ Cr



Guesstimate the number of basketball purchases in India in one year?

I am required to guesstimate the number of basketballs sold in India in a year

Correct.

Can i take a few minutes to frame my approach.

Sure.

No. of basketballs purchased will depend on basketball courts available, assuming that the game is played only on courts.

Each basketball court has many teams playing in a single court and will possess multiple basketballs, playing at a certain part of the day for some hours.

Places where Basketball is played:

1. Educational Institutes
2. Sports centres/ Commercial spaces/Public Parks
3. Private spaces(Housing Societies, Corporate offices etc)

The approach looks fine, go ahead. And state all your assumptions while solving.

1. Educational Institutes: No. of basketballs in educational institutes will be calculated based on the following approach,
Educational Institutes will be calculated based on urban and semi-urban areas which are classified into Tier 1,2,3,4,5 and 6 cities and the rest of the towns.
As basketball courts are not commonplace, we are assuming that there will be no basketball courts in rural areas.

This seems to be a fine approach. Please proceed

Tier-1 cities:

8 cities, with avg. area of 800 sq. km. Assuming there is an educational institute for every 10 sq. km. Assuming there are 2 courts per institute, assuming each court is used for 4 hrs in a day and game played for 1 hr, possessing 2 balls each. So for every court, we have 8 basketballs. And the no. of balls is

$$8*800*(1/10)*2*4*2*(1/1) = 10240$$

Tier-2 cities:

Almost 100 cities(97), with avg. area of 400 sq. km. Assuming there is an educational institute for every 10 sq. Km. Assuming there are 2 courts per institute, assuming court is used for 4 hrs in a day and each game plays for 1 hr possessing 2 balls each. So for every court, we have 8 basketballs. And the no. of balls is

$$100*400*(1/20)*2*4*2*(1/1) = 32000 \text{ basketballs}$$

Tier 3 to Tier 6 cities and all towns:

Almost 3900 cities(3892), with avg. area of 100 sq. km. Assuming there is an educational institute for every 20 sq. km. Assuming there is 1 court per institute, assuming each court is used for 4 hrs in a day and each team plays for 1 hr possessing 2 balls each. So for every court, we have 8 basketballs. And the no. of balls is

$$4000*100*(1/20)*1*4*2*(1/1) = 160,000 \text{ basketballs}$$

$$\text{Sub-total} = 10,240 + 32000 + 160,000 = 2,02,240 \text{ basketballs}$$

That looks good. Calculate for Public spaces.

2.Sports centres/ Commercial spaces/Public Parks:

Assuming that Tier 1 and Tier 2 cities have the above-mentioned spaces where there are basketball courts.



Tier 1 cities:

8 cities, with avg. area of 800 sq. km. Assuming there are Sports centres/ Commercial spaces/Public Parks for every 40 sq. km. Assuming there is 1 court per centre, assuming each court is used for 4 hrs in a day and each team plays for 1 hr possessing 2 balls with them. So for every court, we have 8 basketballs.

$$8 \times 800 \times (1/40) \times 1 \times 4 \times 2 \times (1/1) = 1280$$

Tier-2 cities:

Almost 100 cities(97), with avg. area of 400 sq. km. Assuming there are Sports centres/ Commercial spaces/Public Park for every 50 sq. km. Assuming there is 1 court per centre, assuming each court is used for 4 hrs in a day and each team plays for 1 hr possessing 2 balls each. So for every court, we have 8 basketballs.

$$100 \times 400 \times (1/50) \times 2 \times 4 \times 2 \times (1/1) = 12800 \text{ basketballs}$$

$$\text{Sub-Total} = 1280 + 12800 = 14,080 \text{ basketballs}$$

This seems to be a fine approach. Please proceed

3. Private spaces(Housing Societies, Corporate offices etc.)

Assuming only Tier 1 cities have these spaces.

8 cities, with avg. area of 800 sq. km. Assuming there are Sports centres/ Commercial spaces/Public Parks for every 50 sq. km. Assuming there is 1 court per centre, assuming each court is used for 4 hrs in a day and each team plays for 1 hr possessing 2 balls with them. So for every court, we have 8 basketballs.

$$8 \times 800 \times (1/50) \times 1 \times 4 \times 2 \times (1/1) = 1024$$

$$\text{Sub-Total} = 1024 \text{ basketballs}$$

$$\text{Grand Total} = 202,240 + 14,080 + 1024 = 215,344$$

So a total of 2,15,000 basketballs are purchased in India every year.

That looks good. Thank you!



NUMBER OF BASKETBALL PURCHASES IN INDIA IN ONE YEAR – Interview Summary

Guesstimate | Deloitte

Guesstimate the number of basketball purchases in India in one year?

ASSUMPTIONS:

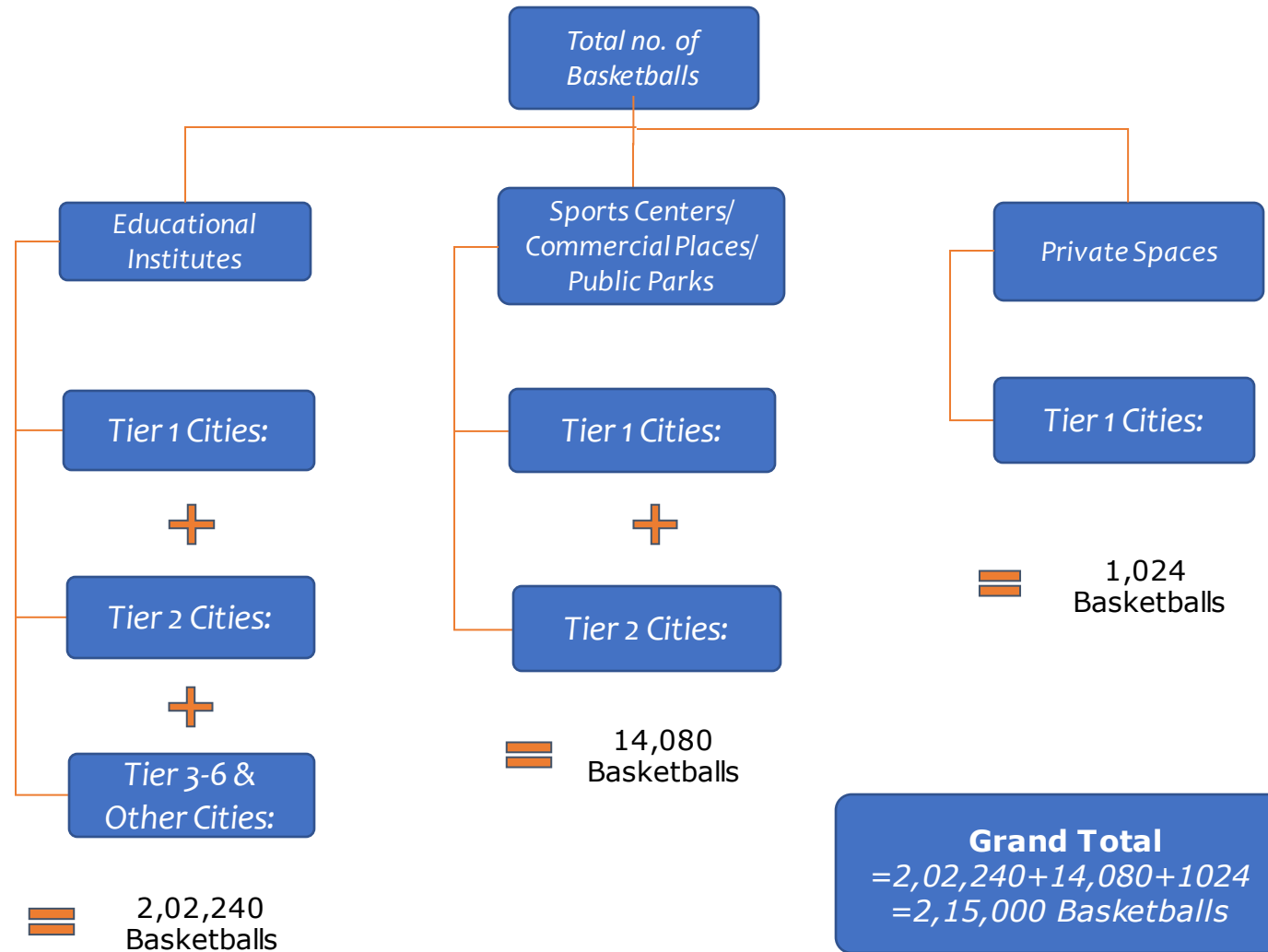
- Basketball is played only on basketball courts
- Courts are not present in rural areas
- Basketballs are possessed by teams playing them.
- Life of a ball is 1 year
- Tier -1 Cities:** 8 cities, 800 sq. km, a centre every 40 sq. km, 8 basketballs per court
- Tier 2 Cities:** 97 cities, 400 sq. km, an institute every 10 sq. km, 8 basketballs per court
- Tier 3-6 & Other Cities:** 3892 cities, 20 sq. km, an institute every 10 sq. km, 8 basketballs per court

METHODOLOGY:

The game is played in the three centres. The density of courts depends on the locality of centre.

- Number of balls = (no. of courts) * (no. of teams playing) * (no. of balls * life of ball)

APPROACH: Top Down (Supply-Side)



CALCULATIONS:

Calculation for Tier 1 cities for educational institutes:

$$\text{Number of balls} = (\text{no. of courts}) * (\text{no. of teams playing}) * (\text{no. of balls}) * (\text{life of ball})$$

$$= (8 * 800 * 0.1 * 2) * (4) * (2) * (1)$$

$$= 10,240 \text{ balls}$$

$$= 1,024 \text{ Basketballs}$$

$$\begin{aligned} \text{Grand Total} &= 2,02,240 + 14,080 + 1,024 \\ &= 2,15,000 \text{ Basketballs} \end{aligned}$$



Estimate the market size of Band-aids in India.

I am required to estimate the market size of band-aids in India in a year.

Correct.

Can I take a few minutes to frame my approach?

Sure.

The market size of Band-Aids is measured in the no. of pieces of plasters and so I will calculate the no. of pieces sold and multiply it with unit cost, the use cases for band-aids at a very broad level is as follows:

1. Clinics and Hospitals in India
2. First-aid kits in households, schools and other places

As a bandaid is very useful and as it is not very costly, I am assuming that it will be available at all places where medical services are provided, which are clinics(all types), hospitals(speciality centres and multi-speciality centres). And in other places like schools, sports centres, gyms, community centres where having a first aid kit is mandatory I am not calculating the number of such places as it is very tedious to calculate no. of such places.

To estimate no. of clinics and hospitals in urban India I will be assuming that there is a hospital or a clinic for 5000 people.

The calculation for no. of band-aids used is as follows:

For Urban India

No. of hospitals and clinics in Urban India is calculated as follows

Population = 50 Cr

Assuming that there is one clinic for every 5,000 people

$= 50\text{Cr} / 5000$

$= 100\text{k}$ Clinics and Hospitals

Assuming there is a stock of 100 band-aids for every month in every hospital and clinics

1 Cr band-aids will be used every month in urban India.

For Rural India

Population = 80 Cr

There are 6.75L villages in India

Assuming there is one Clinic or RMP in 90% of villages

$= 6.75\text{L} * 0.9$

$= 6\text{L}$ Villages, where there is a chance to have a bandaid

Assuming there is a stock of 20 band-aids for every month in clinics and with RMPs



There would be 1.2 Mn pieces every month in rural India.

Total= 10 Mn + 1.2 Mn

Total =11.2 Mn Pieces a month in clinics and Hospitals in India

= 134 Mn pieces for a year

Good, please move forward.

2. First-aid kits in Households, schools and other places

To calculate these I would be dividing the consumption of bandaids from these places: 1. Urban 2. Semi-Urban 3. Rural. There would be a difference in the consumption of bandaids across urban and rural areas.

Assuming there are 20 Cr households in India with 6 Cr in Urban, 4 Cr in semi-urban and 10 Cr in Rural India.

Assuming 70 % households in Urban, 50% in semi-urban and 20 % in rural areas use bandaids.

Assuming there will 5 pieces of band-aids in a first aid kit in a household and will be used in 3 months.

$$=(6*0.7 + 4 * 0.5 + 10* 0.2)*5$$

$$=(4.2+2+2)*5$$

$$=8.2 * 5$$

=41 Cr pieces for a quarter in Household in India

=410 Mn*3 for a year

=1230 Mn pieces a year

Grand Total = 134 Mn + 1230 Mn

Grand Total = 1364 Mn pieces a year in India.

Assuming each piece is priced at Rs. 5/- on average.

So the total market size for bandaids will be equal to $1364*5$ =Rs. 6820 Mn ~ Approximately Rs. 682 Cr.

That looks good. Thank you!



MARKET SIZE OF BANDAIDS IN INDIA – Interview Summary

Estimate the market size of Band-aids in India.

ASSUMPTIONS:

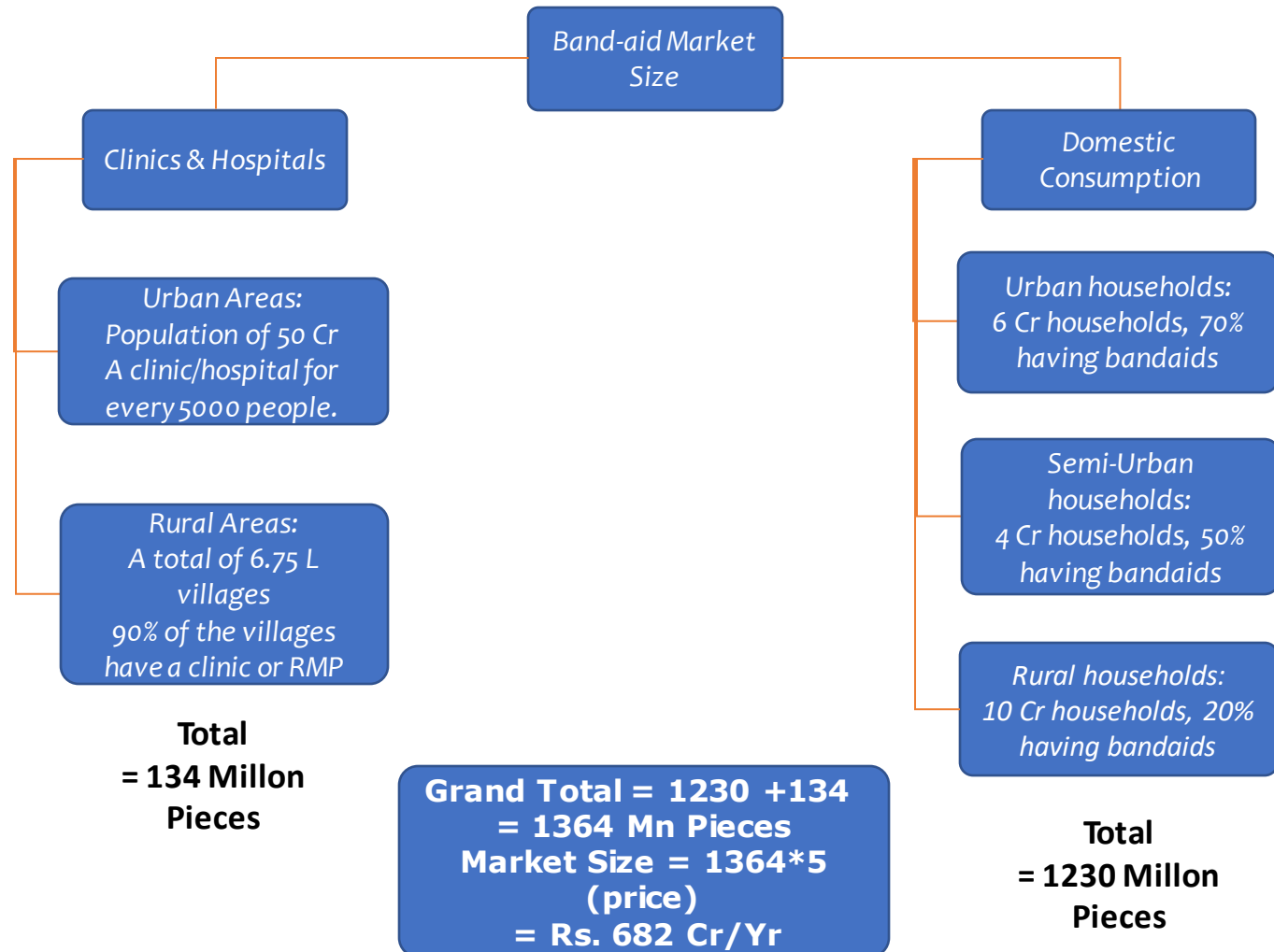
- That clinics/hospitals are evenly distributed with a population in urban areas
- That every RMP has bandaid with him/her
- That average price of plaster is Rs.5/-

METHODOLOGY:

The mentioned two use cases have different approaches

- No. of band-aids in clinics/hospitals in urban areas = (No. of clinics/hospitals)*(no. of band-aids per year)

APPROACH: Top Down (Supply-Side)



CALCULATIONS:

Calculation of bandages in clinics/hospitals in urban areas:

- No. of band-aids in clinics/hospitals in urban areas = (No. of clinics/hospitals)*(no. of band-aids per year)
$$= (50\text{Cr}/5\text{k}) * 100 * 12$$
$$= 120 \text{ Mn}$$
- No. of band-aids in clinics/hospitals in rural areas = No. of Villages *% of villages having RMP*No. of band-aids per year
$$= 6.75\text{L} * 90\% * 20 * 12$$
$$= 134 \text{ Mn}$$



Estimate the number of bottles used in a Keventers outlet in a day.

As Keventers is a high-end beverage chain, we can expect more orders and hence more bottles used on weekends as compared to weekdays. Should I estimate the number of bottles separately for weekends and weekdays?

No, that will not be necessary, I am interested in knowing your approach. Please estimate the number for a weekday.

Sure. I will first calculate the number of bottles utilized for in-store orders and then proceed to calculate the number of bottles used for online orders.

Okay, that seems like a good approach

As Keventers outlets are usually small, I am assuming that there will be one ordering counter in an outlet. Is that a fair assumption?

Yes, please proceed.

Assuming the average ordering time to be 2 minutes, a maximum of 30 customers can be served per hour.

If the outlet operates from 10am to 9pm, that is 11 hours, we will have 4 peak hours between 12noon - 1pm and 5pm - 8pm and rest 7 non-peak hours.

As Keventers is a high-end chain, I'm taking the occupancy rate for peak hours to be 70% and during non-peak hours to be 40%, is that fair?

Yes, although I differ on the hours that you have selected as peak hours but the number of peak hours looks right to me so it won't matter, you can proceed.

Ok, sir, I'm taking the average order size to be 2 milkshakes during the non-peak hours and 3 milkshakes during the peak hours, as peak hours will have more people arriving in groups and the case will be the opposite during the non-peak hours. Is this a fair assumption?

Yes, the reasoning seems fair. Please proceed.

Ok sir, now I'll calculate the number of bottles required which will be,
Number of bottles used during peak hours = $30 \times 0.7 \times 3 \times 4 = 252$
Number of bottles used during non-peak hours = $30 \times 0.4 \times 2 \times 7 = 168$
Which adds up to 420.

Can you explain the numbers?

Yes sir, 0.7 and 0.4 represent the occupancy rate. 3 and 2 are order sizes, and 4 and 7 are the number of peak and non-peak hours.

Alright, proceed.

Further I would consider the number of online orders, as Keventers delivers milkshakes in the same bottles.

Okay, go ahead.

As milkshakes are served cold and in Keventers' case in the same bottles, the experience of consuming a milkshake by ordering online is very close to ordering and consuming the milk-shake in-store. With this rationale, I am assuming the number of online orders to be 80% of the in-store orders, is my assumption fair?

Yes, that's fair.

Thank you sir. So the number of bottles used for online orders will be $420 \times 0.8 = 336$. And the total number of bottles needed will be $420 + 336 = 756$.

We can close this here. It was nice interacting with you.



NUMBER OF BOTTLES USED IN KEVENTERS OUTLET – Interview Summary

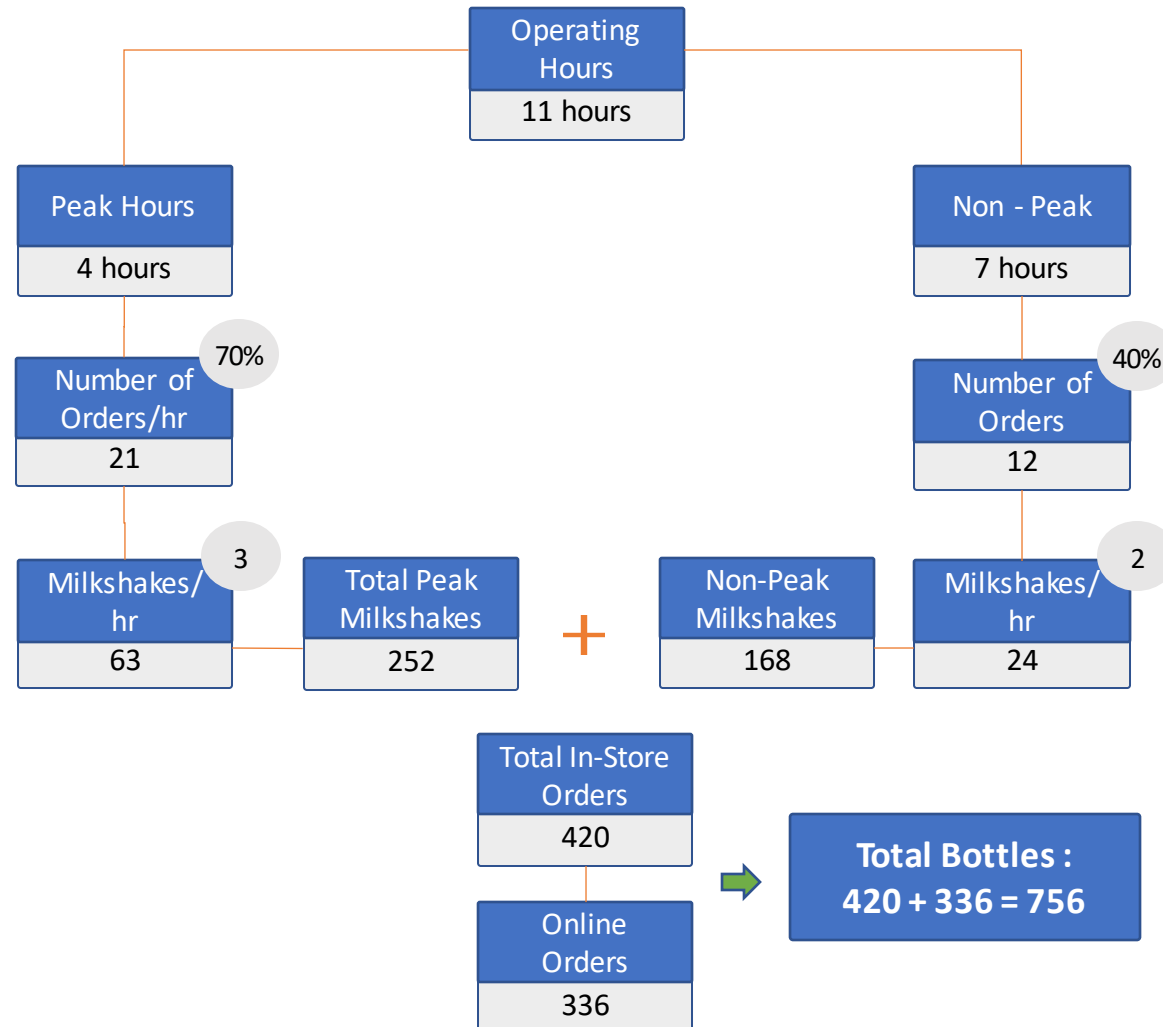
Guesstimate | Bain & Company

Estimate the number of bottles used in a Keventers outlet in a day.

ASSUMPTIONS:

- One ordering counter per store
- Processing time: 2 minutes per order
- No. of peak hours: 4
- No. of non-peak hours: 7
- Variable order size during peak and non-peak hours
- Online order size: 80% of in-store orders
- Max. Orders Processed in an hour = 30

APPROACH: Top Down (Supply-Side)



CALCULATIONS:

Number of Orders	%	Calculation
Peak	70%	$30 \times 0.7 = 21$
Non - Peak	40%	$30 \times 0.4 = 12$

Number of Bottles	Order Size	Hours	Calculation
Peak	3	4	$21 \times 3 \times 4 = 252$
Non - Peak	2	7	$12 \times 2 \times 7 = 168$

- Total bottles used for in-store orders = 420
- Online order size: 80% of in-store orders
- No. of bottles used for online orders
= $0.8 \times 420 = 336$

Total bottles used = 420 + 336 = **756**



ZOMATO DAILY REVENUE – Interview Transcript

Estimate the daily revenue of Zomato.

So, I need to estimate the daily revenue of Zomato in India. Weekends will generally have more orders, hence more revenues, than weekdays. Can I take the average?

Alright, proceed.

Revenue for Zomato is Number of orders sold* Average price per order. And the number of orders sold is Total customers* Average Frequency of each customer. So, to calculate the customers, I would like to estimate the size of the market first.

Sure

Zomato is served across 500 cities in India which are Metros/Tier 1/2/3. Hence, I would like to only take the Urban population into the calculation.
Urban Population is approx. 35% of the Indian Population.
Urban Population: 50 Cr
Smartphone penetration: 85% (To have an app, we need a smartphone)
No. of smartphones: 42.5 Cr
People between 15-65 age group: 70% (Assuming that children and elders, in general, do not use smartphones and Zomato in particular)
Target Segment: $0.7 * 42.5 = 29.75 \text{ Cr} = 30 \text{ Cr}$ (approx.)
Assuming the market share of Zomato is roughly 50%.
Customer base: $30 \text{ Cr} / 2 = 15 \text{ Cr}$
Here, a person on Zomato can order for his/her family/friends who are not the customers of Zomato. Likewise, he/she can also order for people who are customers of Zomato and the person can also order for himself/herself.
Taking all these into consideration, we can assume an average group size of 4, i.e., at an average 4 people will be ordered for. Is it a fair assumption?

Yes, that's fair.

Okay. Now the total customers would be $15 \text{ Cr} / 4 = 3.75 \text{ crores}$. I would then like to divide these customers demographically. Zomato is present in more than 500 cities.
Metros: 1.5 Cr
Tier 1/ Tier 2 cities: 1.25 Cr
Rest of the cities: 1 Cr
Are these numbers looking right, can I continue?

Yes, please proceed.

Now I would like to divide the population across income strata as there would be a difference between the number of orders and the average value of the order across the strata. Here we will assume that the split is 20-40-40 for High/Middle/Low Income across the geographies to reduce the randomness.

	20%	40%	40%
	High	Middle	Low
Metros	0.3	0.6	0.6
Tier 1/2	0.25	0.5	0.5
Rest	0.2	0.4	0.4

Okay, what else will you consider?

Now I would assume the ordering frequency per month for customers of each category. Ordering frequency matrix (per month)

	High	Middle	Low
Metros	6	4	3
Tier 1/2	5	3	2
Rest	4	3	2

Are these numbers looking fair? Shall I proceed?

Yes, that's fair.

Okay, now I would assume the average order size across Geographies and Income strata as follows:

	High	Middle	Low
Metro	600	400	200
Tier 1/2	500	350	200
Rest	400	300	200



ZOMATO DAILY REVENUE – Interview Transcript

Now I'll calculate the Revenue as Customers* Frequency of orders*Average order Size
Monthly Revenue (crores)

	High	Middle	Low	Total Revenues
Metro	1080	960	360	2400
Tier 1/2	625	525	200	1350
Rest	320	360	160	840
Total Revenues	2025	1845	720	4590

Total Monthly revenue = 4590 Cr
Daily revenue = $4590/30 = 153$ Cr

That's good enough. We can close this here. It was nice interacting with you.



ZOMATO DAILY REVENUE – Interview Summary

Estimate the daily revenue of Zomato.

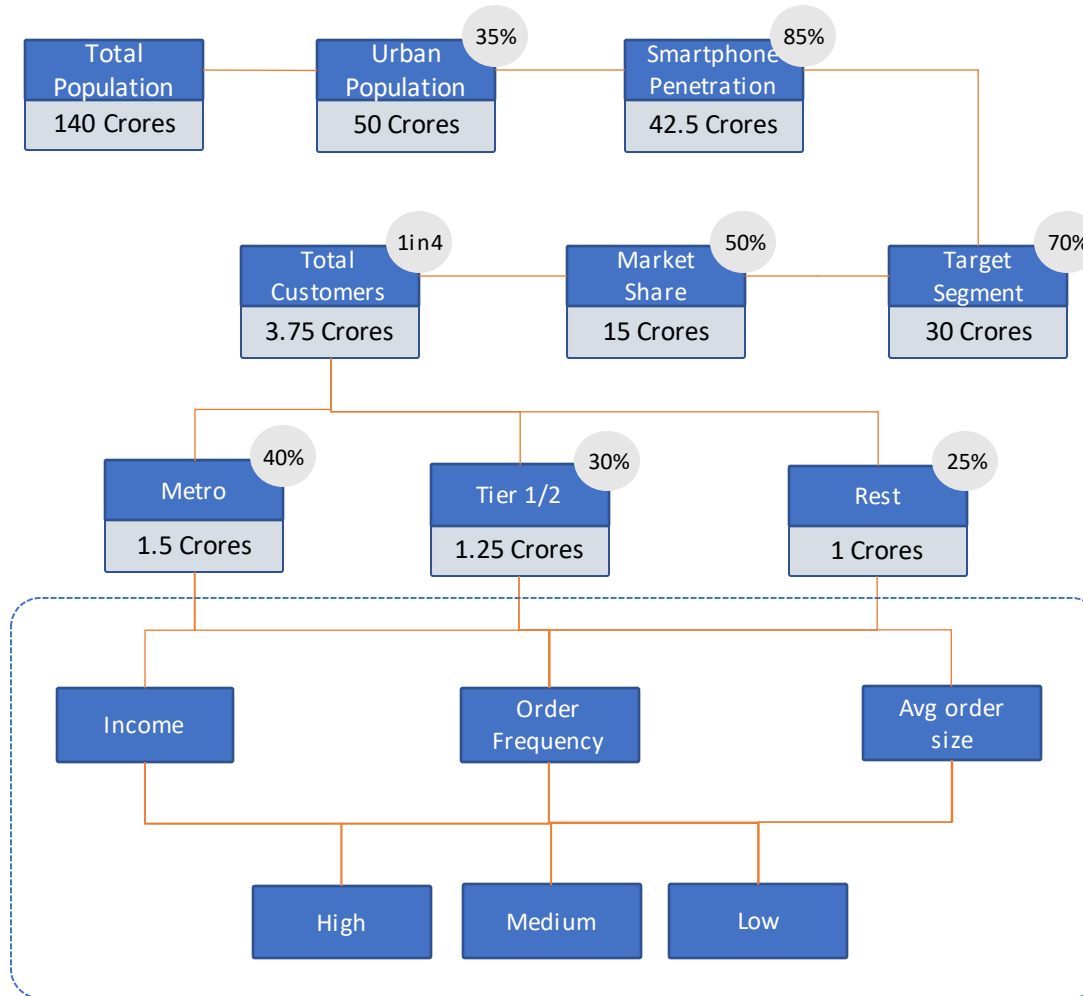
ASSUMPTIONS:

- Weekend Orders are more than weekday orders, so take an average
- Market Share of Zomato is roughly 50%
- Average group size is 4 in a particular order

METHODOLOGY:

- Revenue = Total Orders Sold * Average Price per Order
- Total Orders Sold = Total Customers * Average Frequency of Each Customer

APPROACH: Bottom to Top (Demand-Side)



CALCULATIONS:

Population	20%	40%	40%
	High	Middle	Low
Metros	$1.5 \times 0.2 = 0.3$	$1.5 \times 0.4 = 0.6$	$1.5 \times 0.4 = 0.6$
Tier 1/2	$1.25 \times 0.2 = 0.25$	$1.25 \times 0.4 = 0.5$	$1.25 \times 0.4 = 0.5$
Rest	$1 \times 0.2 = 0.2$	$1 \times 0.4 = 0.4$	$1 \times 0.4 = 0.4$

Order Fqncy	High	Middle	Low	Order Size	High	Middle	Low
Metros	6	4	3	Metro	600	400	200
Tier 1/2	5	3	2	Tier 1/2	500	350	200
Rest	4	3	2	Rest	400	300	200

	High	Middle	Low	Total Revenues
Metro	$0.3 \times 6 \times 600 = 1080$	$0.6 \times 4 \times 400 = 960$	$0.6 \times 3 \times 200 = 360$	2400
Tier 1/2	$0.25 \times 5 \times 500 = 625$	$0.5 \times 3 \times 350 = 525$	$0.5 \times 2 \times 200 = 200$	1350
Rest	$0.2 \times 4 \times 400 = 320$	$0.4 \times 3 \times 300 = 360$	$0.4 \times 2 \times 200 = 160$	840
Total Monthly Revenues	2025	1845	720	4590



FACT SHEET

WORLD DATA

World population – 7.9 Bn		
Gender Divide	Males	50%
	Females	50%
Region Divide	Urban	56%
	Rural	44%
Continent Divide	Asia	60%
	Africa	17%
	Europe	9.5%
	North America	5%
	South America	8%
	Australia	0.5%

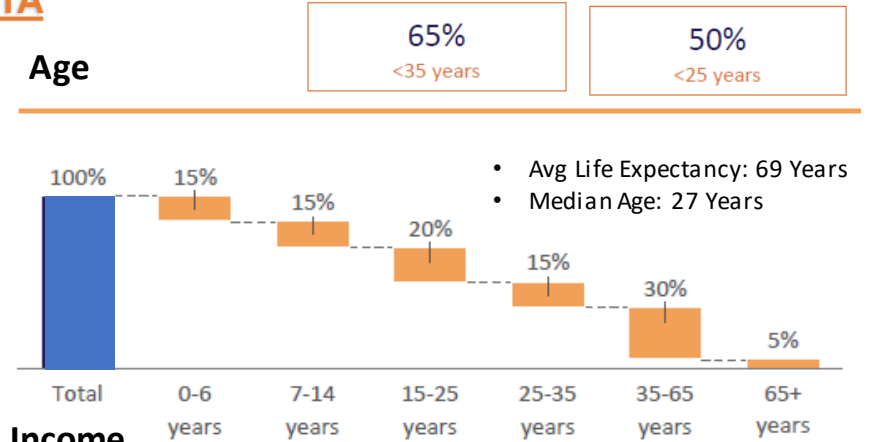
Region	Population (in Crore)	Area (sq.km)
Mumbai	2.0	603
Delhi(NCR)	3.0	1484
Kolkata	1.5	206
Bangalore	1.2	709
Hyderabad	1.0	625
Chennai	1.0	426
Pune	0.7	300
India	140	3.29M

Region	Population Density (Persons per sq.km)
Urban	~800
Rural	~200
India	328

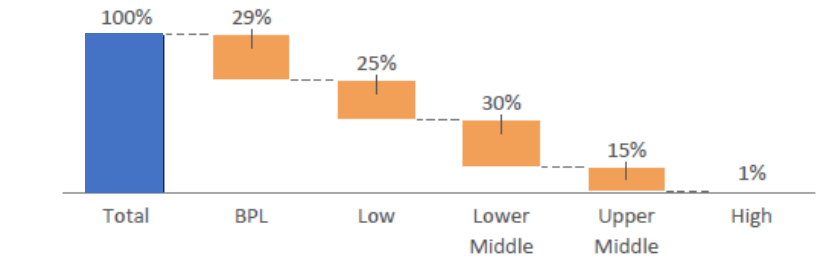
INDIA DATA

India population – 140Cr		
Gender Divide	Males	52%
	Females	48%
SEX RATIO – 0.93		
Region Divide	Urban	30%
	Rural	70%
Other Metrics	Internet	50%
	Smartphone Users	40%
	Car penetration	2%
	Population Density	500

Age



Income



Employment Sector	Contribution to GDP (%)	Population Employed (%)
Agriculture	20%	50%
Manufacturing	30%	20%
Service	50%	30%

Indian Macro Data	Figures
Per capita Income of India (Annual)	INR 135000
Population Growth rate	1%
Unemployment Rate	5%
CPI Inflation	5%

Demographic	Literacy Rate
India	75%
Youth	85%
Male	83%
Female	65%

Tier	1	2	Villages
No. of Cities	8	97	~6.5 Lac
Additional Info			
Avg size of household		5 members	
% of area under forest		30%	
% of area under waters		10%	



MAKERS OF THE CASEBOOK – SENIOR TEAM



*Rupanshi Seth (**Coord.**)*

Developing a casebook while simultaneously establishing a culture in a newly formed team was challenging, but it's been an equally enriching experience for all of us. We hope this casebook adds value to your preparation journey.



Akshay Dhabale

Creating something from scratch and seeing it to completion has been an immensely fulfilling experience for us as a team. I am sure it will help you develop an analytical mindset and get you best prepared for your interview processes.



Mrinal Kashyap

It has been a delightful experience to be the co-founder of the Consulting & Strategy Club & present SIBM Pune's debut case book. I have tried including the cases from multiple domains & presented them in the most digestible way.



Nishant

Right from doing research, coordinating with different stakeholders, and giving the perfect shape to this casebook, it has been an exhilarating journey for the entire team of C&S Club. I hope it introduces the readers to the world of consulting and helps them.



Shrikrishna Shedbal

Ask the right questions, engage your interviewer and most importantly enjoy the process of case-prep. We have tried to craft a resource that'll assist students in their case prep journey. Hope this casebook helps in making the case prep journey an enjoyable one.



Sonali Sehnaz

It's a privilege to be a part of the team & present the debut edition of the SIBM Pune Case Book. I have tried to ensure breadth & depth in the cases to give you a comprehensive view of cases of consulting interviews. I hope the casebook helps you.



MAKERS OF THE CASEBOOK – JUNIOR TEAM



Abhishek Jha



Hinal Gandhi



Raghu Vamsi Godavarthi



Sai Krishna Teja



Sagar Agarwal



Sharath Reddy Vutukur



Wishing you the best!

Contact us:

Consulting and Strategy Club,
Symbiosis Institute of
Business Management Pune.
Symbiosis Knowledge Village,
Lavale, Pune.
Pin - 412115

Connect with us:



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